2022 SHRM LEARNING SYSTEM

SHRM-CP® SHRM-SCP®

ORGANIZATION

Structure of the HR Function

Organizational Effectiveness & Development

Workforce Management

Employee & Labor Relations

Technology Management

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Subject matter experts

Cheronn Collins, SHRM-SCP, SPHR
Independent Consultant
Gaithersburg, Maryland, U.S.

Susan K. Craft, MSHRM, SHRM-SCP, SPHR, GPHR
President, Consulting by Design of Princess Anne
Virginia Beach, Virginia, U.S

Ed Hasan, EdD, MBA, SHRM-SCP, SPHR
CEO and Managing Partner, Kaizen Human Capital
Adjunct Professor, Georgetown University

Tom O'Connor, JD, SHRM-SCP, GPHR, SPHRi
Human Resource Director, North America, BK Medical
Boston, Massachusetts, U.S.

Dr. Patricia A. Sullivan, SHRM-SCP
Leadership Coach/Culture Strategist
St. Petersburg, Florida, U.S.

Past subject matter experts

Dennis Carr, MSIR, SHRM-SCP
Chief Human Resource Officer, Lane Community College
Eugene, Oregon, U.S.

Jennifer C. Loftus, MBA, SHRM-SCP, GPHR, SPHR, PHRca, CCP, CBP, GRP
National Director, Astron Solutions
New York, New York, U.S.

Introduction to *Organization* Domain

This domain in the SHRM Learning System® for SHRM-CP/SHRM-SCP includes five Functional Areas: Structure of the HR Function, Organizational Effectiveness & Development, Workforce Management, Employee & Labor Relations, and Technology Management.

Throughout the module, brief scenarios, titled “Competency Connection,” describe how the Behavioral Competencies listed in the SHRM Body of Applied Skills and Knowledge™ apply to the Functional Area under discussion.

While this module includes legal content, it should not be construed as legal advice or as pertaining to specific factual situations. No general statement of law, no matter how seemingly simple, can be applied to any particular factual situation without a full, careful, and confidential analysis of all relevant facts, the employer’s policies and practices, and the applicable laws of the jurisdiction(s) in which the employer operates.

Key Content

The content in the domain accounts for 18% of the SHRM-CP and SHRM-SCP exams.

Structure of the HR Function

Structure of the HR Function encompasses the people, processes and activities involved in the delivery of HR-related services that create and drive organizational effectiveness.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Acts as HR point-of-service contact for key stakeholders within a division or group.
- Adapts work style to fit the organization's HR service model to ensure timely and consistent delivery of services to stakeholders.
- Analyzes and interprets key performance indicators (KPIs) to understand the effectiveness of the HR function.
- Consults with all levels of leadership and management on HR issues.
- Coordinates with other HR functions to ensure timely and consistent delivery of services to stakeholders.
- Ensures that outsourced and/or automated HR functions are integrated with other HR activities.
- Seeks feedback from stakeholders to identify opportunities to improve HR function.
- Works collaboratively with departments outside of HR to deliver and support HR-related functions (examples include work with IT to implement HR information system [HRIS]).

Proficiency indicators for **advanced HR professionals** include:

- Creates long-term goals and implements changes that address feedback from stakeholders identifying opportunities for HR function improvements.
- Designs and oversees programs to collect, analyze and interpret HR-function metrics to evaluate the effectiveness of HR activities in supporting organizational success.
- Designs, implements and adjusts the HR service model for the organization to ensure efficient and effective delivery of services to stakeholders.
- Ensures that all elements of the HR function are aligned, integrated, and provide timely and consistent delivery of services to stakeholders.
- Identifies opportunities to improve HR operations by outsourcing work or implementing technologies that automate HR functions.

Key Concepts:

- Approaches to HR function/service models (examples include centralized, decentralized, global resources).
- Approaches to HR structural models (examples include Center of Excellence [COE], shared services, business partners, matrix).

- Elements of the HR function (examples include recruiting, talent management, compensation, benefits).
- HR staff roles, responsibilities, and functions (examples include generalists, specialists, HR business partners).
- HR-function metrics (examples include HR staff per full-time employee, customer satisfaction, key performance indicators, balanced scorecard).
- Outsourcing of HR functions (examples include recruiting, benefits administration, payroll, legal, contract management, investigations).

Structure of the HR Function

Structure of the HR Function is about the way HR organizes its assets to provide services to internal business partners in a way that aligns with the organization's own structure and strategy. The structural model HR leaders choose balances efficiency with quality of customer service and consistency with adaptability.

To do this, HR professionals must understand the structure of their own organizations—their parts, their business goals and cultures, the ways in which they are coordinated to produce value to the organization. The organization may be large and multi-layered. It may be geographically dispersed and culturally diverse. HR professionals must understand the business goals and service expectations of their fellow stakeholders in the organization and apply creativity to collaborating with these stakeholders.

Equipped with a knowledge of its own capabilities and its stakeholders' needs, the HR function can choose an appropriate structure. Key decisions are the location of HR services and the level of control over HR policies and practices. Should assets and services be located within a headquarters or embedded in the divisions of the organization? How will HR develop and implement policies? Will HR headquarters control all decisions, or will satellite HR functions be allowed to adapt policies to local needs?

HR leaders must also measure the effectiveness of the services HR delivers and commit to making structural changes that can correct and improve its customer service and align it with changed strategy or environmental conditions.

Role of HR

Proficiency indicators related to this section include:

- Consults with all levels of leadership and management on HR issues.
- Coordinates with other HR functions to ensure timely and consistent delivery of services to stakeholders.
- Seeks feedback from stakeholders to identify opportunities to improve HR function.
- Ensures that all elements of the HR function are aligned, integrated, and provide timely and consistent delivery of services to stakeholders.

Role of HR

HR’s focus will always be people: acquiring, developing, and retaining talent. The roles that HR plays in today’s organizations are complex, however. They include administrative and operational tasks and also more strategically oriented activities. This complex role requires the competencies of a professional.

Competency Connection

The essential role of HR is to provide value to the organization through the application of HR expertise. A newly certified HR professional was able to put the HR Behavioral Competencies to work quickly in her new position.

The HR professional was hired to support a growing company with about 80 employees. The company had no HR department.

The HR professional was nervous to jump into her workforce management, recruitment, development, and consultation roles but decided to begin by learning about the company’s structure, chain of command, policies, and goals. Then she performed a gap analysis, evaluating current resources against the business’s needs and identifying deficiencies.

She chose to tackle a specific task first: figuring out a time-capturing system to align with the current payroll system. She researched time-capturing systems, compared them, and made a thoughtful decision. She was able to launch a cost-effective electronic time sheet system within two months. It helped to improve payroll accuracy and employee accountability. Efficiency grew tremendously.

In delivering value, the HR professional approached her position as a consultant to the organization—seeing a problem and designing and implementing necessary changes, thereby helping the organization improve its effectiveness and efficiency. Her Analytical Aptitude skills were indispensable as well.

Strategic and Administrative Roles of HR

Strategic Role of HR

HR processes and activities must be aligned with the organization's overall strategy and business partners' needs to create a stronger and more strategically focused organization.

HR's strategic role includes:

- Participation in creating the organization’s strategy.
- Aligning the HR strategy with the organization’s strategy.
- Supporting other functions in their strategic roles.

This role requires HR practitioners to broaden their focus to include global, long-term, and forward-thinking considerations. As an organization seeks new opportunities, HR provides a valuable perspective on the human factors inherent in any strategic decision.

Administrative Role of HR

The HR focus in this role is twofold: managing compliance issues and record keeping. Often referred to as “transactional activities,” these responsibilities continue to be central to the HR function, but they can be performed in a strategic manner.

- **Using technology to capture and analyze data.** Technology, such as human resource information systems (HRIS), facilitates the integration of HR in strategic management by providing information that can drive HR’s role as a consultant to the organization’s leaders. HR data can be integrated into an enterprise management tool that enables more timely access to shared data throughout the organization. This also allows HR to analyze data, identify issues and developing trends, and begin planning.

- **Using technology to reduce transactional time.** HRIS is used to manage HR data (for example, employee records) and create compliance reports. HR and management software applications (for example, applicant tracking software, project management) increase productivity. In many organizations, managers and employees can complete their own transactions (for example, updating records, changing benefits) through self-service portals.

- **Focusing on core capabilities.** Tasks that are low in strategic value and are not necessarily considered core HR functions can be outsourced to allow HR to focus on strategic activities. Third-party vendors can provide benefit plan administration, payroll administration, background checks, and other less strategic tasks. This means, however, that HR professionals must develop skills and knowledge associated with outsourcing, such as negotiating and performing due diligence and monitoring and correcting vendor performance.

Operational Role of HR

Many HR activities—recruiting and hiring, resolution of employment issues, employee communication—attend to the day-to-day management of people. In addition, HR is called upon to interact

with line managers, consulting on specific issues and providing advice on improving performance, productivity, and job satisfaction. This often requires HR to develop performance assessment and improvement processes and design effective reward systems.

HR can transform these operational activities by aligning them with the organization's strategic objectives:

- **Knowledge management** can help the organization capture and share the wisdom and experience of all its members. In addition, HR can show leaders what and where talent and specialized knowledge reside in the organization so that it can be deployed toward attaining strategic objectives. This is especially important in large and diverse organizations.
- **Targeted talent acquisition and development** focus on bringing the organization closer to its goals. For example, HR can use data and its organizational skills (such as job analysis and consultative skills) to identify potential disconnects between current job descriptions and actual job competencies.
- **Incentive systems** can be designed to promote rather than discourage desired behavior—for example, rewarding increased customer satisfaction rather than decreased call time or

rewarding the size of single sales rather than the number of smaller sales.

- **Employee engagement programs** target increased productivity and retention—perhaps by improving supervisory skills or promoting a change in leadership model from directing to leading an empowered team.

HR’s Internal Stakeholders

Proficiency indicators related to this section include:

- Acts as HR point-of-service contact for key stakeholders within a division or group.
- Consults with all levels of leadership and management on HR issues.
- Coordinates with other HR functions to ensure timely and consistent delivery of services to stakeholders.
- Seeks feedback from stakeholders to identify opportunities to improve HR function.
- Works collaboratively with departments outside of HR to deliver and support HR-related functions (examples include work with IT to implement HR information system [HRIS]).
- Creates long-term goals and implements changes that address feedback from stakeholders identifying opportunities for HR function improvements.
- Designs, implements and adjusts the HR service model for the organization to ensure efficient and effective delivery of services to stakeholders.
- Ensures that all elements of the HR function are aligned, integrated, and provide timely and consistent delivery of

services to stakeholders.

HR’s Internal Stakeholders

Understanding the perspectives, challenges, and objectives of internal stakeholders is essential to HR’s role as a strategic business partner within the organization. This awareness allows HR professionals to identify ways in which HR processes and abilities can be used to help other functions achieve their strategic objectives and plans and, in that way, strengthen the organization’s strategic posture. In doing this, HR also demonstrates its value to its stakeholders and strengthens relationships throughout the organization.

Competency Connection

The HR leader of a consumer products company has been involved in the design and implementation of a new organizational design structure that involves a significant change in centralizing common engineering resources that had previously been dispersed across multiple operating divisions. This new central resource, which would define common design processes and their deployment, would use a matrix structure to assign engineers to different divisions. HR must get division leaders who previously had full control of their engineering resources to support the centralized engineering resource design.

As changes like this begin, tension levels and doubt will be high. HR professionals can apply their Relationship Management competency to identify and defuse possible conflicts.

The HR leader meets individually with the division heads representing product design, manufacturing, and packaging and the new head of the centralized engineering function to surface specific personal concerns (those that would inhibit accomplishing the operating goals) and organizational concerns (the practicality of making this work). The HR leader summarizes all inputs, identifies and surfaces legitimate operating concerns, and designs a process to alleviate individual concerns.

HR then conducts one-on-one meetings and facilitates a group design and decision-making process to collectively identify operating guidelines and determine service-level agreements between the shared engineering resource and each division. This effort allows:

- Division leaders to surface reservations and identify risk management plans to address their concerns that they can share with the engineering division.
- Definition of how required engineering resources will be requested and made available in a timely manner.
- Determination of service-level agreements to set expectations for service quality and measurement.

- Identification of a conflict resolution process for issues that arise after implementation.

The HR leader demonstrates the ability to manage interactions with key stakeholders and provide appropriate recommendations and solutions based on in-depth organizational knowledge and expertise by:

- Promoting successful relationships with stakeholders.
- Managing internal and external relationships in ways that promote the best interests of all parties.
- Championing the view that organizational effectiveness benefits all stakeholders.
- Negotiating with internal and external stakeholders to advance the interests of the organization.
- Fostering a culture that supports intraorganizational relationships.
- Fostering effective team building among stakeholders.
- Designing strategic opportunities and venues for building employee networks and relationships.

HR and the Organization’s Core Functions

All organizations include certain core functions—to a greater or lesser extent, depending on the size and nature of the organization. These core business functions are illustrated in Exhibit 1.

Exhibit 1: Core Business Functions



Key Content

Organizations today realize that the most effective strategies are not driven by a single function, such as marketing/sales or operations, but are produced by cross-functional collaboration. Because it participates in the strategic planning process for the organization, HR understands the value the organization is trying to

generate and the role each function plays in producing that value.

Because its mission as a core function is to deliver the talent and services required by the other functions, HR also understands the specific challenges each function faces. As a result, HR is well positioned to serve as a cross-functional bridge. It can:

- Facilitate the high degree of cross-functional understanding and collaboration required to deliver results.
- Use its mission to advise core functions on how to align with the organization's strategy and the best ways to elevate organizational performance.
- Identify and support the need for additional resources or training.
- Deliver necessary talent throughout the organization.

Exhibit 2 summarizes the information about HR and its core business partners.

Exhibit 2: Cross-Functional Relationships with HR

Cross-Functional Relationships with HR

Cross-Functional Relationships with HR		
Executive management and board of directors	Recruiting executive candidates in highly competitive markets Negotiating attractive compensation packages that are responsible and comply with regulatory restrictions	Recruiting and training members for board of directors Consulting on strategic issues such as talent management, organizational effectiveness, or culture
Finance and accounting	Coordinating requirements of different markets in terms of currency, taxation, benefits, reporting Collaborating on start-up operations (examples include setting up accounts, filing necessary documents) Collaborating on ways to manage costs of benefit programs and reduce tax burdens for global assignees	Providing training related to good governance to board members or on compliance requirements with internal auditing Selecting an external auditor Promoting inclusion of ethical dimensions in enterprise value system and fostering ethical environment throughout the organization
Marketing and sales	Aligning incentive/compensation programs with strategies and local cultures and practices Managing staffing Coordinating knowledge management in different markets (for example, ensuring that product training is available in different languages)	Promoting sharing of learning through Internet or intranet technology Supporting teams in which marketing plays a key role

Cross-Functional Relationships with HR		
Research and development	Developing talent pool with requisite expertise (including employees with up-to-date knowledge and skills) Identifying employees with needed skills throughout the organization Selecting members for global teams and building highly functioning teams Promoting a climate that values innovation and continuous improvement	Promoting processes that allow R&D personnel to devote more time to the task of innovation Identifying alliance or joint venture partners, acquisitions, or vendors to supply critical elements Ensuring security of patents and intellectual property
Operations	Developing staffing plans Managing labor relations in different markets Dealing with intellectual property rights	Ensuring physical security of operations Coordinating with local legal, regulatory, and cultural requirements
Information technology	Selecting the HR information system and implementing it Using database analysis to support decision making and strategic initiatives	Using Internet and extranet to foster better communication, knowledge sharing, and coordination among internal and external stakeholders

Executive Management

Executive management (often referred to as the C-suite) is ultimately responsible for all of the core business functions and their effect on the organization’s performance. The primary responsibilities of executive management are to:

- Develop and communicate strategy to the organization’s components.
- Monitor and control implementation of strategic and operational activities through control of financial resources.
- Be the primary interface with the organization’s stakeholders, from investors and regulators to customers and communities.
- Lead the organization through a shared vision and the values they model in all interactions.

Executive management commonly includes an individual who holds ultimate control of organizational resources and responsibility. Titles vary—for example, chief executive officer (CEO), president, or executive/managing director. In a publicly held company, this individual may report to a board of directors, compensated individuals from outside the organization. (Nonprofit organizations may also have boards whose members are compensated for expenses.) The board is responsible for reviewing and approving strategic plans, appointing and approving compensation of executive management, and overseeing organizational governance.

The heads of the organization’s financial operations and day-to-day operations are also at the executive level. According to an organization’s mission and values, there may be other positions in executive management, such as heads of information, innovation, or

risk management. Some of these positions may be “double-hatted”—they may be held by someone in the organization in addition to that person’s primary responsibilities.

How HR Interacts with Executive Management

HR leadership interacts directly with executive management. HR contributes to the development of organizational strategy, advising on the human capital implications of strategic decisions. It may work directly with the board to advise on executive compensation and matters of governance and with other members of the C-suite as they manage the development and implementation of operations and strategic initiatives.

Finance and Accounting Functions

Finance and accounting both reflect an interest in an organization’s financial performance, although the functions play different roles.

Finance focuses on how the organization uses its financial assets to operate in the short and long term. Finance activities include:

- Supporting operations and strategic initiatives through the creation and monitoring of operating and capital expenditure budgets.

- Providing financial analysis used in strategic planning. For example, finance is involved in decisions regarding global expansion, technology investments, and structuring strategic alliances.
- Managing the organization's "treasury" through short- and long-term investments and borrowing.

Accounting focuses on tracking financial transactions and reporting financial information to finance (to support its strategic planning and management decisions) and to external stakeholders (to support compliance and demonstrate governance). Accounting activities include:

- Tracking revenue and expenses through accounting. Accounting procedures must comply with applicable standards, such as the International Financial Reporting Standards (IFRS) and the generally accepted accounting principles (GAAP) in the U.S.
- Supporting governance by maintaining records of finances and arranging periodic audits. The internal auditing function often resides within accounting.
- Producing financial statements, such as the income or P&L statement.
- Complying with financial requirements and reporting information to government agencies (such as for taxes), regulatory bodies

overseeing publicly traded companies, and investors/stockholders. Public interest has demanded greater transparency of fiduciary responsibilities and actions and greater accuracy and completeness of financial reports. A number of countries now have laws requiring varying degrees of corporate governance.

The finance and accounting functions are challenged by changes in laws and regulations, new technology that affects processes and creates new vulnerabilities, and changes in workplace ethics that make fraudulent behavior and abuse of fiduciary responsibilities more common.

How HR Interacts with Finance and Accounting

HR depends on finance and accounting for everything it does or would like to do. HR works with finance and accounting to plan and monitor annual functional and special project budgets and to manage relationships with suppliers. This internal customer is especially interested in governance. HR can help provide governance and ethics training to board members and employees, participate in risk prevention programs (such as screening job applicants, fraud investigations), and support the conduct of external and internal audits.

Marketing and Sales Functions

This is the part of the organization that brings in revenue. Depending on the organization, these functions may be separated into two equal areas or one may be included as a sub-function inside the other.

Marketing is responsible for positioning (marketing) and selling products and services (sales) to customers. The responsibility of marketing is often described as managing the 4 Ps: price, product, promotion, and place. Consequently, marketing usually has the best intelligence about and the highest awareness of customers, market needs, and competitive threats. For global companies, this may mean balancing the advantages of a brand identity and a global marketing strategy with local preferences and needs.

Marketing strategies are often characterized as “push” or “pull”:

- A “push” strategy focuses on getting products/services in front of customers. For example, companies may have showrooms or create a strong point-of-sales presence at the retail level.
- A “pull” strategy attracts customers to the product. An example of this is the carbonated drinks industry, which invests heavily in advertising and promotion to create brands and boost sales.

The sales strategy and its workforce characteristics are heavily influenced by an industry's customary distribution practices and the company's marketing strategy. Some companies may sell to consumers (B2C, or business to consumer) or to businesses (B2B, or business to business). They may sell directly (through their own sales forces or a sales force shared with a strategic partner) or indirectly (through distributors who sell to retailers, agents, or representatives). The organization's sales strategy affects its human resource needs, including talent acquisition and compensation.

How HR Supports Marketing and Sales

Marketing's work focuses on the creation of brand identity. HR can ensure that its activities are aligned with the identity that marketing is creating and use this brand identity to attract future employees. HR can collaborate with marketing in creating teams and team cultures that embody brand characteristics (for example, customer service, awareness of and use of cutting-edge technologies).

Sales may look to HR to design compensation systems that motivate sales behavior and to provide skills and knowledge training.

Research and Development Function

In a commercial enterprise, research and development (R&D) or new product design and development is responsible for future revenue. Investment in R&D will vary by industry. When an organization’s primary value is created through intellectual property, R&D is a logical investment. In the past decade, the leaders in R&D investment have been in the computing and electronics, health care, software and Internet systems, and industrial sectors.

R&D also exists in the public sector, in the form of national research institutes or centers associated with universities. Public-interest R&D often focuses on performing theoretical research (as opposed to applied research), promoting science and new technologies, performing public-interest scientific research (such as research into public health issues), and developing sustainable technologies.

Some organizations conduct R&D in a centralized manner (for example, with a globalized strategy), while others focus R&D in business units so that projects stay focused on customer needs.

R&D spending is not directly related to levels of innovation and performance. “The 2018 Global Innovation 1000 Study” (conducted by PwC’s strategy consulting division, Strategy&) noted that, when one considered three financial performance metrics (revenue growth; earnings before interest, taxes, and depreciation, or EBITDA; and market capitalization growth), the top ten innovators

outperformed the top ten R&D spenders. This may be because these organizations excel at aligning their investments with their strategy—making sure they focus on highly impactful innovation (such as Tesla's electric car) but also on retaining the right people, understanding trends, and implementing lean product development.

How HR Supports R&D

R&D thrives on cutting-edge employee skills and knowledge. HR is a partner in sourcing good job candidates and creating attractive compensation packages. HR's efforts to create inclusive and diverse cultures are also important to R&D. HR can protect the organization's investment in R&D by ensuring that contracts protect intellectual property rights.

HR can consult with R&D on designing processes that support a culture of collaboration and innovation through, for example, creating career development paths for non-managers, revising job descriptions to reduce bureaucratic burdens on R&D employees, and designing systems and processes that support agile decision making.

Operations Function

This part of the organization develops, produces, and delivers products and services to customers. The operations function is responsible for building the products and services that marketing and R&D define and that sales monetizes. It is therefore the source of the revenue for the enterprise. “Products” can cover a far-ranging spectrum from the tangible (automobiles) to intangible (software) to services (consulting engagements).

Human resources are an important asset for operations, but the function is often challenged by having a workforce of the right size at the right time and equipped with the right skills.

Operations is almost always concerned with efficient use of resources, but issues of quality, environmental impact, and worker health and safety are also important. Operations may need to satisfy standards from customers and regulating agencies as well as industry and professional standards.

Global organizations may have plants and operations in different countries, with each potentially serving different markets and customers. In addition, operations departments may be tasked with locating manufacturing in countries with lower cost structures than the headquarters country. The logistics, planning, and coordination among global operations is frequently complex and sophisticated.

How HR Supports Operations

Operations managers may have complex workforce planning needs that can be addressed through HR's ability to analyze historical data and predict and creatively manage gaps in resources. This includes hiring as well as downsizing. HR collaborates with operations managers to implement union contracts and advises on managing grievances and discipline and performance issues in an organized work environment.

Compliance issues are greater in this function, and HR helps prepare managers and supervisors for these responsibilities and performs many compliance activities, such as delivering and documenting safety training and reporting and documenting workplace accidents and conditions.

Information Technology Function

The information technology (IT) area manages the storage, access, exchange, and analysis of information across the enterprise through hardware and software systems. IT often oversees networks used for voice and data communication as well as hardware components and supports data storage and processing needs throughout the organization.

Increasingly, IT's major task is to support integration of data from different organizational processes through an enterprise resource planning (ERP) system. Through integration, IT helps make an organization's data more visible to decision makers in real time. ERPs can include different modules according to an organization's needs:

- Financials—examples include the general ledger, an assets register, accounts payable and receivable, and financial statements.
- Management—examples include budgeting and costing.
- Operations—examples include inventory management, work flow management, work orders, quality control.
- Supply chain management—processes from selection to claims payment.
- Customer relationship management—examples include sales account information and activity.
- Project management—processes from schedules and budgets to resource tracking.
- Human resources—examples include employee records, payroll, benefit programs, training, and performance management.

IT faces a number of major challenges.

First, IT systems grow over time. This means that some modules may be proprietary while the rest come from an assortment of vendors. Achieving smooth integration is often difficult or impossible.

Second, IT is charged with maintaining the security and reliability of the organization's data—an ethical, legal, and business requirement. Systems must be made secure against internal and external tampering, and IT management must plan for disasters that could interrupt access to critical data. Failure to secure information can damage an organization's reputation and have legal and economic consequences.

Third, IT must manage the information systems for efficiency as well as security. System capacity and function must be weighed against the benefit of added storage and processing tasks. The Internet has helped in this area by making both off-site data processing applications and data storage available. Software as a service (SaaS) is a cost-effective way for IT to support some specialized applications. The vendor is responsible for maintaining the software and the servers on which it is stored, and the user pays only a subscription fee.

How HR Works with IT

HR can assist IT by providing a pipeline of qualified employees. In terms of IT's efforts to manage the organization's technology risks, HR can develop and communicate technology policies, such as policies related to safeguarding the organization's networks from unauthorized access. In return, IT supports HR's technology and consults on HR's technology projects.

For example, in order to implement a human resources information system (HRIS), HR needs to be an active partner with IT from the beginning of the process, starting with a needs analysis that informs the rest of the design and an implementation process for the HRIS system. Following that, HR continues to work with IT, providing input as design decisions are made and systems are acquired, through the implementation process. HR's level of involvement in this process will determine how smooth the implementation process is and how successful the HRIS system is once implemented.

HR Organization

Proficiency indicators related to this section include:

- Adapts work style to fit the organization's HR service model to ensure timely and consistent delivery of services to stakeholders.
- Ensures that outsourced and/or automated HR functions are integrated with other HR activities.
- Ensures that all elements of the HR function are aligned, integrated, and provide timely and consistent delivery of services to stakeholders.
- Identifies opportunities to improve HR operations by outsourcing work or implementing technologies that automate HR functions.

Key concepts related to this section include:

- Approaches to HR function/service models (examples include centralized, decentralized, global resources).
- Approaches to HR structural models (examples include Center of Excellence [COE], shared services, business partners, matrix).
- Elements of the HR function (examples include recruiting, talent management, compensation, benefits).

- HR staff roles, responsibilities, and functions (examples include generalists, specialists, HR business partners).
- Outsourcing of HR functions (examples include recruiting, benefits administration, payroll, legal, contract management, investigations).

HR Organization

The HR function is designed and structured to serve the strategy of the overall organization as well as the HR strategy. The structure of HR can take many different forms, depending on the requirements of the organization.

Competency Connection

The Consultation competency equips HR professionals to be their organization's problem solvers—to be proactive in identifying opportunities to improve the organization's performance, skilled at listening to leaders and business partners, and creative in designing solutions. The following example shows how an HR leader uses the principles of structure to mitigate an organization's legal risks.

Business leaders at a firm have typically made decisions about corrective action and discipline without consulting HR. This has resulted in increasing complaints, lawsuits, and settlements. The current HR structure doesn't align HR business partners with the organization's four divisions; rather, it has one employee relations director assigned to all divisions. Aside from being overwhelmed, the director hasn't been able to provide applicable training on policies and procedures or properly investigate incidents across the

organization. Thus, management is ill-prepared to make sound decisions.

Senior leaders from each of the divisions have approached the vice president of HR and raised concerns over HR's unresponsiveness, management making misaligned decisions, and the overall cost this has brought to their budgets.

After reviewing the current HR structure, roles, and responsibilities—particularly those of the employee relations director—the vice president of HR immediately decides to align one HR practitioner with each division in order to learn the divisional structure and team, consult more quickly and more often on all HR issues, and handle routine employee relations matters. As a result, the employee relations director will be relieved of having to deal with every matter herself. Moreover, this will allow the director to be more responsive and consultative on critical items and also provide needed employee relations training to management, thereby ensuring better administration of employee relations and its impact to the organization.

HR Team Members

The composition of the HR team will vary by organization, but the following are the general roles and responsibilities:

- **Leaders** have a strategic role. They are typically part of the organization’s senior leadership team, and, ideally, they report directly to the chief executive officer (CEO) or chief operating officer (COO). This structure creates the opportunity for HR to perform its strategic role. HR leaders bring information about strengths, weaknesses, opportunities, and threats to the organization’s strategy to other leaders and participate in the development of overall strategy. In addition, they develop and direct the strategy, priorities, and focus for their HR team. The leader of the HR function may have different titles, including chief HR officer (CHRO), HR director, or vice president of HR.

- **Managers** are responsible for units within the HR function, such as employee relations, talent acquisition, and organizational development. HR managers plan, direct, and coordinate the activities for their unit and provide input to the leader for HR strategy.

- **Specialists** (also known as functional experts) have expertise in specific areas such as compensation and benefits design, talent management, metrics, IT, occupational health and safety, organizational development, and workforce relations. Their role is to apply best practices in their discipline to advance the HR strategy.

- **Generalists** (also known as HR practitioners) are familiar with all of HR's varied services. Generalists may have expertise in one or more specialty areas of HR but are generally proficient enough in each area to provide sound advice and direction to employees and managers. HR generalists work closely with their specialist coworkers to ensure that the information and programs they are providing to their employees are accurate and complete. Generalists may also be embedded within countries or business units.

- **HR business partners** are more experienced generalists who are assigned to represent HR services directly to other business functions. HR business partners use a deeper understanding of the business—both the organization and the function—to find ways that HR can help functions achieve their goals. This requires many competencies, including Business Acumen, Consultation, Relationship Management, and Communication. These individuals can be key to demonstrating HR's value throughout the organization.

HR Function, Service, and Structural Models

The manner in which HR is structured depends on its organization and areas of responsibility. A critical factor is ensuring that the HR structure is aligned with the organization's strategic plan.

The advantages and disadvantages of the various alternatives for structuring the HR function are summarized in Exhibit 3.

Exhibit 3: Advantages and Disadvantages of HR Structural Alternatives

Structure	Overview	Advantages/Disadvantages
Centralized	All HR personnel located within HR department; delivers services to entire organization.	**Advantages:** Provides more control and consistency across organization. **Disadvantages:** Can inhibit flexibility and responsiveness; can decrease effective communication.
Decentralized	HR staff within each function, business unit, or location carrying out required activities.	**Advantages:** Allows for more direct contact between HR and other functions and facilitates communication and responsiveness. **Disadvantages:** Lack of consistency among HR policies and standards.
Functional	Headquarters HR is staffed with specialists who craft policies. HR generalists, who may be located within divisions or other locales, implement these policies, adapt them as needed, and interact with employees.	**Advantages:** Facilitates consistency between headquarters policy and practices and implementation in business units. **Disadvantages:** Can isolate headquarters HR from business realities perceived by all staff and employees.

Structure	Overview	Advantages/Disadvantages
Dedicated	Allows organizations with different strategies in multiple units to apply HR expertise to each unit's specific strategic needs.	**Advantages:** Promotes strategic alignment between headquarters and units. **Disadvantages:** Isolation of dedicated HR units and loss of shared knowledge and experience; may lead to duplications and inefficiencies.
Shared services	Each business unit can supplement its resources by selecting what it needs from a menu of shared HR services (usually transactional) that the units agree to share.	**Advantages:** Offers expertise efficiently, reducing load of transactional activity in favor of value-creating activity. **Disadvantages:** Risks underuse of service centers when their existence is not widely known.
Center of excellence (COE)	Leverages strategic expertise to foster growth and continuous improvement.	**Advantages:** Takes advantage of digital communications to create networks of experts in the organization. **Disadvantages:** Similar to shared services, risks underuse when its existence is not widely known
Business partners	Generalists who usually report to managers outside of the HR structure but indirectly report to HR and work to consult and help link their business area to the proper areas of the HR department.	**Advantages:** Allows business partners to acquire a deeper understanding of the business and enables HR to better support organizational efforts. **Disadvantages:** Can be difficult to define roles and responsibilities for business partners, who may become a scapegoat from employees in both areas for issues that occur.

Structure	Overview	Advantages/Disadvantages
Matrix	HR staff report directly to HR senior management but also report to other departments through the senior management positions.	**Advantages:** Works well when pressures originate from multiple areas or when the work is complex (such as setting benefit policies equitably between employee groups in different locations). **Disadvantages:** Blurred reporting relationships, time constraints, and increased workload may result. Opportunity for conflict between senior management of HR and business areas.
Global resources	Refers to the ability to attain support and resources from around the world, often via outsourcing.	**Advantages:** Helps HR consider all areas when making decisions by avoiding the tendency to consider only local issues. **Disadvantages:** Can increase the opportunities for miscommunication or failure to recognize particular cultural norms if not done carefully.

Centralized/Decentralized HR

Centralized HR is characterized by having all HR personnel located within the HR department and from there delivering services to all parts of the organization. Headquarters (or corporate) makes all HR policy and strategy decisions and coordinates all HR activities and programs. The goal of the centralized structure is to ensure standardized HR policies and processes throughout the organization. Centralized HR also allows large organizations to create efficiencies in the delivery of HR services.

In decentralized HR, each part of the organization controls its own HR issues. Strategy and policy may still be made at headquarters, with HR staff within each function, business unit, or location carrying out the required activities.

For example, a local bank with a small number of branches may have a centralized HR structure, handling all HR issues for the bank departments and branches from one HR department at the bank's headquarters. A large heavy equipment manufacturer with multiple locations in different countries may have a decentralized HR structure. In this case, there would be a headquarters HR staff but also dedicated HR functions at each location. Decentralizing HR can allow HR to position itself closer to its internal business partners and create stronger relationships.

Key Content

Centralized HR provides more control and consistency across the organization, but it can also inhibit flexibility and responsiveness and can decrease effective communication. Decentralized HR allows for more direct contact between HR and other functions and facilitates communication and responsiveness. The downside can be a lack of consistency among HR policies and

standards. This is especially a challenge for global organizations that would like the economies and clarity of global HR policies and processes but are aware of the need to adapt to local cultures, laws, and business practices.

Some organizations have hybrid HR structures. For example, learning management may be determined by headquarters, with the content of the learning being determined at the functional, business unit, or location level.

Functional/Dedicated HR

Another alternative is between a functional or dedicated HR structure. In their book *The HR Value Proposition,* authors Dave Ulrich and Wayne Brockbank describe the two alternatives.

In a **functional HR** organization, headquarters HR is staffed with specialists who craft policies. HR generalists, who may be located within divisions or other locales, implement these policies, adapt them as needed, and interact with employees. This type of organization is often found in the least diversified, but not necessarily small, organizations.

A **dedicated HR** structure allows organizations with different strategies in multiple units to apply HR expertise to each unit's specific strategic needs. This is in some ways a "corporatized" HR, with an HR function at headquarters and separate HR functions located (or "embedded") in separate business units. Corporate HR articulates basic HR values, develops tools to be used by the organizational-level HR functions, and creates programs aimed at enhancing global literacy and leadership skills. The business unit HR staff develops local policies and practices.

Shared Services

Ulrich and Brockbank identify another structural alternative known as the **shared services HR model .** This model is frequently used in organizations with multiple business units. Rather than having to develop its own expertise in every area, each unit can supplement its resources by selecting what it needs from a menu of shared services (usually transactional) that the units agree to share.

Centers with specific areas of expertise develop HR policies in those areas and then deliver this service to all units. In a globally integrated enterprise, the centers develop the services at an international or global level and can be located within the most appropriate unit or country. HR transactional work is thus shared by a network of centers, allowing HR professionals to spend more time

working on strategic or transformational activities that help to generate value.

Common processes folded into shared service centers include payroll, procurement, accounts payable/receivable, travel expenses, health benefits enrollment, and pension administration. The top four positive outcomes for organizations that have implemented the shared services concept are:

- Reduced staff time spent on administrative tasks.
- Reduced administrative costs.
- Consolidation of redundant functions.
- Better tracking of employee data.

Center of Excellence (COE)

Related—but not identical—to the shared service center is the **center of excellence (COE) .** Shared service centers deliver savings and increased productivity by locating similar, more transactional processes in one location. COEs aim at leveraging strategic expertise in the organization to foster growth and continuous improvement. COEs can be located in a certain facility but can also be “virtual.” They can take advantage of digital communications to create networks of experts who can reside anywhere in the organization. COEs in HR might focus on talent acquisition, talent management, organization development, learning

and development, compensation and benefits, and other areas of HR expertise.

Business Partners

Business partners are typically embedded in different areas of the business, reporting directly to managers within those areas and with “dotted line” reporting retained with HR. This allows business partners to better focus on specific business areas and tasks and to better understand and support those areas; it provides managers in the areas with a better understanding of the role and capabilities of the HR function. It also increases the visibility of HR throughout the organization.

Matrix Structures

Matrix structures allow for flexibility within the HR department and may result in specialized working relationships designed to meet the specific needs of the organization and its business areas. This is distinct from the business partners concept because it involves reporting to other business areas through the HR senior management positions instead of reporting directly to managers in the other business areas.

If department heads from the other business areas ask HR to do more than it is capable of or experienced in, conflict may result. HR

employees may struggle to understand who they are responsible to due to blurred functional reporting lines and may experience an increased workload as a result of the arrangement. Clearly setting expectations with the HR employees with regard to expectations, responsibilities, priorities, and who to approach with questions may help avoid some of these issues.

Outsourcing

The use of third-party contractors is both a structural alternative and a tool HR can use to deploy its own assets with a more strategic focus. Third-party relationships take the following forms:

- **Outsourcing ,** in which a third-party vendor provides selected activities
- **Cosourcing ,** in which a third party provides dedicated services to HR, often locating contractors within HR's organization

HR activities that are not strategic but are resource-intensive or that require specialized expertise are candidates for outsourcing or cosourcing. A survey of human resource outsourcing (HRO) companies shows a wide range of outsourcing options, covering administrative activities, implementation of services, and consultation on specific issues and projects.

For example, HROs can administer or implement:

- Contract management.
- Payroll services.
- Employee benefit programs.
- Employee self-service centers.
- Investigations.
- Learning and development systems, including training and knowledge management.
- Legal services.
- Employee data retention and analytics.
- Recruitment programs.

Key Content

Outsourcing can provide cost savings for an organization, but there is a loss of managerial control. Cosourcing can be more expensive than outsourcing, but there is more managerial control over the contractor.

HR must approach the decision to outsource or cosource strategically. For example, an organization may commit to increasing the depth of leadership talent at all locations. To ensure that the task is accomplished as quickly and as effectively as possible, the

organization’s HR function may choose to outsource a talent search to one or more consultants who specialize in this field and who have better access to informal networks of talent sources.

The third-party contractor’s performance objectives must be aligned with the strategic goals of HR and the organization. The reliability, capacity, and expertise of potential contractors must be confirmed, as well as their ethical character, since HR retains responsibility for a third-party contractor’s practices and ethical behavior. The agreement should define specific deliverables and criteria such as conformance with organization policies and service levels.

The Outsourcing Process

To ensure the most appropriate and productive use of outsourcing, HR managers should rely on a thoughtful, well-tested process. Even when an existing supplier relationship is satisfactory, it is beneficial for the HR organization to consider other options periodically. This not only improves transparency in the relationship but it also helps HR to confirm that the organization’s needs are being met and to gain perspectives on new approaches and tools. Current suppliers should be included in the process (unless there have been serious, unresolved performance problems).

Key Content

The outsourcing process includes nine steps:

1. Analyze needs and define goals.
2. Define the budget.
3. Create a request for proposal (RFP).
4. Send RFPs to the chosen contractors.
5. Evaluate contractor proposals.
6. Choose a contractor.
7. Negotiate a contract.
8. Implement the project and monitor the schedule.
9. Evaluate the project.

Analyze Needs and Define Goals.

A thoughtful needs analysis is the most critical stage. Analyzing a project that uses a contractor is not a one-person job. It requires a multidepartmental team consisting of representatives of all potential users. At this stage, project goals and expectations are defined.

> **Example:** A project team has been formed to purchase a new human resource information system (HRIS) for an organization. The team, consisting of members of the HR, accounting, marketing, and information technology departments, develops a questionnaire to distribute to all

potential users of the new system to define the necessary functions.

The team documents information regarding the current system, for example:

- Outputs currently received from the system (required government agency reports, employee records, applicant tracking, etc.).
- User complaints and needs.
- Key problems of and constraints on the current system that limit its usefulness.

The questionnaire includes such questions as:

- Where should the system be located?
- How should the system fit with systems already on site?
- What kind of hardware, software, and other components are needed?
- What calculations must it be able to perform?

Define the Budget.

If possible, plan for the use of outsourcing resources in your annual budget. Know what can be spent for the outsourced service and what it costs to provide that service in-house. This information provides a look at the expected financial return on investment.

Example: The director of HR is analyzing the available resources in the budget for a new HRIS. In doing so, questions like the following are considered:

- What is the budget for planning?
- What is the budget for the system?
- What is the budget to support the new system when it is operating?

Create a Request for Proposal.

Once the team has reached a decision that outsourcing with a third-party contractor could be beneficial, the next stage is to prepare a request for proposal (RFP). An RFP is a written request asking contractors to propose solutions and prices that fit the customer's requirements. The purpose of an RFP is not only to ensure that responses actually meet the project's needs but also to ensure some consistency among responses so that they may be more easily compared.

While RFPs may differ in structure depending on the organization and industry, contractors are usually asked to provide the following:

- **Executive summary.** Contains a synopsis of the vendor's product or service and usually includes an understanding of the client's needs.
- **Company information.** Provides information on the vendor company's size, financial stability, business viability, and

experience in the field.

- **Project team/resources.** Explains who will be involved in the project from both the client and vendor companies.
- **Deliverables.** Outlines how the vendor will meet client needs/objectives.
- **References.** Lists previous clients for whom the vendor has performed similar work.
- **Outlined development process.** Includes a detailed description of the project plan, with the objectives, the scope of the effort, and a time line.
- **Cost.** Lists potential charges and prices for all products and services involved in the project.

  Example: The HRIS project team determines the type and depth of information to be provided by each contractor.

Send RFPs to Chosen Contractors.

Once the RFP has been designed, it is sent to selected contractors. Instructions on the manner and date for submission should be included in the request.

Example: The HRIS project team researches prominent contractors of HRIS systems, narrows the list to five, and sends them the RFP.

Evaluate Contractor Proposals.

Many variables need to be considered when evaluating a third-party contractor's proposal. These variables differ based on the organization's size, priorities, and industry. See Exhibit 4 for criteria to consider when selecting a contractor.

Exhibit 4: Factors to Consider When Evaluating Third-Party Contractors

Evaluating a Third-Party Contractor	
• Scope of resources • Ability to meet specifications • Results of site visit • Price • Commitment to quality of product and service • Schedule	• Company reputation/references • Customization options • Additional value-added capability • Previous/existing relationship • Flexible contract terms • Location • Cultural match

Example: The submitted proposals are reviewed by the HRIS project team. In this case, the top three factors under consideration are 1) ability to meet specifications, 2) customization options, and 3) price. The team also calls the contractors' references and then narrows the field to two. These two are asked to make presentations to the project team.

Choose a Contractor.

When all proposals have been carefully reviewed, it's time to select a contractor that will meet the organization's needs.

Example: The HRIS project team chooses a contractor whose system meets 85% of their specifications and who can customize the remaining 15% into the final product. The price is well within the team's stated budget.

Negotiate a Contract.

Before the project commences, a written contract that outlines the contractor's services should be agreed upon. This contract will describe not only the key deliverables of the project but will include additional information such as implementation time frames, payment terms, performance standards (including response times), training expectations, and upgrade costs and responsibilities.

Example: The director of HR and an advisor from the legal department review and negotiate the final contract with the chosen contractor.

Implement the Project and Monitor the Schedule.

Once the contractor is selected and the contract is approved, the next step is to get the project up and running. First, conduct an initial project planning meeting to review and refine implementation targets in the project schedule.

Example: The HRIS project team meets with team members from the contractor to finalize the project plan and implement system development. The system is implemented on schedule and within budget.

Evaluate the Project.

Upon completion of the project, all payment terms are usually settled and the contractor could ask for an evaluation of its services. This is also the time to conduct an internal evaluation to gather information on how the new system is working and to develop an ongoing evaluation plan.

> **Example:** During the project planning process, the HRIS project team defined benchmarks that could be used to evaluate the system once it was implemented, for example, percentage of errors or number of times support is required. The team now evaluates the system's performance and works with the contractor to correct deficiencies. The team determines that an annual evaluation will be sufficient to plan changes to the system required by legal changes or changes in compensation and benefits.

Demonstrating the Value of HR

Proficiency indicators related to this section include:

- Analyzes and interprets key performance indicators (KPIs) to understand the effectiveness of the HR function.
- Designs and oversees programs to collect, analyze and interpret HR-function metrics to evaluate the effectiveness of HR activities in supporting organizational success.

Key concepts related to this section include:

- HR-function metrics (examples include HR staff per full-time employee, customer satisfaction, key performance indicators, balanced scorecard).

Demonstrating the Value of HR

Just as the organization must measure and demonstrate the value it is delivering to stakeholders, HR must measure and demonstrate its value to the entire organization.

Competency Connection

The HR professional in this scenario is the head of human resources for a company in the logistics industry in Ghana. She has a strong background in HR strategic planning and is also an effective generalist. She was able to apply her experience, expertise, and Behavioral Competencies to a critical personnel problem.

During her first weeks at the company, the HR head completed an HR audit and identified that about 75% of the employees had a problem with the attitude of the managing director (MD). Employees complained of verbal abuse, often in public at company social gatherings. The MD also tended to jump to conclusions about the root causes of problems and then would assign blame. After some few months on the job, the head of HR started experiencing the same issues with the MD. Complaints continued to come from other employees and the senior management team.

According to exit interviews, the MD’s attitude was causing key employees to resign. On investigation, the HR head discovered that the average period for which key talent were staying on the job was 14 months. She also looked at the organizational design and saw that the current structure did not empower employees to execute their responsibilities. The MD was approving almost every decision in the company.

The HR head scheduled a feedback exercise with the MD. She started by asking the MD why she had been recruited for the role. The MD reiterated that he needed a professional to drive the human resource agenda to achieve growth. The HR head asked how the MD perceived the culture of the organization. He responded that he wanted a positive working culture where people are seen as the company’s greatest asset and also where mistakes are seen as opportunities for growth.

Then the head of HR began to review the findings from the HR audit with the MD. The MD became defensive. The head of HR calmed him down and urged him to remember his reason for establishing an HR department and engaging an HR professional to create an enabling working environment. She then reported her research on turnover and noted that, without some changes in culture and

structure, the company would continue to lose key talent and would not achieve the efficiency it needed.

The HR head engaged the MD every week to review events and complaints from employees and the MD's experience in changing his management style. She secured his buy-in to redesign the organizational chart and fully empower line managers to make specified decisions. The MD could then focus on strategic issues and making his company what he had envisioned.

This solution required many Behavioral Competencies. The HR head used Analytical Aptitude in gathering and analyzing data, Leadership & Navigation and Relationship Management to have a frank discussion with the MD, and Consultation and Communication to introduce continuous improvement for the MD and the entire company.

Importance of HR Performance Measurement and Balanced Scorecards

Measuring and reporting results has several important benefits for HR:

- Reinforcing HR’s role in strategic development by measuring the effectiveness of HR strategies and senior management’s implementation of those strategies
- Identifying opportunities for redirection and improvement through periodic measurement of progress on strategic objectives
- Strengthening HR’s relationship with internal business partners
- Supporting future investment in HR programs

The process begins with establishing key performance indicators (KPIs). HR KPIs are sometimes established by applying a balanced scorecard approach to the function’s mission. The function then collects data to compare performance with these KPIs and other metrics. Assessment can include variance analysis of outcomes or results—such as variances of recruiting costs from budget. It can also include assessment of processes—how HR performs its work; whether that performance meets the function’s mission, values, and goals; and, if needed, how those processes can be improved or changed.

Creating an HR Balanced Scorecard

Balanced scorecards provide a concise yet overall picture of an organization’s performance. They can be used to focus organizations and functions on key strategic activities, to craft

responses to goals, and to create metrics to assess the effectiveness of these responses. Balanced scorecards help support a clear line of sight from strategic goals to strategic performance.

Key Content

By linking clearly defined department objectives and performance to the company's strategic business goals, a balanced scorecard for HR can serve as a way of focusing human resource staff on activities that will support the company's goals. An HR balanced scorecard also demonstrates HR's strategic value by defining and measuring HR's contribution in concrete, clearly understood terms.

For example, consider an HR function that has analyzed the organization's strategy and has identified the following ways in which it can contribute, based on the four perspectives of the balanced scorecard:

- Financial: Develop alternative staffing strategies to provide more flexibility to meet shifts in production demands.

- Customers (other functions and employees): Provide easier access to HR services, including consultation with functional leaders.
- Internal business processes: Apply technology to increase efficiency and capture data.
- Learning and growth: Make sure that future leaders will be available across functions, throughout the organization.

These goals lead to actions or programs. For example, the focus on leader development leads HR management to contract with an outside consultant to assess and work with identified high-value employees. To measure the effectiveness of this action, HR must identify the right metrics. What will indicate that the program is, in fact, resulting in a growth in leadership capabilities? Results from simulation exercises? Retention of key employees? Fill rate of leadership positions from internal candidates?

For an HR balanced scorecard to be truly effective, it must:

- Contain accountability and measurable results.
- Be valid. The measurement system must contain understandable measures, metrics, and targets that are aligned to the objective and can be supported with solid data.
- Contain only those measures that are most important to the objective and the organization’s strategic plan; that is, the

measures must result in actionable items.

- Focus on results. Simply measuring turnover or time to fill is ineffective if no action is taken as a result. More meaningful measures that are aligned clearly with the organization's strategic plan include productivity and retention.
- Be carefully planned and executed.

HR Metrics

HR metrics focus on traditional measures of efficiency and effectiveness (such as budget performance, hiring ratios and costs) as well as strategic HR activities (for example, metrics indicating increased employee engagement, such as reduced absenteeism or discipline issues, or reduced risk, such as accident rates and compliance audit results).

Exhibit 5 lists common HR metrics.

Exhibit 5: Sample HR Metrics

Metric	Description	Possible Use
Absence rate	Ratio of lost days to number of employees	To reflect benefits of a change in workplace conditions
Accruals	Comparison of budget to actual assignee costs	To monitor expense accruals and make sure that assignment budget and financial goals are met

Metric	Description	Possible Use
Applicant yield ratio	Percentage of applicants who proceed to the next step of the selection process	To demonstrate effectiveness of recruiting methods
Cost per hire	Total costs of hiring divided by number hired	To demonstrate increased efficiencies in recruitment and hiring process
Customer satisfaction	Measure of various different customer opinions across services offered by HR	To demonstrate increased satisfaction as a result of specific program changes or new service offerings
HR staff per full-time employee	Ratio of the number of HR staff retained to number of overall full-time staff retained	To show if HR is adequately staffed to support the needs of the workforce
Human capital return on investment	Ratio of employment-related expenses to revenue minus nonemployment expenses	To demonstrate value of HR programs
Human capital value added	Revenue minus nonemployment expenses divided by number of full-time employees	Used comparatively to indicate increase in employee productivity as the result of HR activities
Key talent retention	Percentage of key talent retained	To demonstrate effectiveness of employee development and reward strategies
Promotion pattern	Percentage of internal promotions	To demonstrate effectiveness of development programs and strong culture
Success ratio	Proportion of selected applicants who are later judged to be successful on the job	To indicate effectiveness of recruiting, selection, and orientation methods

Metric	Description	Possible Use
Training return on investment	Economic benefit of enhanced performance minus costs of developing, producing, and delivering training	To demonstrate value of strategic choice to invest in training
Transfer	Number or percentage of employees moving across divisions to new jobs	To track internal competency development and global talent management
Turnover costs	Costs associated with separation, vacancy, replacement, and training	When turnover rate is combined with costs of turnover, to demonstrate economic benefits of a change in pay or benefits
Turnover rate	Proportion of exiting employees to all employees	When turnover rate is combined with costs of turnover, to demonstrate economic benefits of a change in pay or benefits
Vacancy costs	Costs of substitute labor (temporary workers, contractors, outsourcing partners) minus wages and benefits not paid because vacant	To support decision to outsource function or area and decrease internal head count

Each organization must choose the metrics that are meaningful for its activities and strategic focus. Note that formulas for the same metric can vary; it is important to use a consistent formula throughout your organization and when benchmarking.

HR Audits

In an **HR audit ,** an organization's HR policies, practices, procedures, and strategies undergo a systematic and comprehensive evaluation to establish whether specific HR practices are adequate to achieve the function's goals. For example, policies must be aligned with current organizational goals. Audit results help to identify gaps, which can then be prioritized for corrective action.

Decisions about what to audit can result from a variety of internal and external factors. Poor KPI results may require closer analysis of processes to identify possible causes. Changes in organizational strategy may require realignment of HR policies and practices. New laws and technology can change the way work is done and introduce vulnerabilities that must be managed. The audit targets are prioritized depending on the constraints of time, available resources, and/or budget. Keeping a log of issues that have arisen may help identify areas of weakness that can be examined and addressed during the audit process.

Types of HR Audits

There are different types of HR audits, and each is designed to examine different types of HR goals—for example, to use resources

efficiently or to maintain compliance with local laws and regulations. Exhibit 6 lists the more common types.

Exhibit 6: Types of HR Audits

Audit Type	Description
Compliance	Focuses on how well the organization is complying with current employment laws and regulations
Best practices	Helps the organization maintain or improve a competitive advantage by comparing its practices to those of employers identified as having exceptional HR practices
Strategic	Focuses on the strengths and weaknesses of systems and processes to determine whether they align with the HR departmental and/or the organizational strategic plan
Function-specific	Focuses on a specific area in the HR function (such as payroll, performance management, records retention, etc.)

Source: “Conducting Human Resource Audits,” SHRM

The Audit Process

The actual process of conducting an audit typically follows these steps:

- **Determine the scope and type of audit.** Will the audit examine all or only specified policies and processes?
- **Develop the audit questionnaire.** This tool helps ensure that all necessary data is collected in a consistent manner.

- **Collect the data.** The process should be designed for efficiency. It should be thorough but should aim at creating minimal disruption.
- **Benchmark the findings.** The findings are compared with agreed benchmarks, which may be policy or legal requirements or best practices.
- **Provide feedback about results.** It is an ethical obligation to describe audit findings to management. Areas of poor performance are prioritized in terms of their strategic or risk impact.
- **Develop action plans.** The audit generally includes recommendations for addressing the issues identified. Ownership is assigned for the plans, and a time frame for action is set. The actions taken are reviewed. If the plans have not been fulfilled, management may be involved.
- **Foster a climate of continuous improvement.** Audits are a key part of a quality improvement process—a cyclical process of planning, acting, and checking.

Exhibit 7 summarizes the audit process steps.

Exhibit 7: The HR Audit Process

Audit Step	Description
Determine the scope and type of audit.	Identification of exactly what areas should be targeted for review (such as comprehensive review of all practice areas or a limited review of the adequacy of a specific process or policy)
Develop the audit questionnaire.	Development of a comprehensive document that elicits information during the inquiry (for example, a list of specific questions)
Collect the data.	Use of the audit questionnaire as a “road map” to collect information
Benchmark the findings.	Comparison of the audit findings with HR benchmarks (such as results for other similarly sized employers, national standards, or internal organizational data)
Provide feedback about the results.	Review of data and presentation of summarized findings and recommendations (such as a written report and discussions) for the organization’s HR professionals and senior management team Prioritization of recommendations based on the risk level (for example, high, medium, and low) Development of a time line for required action(s)
Develop action plans.	Development of action plans for implementing the changes suggested by the audit, with the findings separated by order of importance: high, medium, and low
Foster a climate of continuous improvement.	Constant observation and continuous improvement of the organization’s policies, procedures, and practices (such as continuous monitoring of HR systems to ensure that they are up-to-date and have follow-up mechanisms)

Source: “Conducting Human Resource Audits,” SHRM

Organizational Effectiveness & Development

Organizational Effectiveness & Development concerns the overall structure and functionality of the organization, and involves measurement of long- and short-term effectiveness and growth of people and processes and implementation of necessary organizational change initiatives.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Collects and analyzes data on the value of HR initiatives to the organization.
- Ensures that key documents and systems (examples include job postings and descriptions, performance management systems) accurately reflect workforce activities.
- Identifies areas in the organization's structures, processes, and procedures that need change.
- Recommends methods to eliminate barriers to organizational effectiveness and development.
- Supports change initiatives to increase the effectiveness of HR systems and processes.

Proficiency indicators for **advanced HR professionals** include:

- Aligns HR's strategy and activities with the organization's mission, vision, values, and strategy.
- Assesses organizational needs to identify critical competencies for operational effectiveness.
- Consults on, plans, and designs organizational structures that align with the effective delivery of activities in support of the organization's strategy.

- Designs and oversees change initiatives to increase the effectiveness of HR systems and processes.
- Ensures that HR initiatives demonstrate measurable value to the organization.
- Establishes measurable goals and objectives to create a culture of accountability, continuous experimentation, and improvement.
- Regularly monitors results against performance standards and goals in support of the organization’s strategy.

Key Concepts:

- Group dynamics (examples include intergroup vs. intragroup, group formation, identity, cohesion, structure, influence on behavior, conflict, forming/storming/norming).
- Organizational analysis (examples include performance analysis, McKinsey 7S model).
- Organizational design structures and approaches (examples include customer, functional, geographic, matrix, program).

Organizational Effectiveness & Development

In its role as a consultant to the organization, HR may be called upon to act in the capacity of an “organizational” physician, requested by organizational leaders to examine the health of the organization, assess its ability to function at a level needed to attain strategic goals, and recommend and possibly implement improvements to the organization’s “effectiveness.”

Organizational effectiveness and development (OED) can be seen as a process or tool to fulfill this role—to identify and remove internal obstacles to the organization’s strategic goals and continuous improvement. The skill of asking questions is critical in OED, and the questions should start with “Where are we now?” and “Where do we want to go?” and “What is keeping us from getting there?” This is the effectiveness part of OED. The development part comes with the next question: “How must we change to get onto the right path toward our goals?”

OED identifies and addresses organizational performance issues through planned interventions that engage stakeholders in information gathering and solution design and implementation. Interventions may focus on organizational or team performance

issues. Organizational interventions may result in changes in structure, culture, competencies, technology, or processes. Team interventions focus on developing more unified and focused teams and helping dysfunctional teams move past conflict and toward accomplishment.

Organizational Development

Proficiency indicators related to this section include:

- Identifies areas in the organization’s structures, processes, and procedures that need change.
- Aligns HR’s strategy and activities with the organization’s mission, vision, values, and strategy.
- Assesses organizational needs to identify critical competencies for operational effectiveness.
- Designs and oversees change initiatives to increase the effectiveness of HR systems and processes.
- Establishes measurable goals and objectives to create a culture of accountability, continuous experimentation, and improvement.
- Regularly monitors results against performance standards and goals in support of the organization’s strategy.

Key concepts related to this section include:

- Organizational analysis (examples include performance analysis, McKinsey 7S model).

Organizational Development

Organizational effectiveness and development (OED) focuses on the structure and functionality of the organization to increase the long- and short-term effectiveness of people and processes. The term **organizational development (OD)** refers to an organizational management discipline used to maintain and grow organizational effectiveness and efficiency through planned interventions.

Competency Connection

An outpatient physical therapy company was having difficulty meeting its monthly objectives. Overall employee morale was also low. Perhaps it was a cause of the problem, or it might have been a result of the organizational performance. The team lead of patient services was assigned to investigate the issue.

He collected and analyzed data regarding knowledge and experience at each of the company's 15 clinics, focusing on the clinics' team leads. The analysis identified significant variations in competency among the 15 clinics, primarily within the administrative and clerical function.

To address the issue, the HR professional developed a transfer-of-learning program in which offices would "share" employees between

clinics. The employees assigned temporarily to higher-performing clinics were able to obtain valuable information to bring back to their own offices.

Several months after the development of the program, the HR professional examined the key performance indicators (KPIs) for knowledge and experience that he had initially examined to identify the variations that the program sought to address. Based on the KPIs, the HR professional was able to determine that the program was achieving its goals and no further changes were needed.

He discovered that his own competency in Communication was required to promote, facilitate, and foster the openness and trust essential to the sharing of knowledge. He was able to listen, establish relationships, and model good communication skills that the staff could use to learn about and trust each other.

Organizational Theories

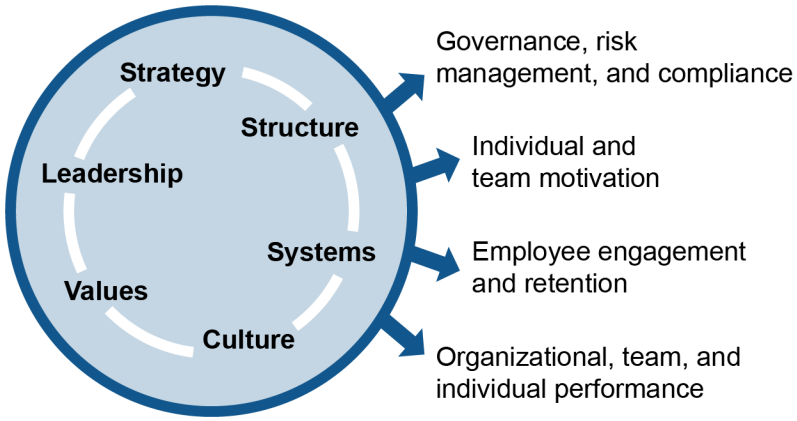
If organizational development is comparable to conducting a medical examination, organizational theories help to explain how the organization functions, including its parts and how they interact.

A number of organizational models have been developed, such as the McKinsey 7-S Framework, Kotter’s eight-step change model,

and Lewin's change management model. The terms may be different, but what these models propose is very similar. In order for an organization to implement its strategy successfully, it must align its various components. For example, its structure must suit the strategy. If it does not, the structure—or the strategy—must be changed.

Exhibit 8 illustrates this general concept.

Exhibit 8: Organizational Model



The major organizational elements that must be aligned with strategy include:

- Structure—the way the organization separates and connects its pieces.
- Systems—the policies that guide behavior and work, the processes that define how tasks will be performed, and the technology or tools used to support that work.

- Culture—the set of beliefs, attitudes, values, and behaviors shared by members of the organization and passed on to new members.
- Values—principles that the organization and its leaders have explicitly selected as a guide for decisions and actions.
- Leadership—the model of behavior that leaders set for the rest of the organization.

The way these elements are implemented and aligned can affect:

- The motivation employees apply to their work.
- Employees' engagement or identification with their work and the organization's goals.
- Performance levels and results—the effectiveness and efficiency in reaching goals—for the entire organization, for its structural pieces (such as divisions, functions, teams), and for individual employees.
- Governance—the organization's ethical and legal compliance and its approach to managing risk.

HR professionals will apply their Consultation competency to understand their organization according to this model and then to evaluate its ability to meet the strategic goals the organization has set. HR will deliver a diagnosis or assessment and then a course of

treatment or interventions that will be taken to correct performance obstacles.

OED Interventions

An OED intervention can be seen as stepping in to interrupt the status quo or the current state in order to examine a situation more closely and make changes that could improve outcomes. Interventions are often described as “structured activities,” in the sense that an intervention may involve multiple actions that are each focused on the same objective, organizational performance improvement.

A business case will likely need to be made in order to begin an OED intervention. The business case should use data to illustrate the need for the intervention and should outline KPIs that will be used to track the intervention’s success at achieving its outlined goals. OED interventions that begin based on conjecture and that do not outline metrics are difficult to evaluate, leaving the organization unable to determine if the intervention was actually successful or if additional changes are needed. The goals should work toward enabling the organization to better achieve its strategic goals and should be determined collaboratively between HR and the internal

client needing or requesting the intervention. The goals may also examine the efficiency of resources used to create value.

The actual OED intervention includes both the tools used to examine the issue and the change or solution that will be implemented. For example, HR may be asked by management to find out why it takes so long to implement strategic initiatives. In the course of the intervention, HR may conduct multiple interviews and focus groups and determine that problems primarily occur in departments that have recently undergone a change in leadership. After more interviews and reviews of personnel files, HR determines that the issue is caused by a weak succession planning system that does not adequately prepare for transitions in leadership. A program to improve succession planning is developed and launched. HR meets with all departments to explain the new process and calm employee fears. A year later, HR reviews data on recent initiatives, focusing on their start-up times and delays that might have been caused by leadership problems.

Since organizations are systems, solutions must address root causes and contributing factors for dysfunctions and, for strategic changes, overall goals and key performance indicators. Changes proposed in one area must be analyzed for possible effects on other parts of the organization. The complete answer may be an OED

strategy composed of multiple interventions, aimed perhaps at different audiences or scheduled for different stages in an extended period of change.

HR professionals may be involved in OED interventions directly as internal consultants to the organization, or they may participate indirectly with third-party consultants, contributing their knowledge of the organization, its people, and its processes and their expertise in managing workforce capabilities and productivity. HR managers may apply OED principles to increasing the effectiveness of the HR function.

Proactive Interventions

Proactive OED interventions identify and correct potential problems before they begin affecting performance. They may also prepare the organization to take advantage of anticipated opportunities. For example, OED can help organizations that must compete in a rapidly changing marketplace to develop:

- Communication networks that allow critical information to be exchanged quickly, free of hierarchical structures that slow communication.
- Structures that allow employees to make decisions quickly and independently.

Remedial Interventions

Remedial interventions make changes that bring an organization back on course toward its strategic goals. They are typically intended/designed to resolve a problem or issue that is current or newly discovered and to bring about a long-term positive impact on the organization and its function. Assessing the success of a remedial intervention can be easier than for other interventions. Simply put, was the problem or issue resolved?

Here are five ways in which remedial interventions can impact an organization:

- Increase efficiency.
- Reduce employee burnout.
- Improve product performance.
- Shift from reactive to more proactive strategy.
- Address budget deficits.

Characteristics of Effective OED Interventions

Effective OED interventions share certain characteristics. Some of these characteristics are described in Exhibit 9.

Exhibit 9: Characteristics of Effective OED Interventions

Characteristics	Importance
Strategically aligned	Helps ensure that plans reinforce, complement, and build on each other and support overall organizational goals and strategies
Collaborative	Facilitates discovery of causes and development of solutions with critical input from those most closely involved (managers, supervisors, and employees) in intervention area
Supported by top management	Helps reduce resistance to eventual change
Producing sustainable results	Changes that can continue to deliver long-term results, perhaps because of management preparation or group involvement and acceptance of new processes and success criteria
Supporting continuous improvement	Aims at strengthening the organization in an ongoing manner by identifying weaknesses and opportunities and engaging employees in performance improvement (Continuous improvement is a basic tenet of the quality management programs to which many organizations today have committed.)
Using common tools	Allows for easy comparisons and collation of data
Using common language	Avoids confusion and misunderstanding
Explicit assumptions	Allow the validity of underlying assumptions to be challenged
Fact-based	Clarifies the difference between what is known and what is supposed
Evidence-based	Uses current best evidence to identify problems/issues specific to the organization through a commitment to continuous, up-to-date information and knowledge gathering and analysis
Oriented toward systems and processes	Uses systems theory to analyze problems (discussed elsewhere in further detail).
Flexibility	Recognizes and accepts that assumptions are likely to change

Characteristics	Importance
Multiple perspectives	Provides access to diverse perspectives

Assessing OED Interventions and Why They Fail

OED interventions must be assessed once they are concluded, so time must be allowed following the intervention to accurately measure its efficacy. The measurement should use KPIs that track the process or unit that underwent the intervention to determine if it actually succeeded at achieving its stated goals. Measuring too soon, or without using quantifiable data, may result in the organization being unable to accurately determine if further action is required to address the identified issue.

In addition to measurement of the intervention itself, the client's perception of the experience is also an important part of the assessment. Clients may be surveyed or interviewed about whether their expectations were fulfilled. Were objectives achieved? Did HR communicate the process well during the planning phase and then throughout the process? Did HR involve and listen to stakeholders (such as employees)?

Finally, HR should assess its own effectiveness and efficiency in conducting the intervention. Did HR achieve its own quality goals throughout the intervention? Did members of the team execute their roles properly? Were commitments to the client met in terms of project deliverables (such as written reports) and promised delivery dates?

The results of this assessment process can guide steps forward for the organization and encourage continuous improvement for the OED process. Not every assessment will be successful, so it is important to remember all the difficulties that can surround an intervention as it is planned, implemented, and sustained.

Some interventions fail because they never get started. Those involved may be afraid of the effect of change on the organization and may hold back. They collect data, they analyze it, they discuss possible actions, but in the end they fail to act. This is often called “analysis paralysis,” but the analysis is not the problem. The real issue is a reluctance to take reasonable risks. Some other interventions fail because they are not based on data but on conjecture. This happens when insufficient or inappropriate data is collected or if no data is available.

Other interventions fail because their objectives are too grand or the number of changes necessary is too great. The hurdles may be

limited resources or an organization that is not skilled at change. The requirements for the objectives to be met may not have been thoroughly defined, and therefore the organization is not prepared or equipped to implement the changes. The impact of external forces may be underestimated. The gaps between the current and envisioned organizational cultures may be too great to overcome in the amount of time allocated. Small steps may be required rather than great leaps.

And sometimes interventions fail because the planners focus on their solution and not on the people who will make the solution work. Interventions involve change, and implementing change involves the entire organization. Some of the specific communication pitfalls and possible remedies for them are the following:

- **Leadership does not get involved.** Sometimes decisions about major organizational changes are made at the top management level and then news is allowed to trickle down to employees. As a result, why and how the organization is changing may be unclear. Leaders and HR professionals should roll out a clear, universal, consistent message to everyone in the organization at the same time, even across multiple sites and locations.

- **The wrong messengers are used.** Studies have found that employees tend to trust information from managers. Understanding the organization's culture will indicate who is the best messenger for change—the manager, the senior executive team, or HR. Middle and front-line leaders are the primary communicators to employees; communication from them should be frequent and consistent. Everyone affected by the change needs to know what it entails, why and how it is happening, and what's in it for them. Don't impose change; engage employees in a conversation about it. Ask them what they think and how they are feeling. They will talk if you listen.

- **Communication is too sudden.** Leaders and managers need to prepare employees for change, allow time for the message to sink in, and give them an opportunity to provide feedback before a change is initiated.

- **Communication is too late.** If anxieties are not managed in a timely manner, it will take longer for changes to be accepted, and, during this period, productivity and employee engagement will suffer. To avoid this problem, HR should be involved in change planning early to help motivate employees to participate. While the solution is being developed, HR needs to develop a plan for communicating the program to the

organization—both the content of the message and the way in which it will be communicated. Change-related information should be communicated to employees via multiple forms (for example, e-mails, meetings, training sessions, internal social media, press releases).

- **Communication is not aligned with organizational realities.** Messages should be honest and include the reasons behind the change and the projected outcomes.
- **Communication is too narrow.** If the communication focuses too much on detail and technicalities and does not link change to the organization’s goals, it will not resonate with employees.

Improving Organizational Performance

Proficiency indicators related to this section include:

- Collects and analyzes data on the value of HR initiatives to the organization.
- Ensures that key documents and systems (examples include job postings and descriptions, performance management systems) accurately reflect workforce activities.
- Identifies areas in the organization’s structures, processes, and procedures that need change.
- Recommends methods to eliminate barriers to organizational effectiveness and development.
- Supports change initiatives to increase the effectiveness of HR systems and processes.
- Aligns HR’s strategy and activities with the organization’s mission, vision, values, and strategy.
- Assesses organizational needs to identify critical competencies for operational effectiveness.
- Consults on, plans, and designs organizational structures that align with the effective delivery of activities in support of the organization’s strategy.

- Designs and oversees change initiatives to increase the effectiveness of HR systems and processes.
- Ensures that HR initiatives demonstrate measurable value to the organization.
- Establishes measurable goals and objectives to create a culture of accountability, continuous experimentation, and improvement.

Key concepts related to this section include:

- Organizational design structures and approaches (examples include customer, functional, geographic, matrix, program).

Improving Organizational Performance

Improving organizational performance often involves aligning structure, roles and responsibilities, process, and culture with new strategic goals.

Competency Connection

An organization is pursuing a growth strategy through merger and acquisition (M&A). HR has been actively involved in performing due diligence for a proposed M&A target. Senior management is very committed to acquiring the operation because it would advance their planned vertical strategy.

The chief human resources officer (CHRO) is reviewing data gathered by an HR task force. This analysis is supported by a variety of Behavioral Competencies. Much of the data is financial, assessing the financial implications of the target's workforce demographics and existing contracts. Business Acumen and Analytical Aptitude help there. Global Mindset helps the CHRO note some characteristics of the target company's culture that might cause problems. A few lines in a report suggest that the CHRO's organization differs in its approach to employee relations from the

organization targeted for acquisition. The CHRO's organization has implemented many processes designed to promote individual initiative and innovation. The target organization, however, is very hierarchical. This is reflected in the many layers of approvals that must be obtained to make decisions, the intricate dispute resolution path, and the formal communication channels its employees must follow. The differences suggest entirely different employee relations strategies, probably different cultures, and possibly different employee skill sets, which could have strategic implications.

Using the Consultation competency, the CHRO presents HR's complete findings to senior management, emphasizing the cultural and strategic challenges that this merger poses.

Organizational Interventions

Organizational interventions look at how the structure of the organization is helping or hindering the organization's strategic progress. Organizational structure refers to the way in which work groups are related.

Organizational interventions are required when an organization:

- Is failing to meet its strategic objectives because its structure is inefficient and/or ineffective. The organization's structure no longer meets its needs. A common example of this situation is

the progression of an organization through its early stages of growth. The organization's design must be aligned with its new realities.

- Has changed its competitive strategies and needs to develop new skills and traits—for example, skills needed to respond to market changes quickly. The organizational design must be focused in a new direction.

Redesigning the Organization

Organizational design refers to elements that support an organization's functioning. These elements include structure but other factors as well, including:

- The organization's mission and vision and the strategies it is pursuing to achieve its goals.
- The way decisions are made.
- The way information is communicated.
- The processes used to perform work and the degree to which those processes connect parts of the organization's structure and the way in which those linkages are managed.
- The systems used to align the organization's needs with the resources required to fill those needs. This, of course, includes human resources and all the systems HR uses to fulfill its responsibilities, from recruitment through talent management

and exit. It can also include physical and financial assets (for example, equipment, facilities, budgets) and organizational knowledge and expertise.

All of these elements create the integrated system that is the organization. Any OED solution must acknowledge the integrated nature of the organization's design.

HR's Role in Organizational Design

HR's roles and responsibilities in organizational design should include:

- Providing leaders with a structural diagnosis by identifying the root causes of organizational performance issues.
- Helping leaders evaluate a range of clear design options.
- Ensuring that leaders align organizational design decisions with short- and long-term strategic goals by identifying critical activities, strengths, and weaknesses.
- Helping leaders understand their roles and responsibilities that ensure that the structure is properly implemented.
- Continually monitoring the structure for alignment with the organization's business strategy and highlighting challenges as needed.
- Planning for internal or external resources to deliver appropriate short- or long-term development interventions and activities and

ensuring that those resources have the appropriate subject matter expertise and credibility to be effective or have the appropriate background, relationship-building skills, and cultural familiarity to quickly build credibility.

Structural Characteristics in Organizational Design

Organizational structures share certain characteristics that must be aligned with the organization's strategic goals, competitive environment, and culture.

Work Specialization

Work specialization refers to the degree to which tasks are performed as separate jobs. While work specialization is seen as increasing efficiency and quality, it can also result in boredom and lack of quality. And in complex and technology-driven enterprises, specialization can also hamper collaboration and innovation.

Decision-Making Authority

This principle describes how decisions are made within the organization. Authority relates to the scope of responsibilities that define the area in which a manager or supervisor is empowered to

make decisions. The organization determines which decisions can be made at each level of the organization and within each function in order to ensure that the best decisions are made in the most timely manner. In a global organization, decisions may be made at headquarters (centralized) or delegated to other parts of the organization (decentralized).

Layers of Hierarchy

The hierarchical layers of an organization range from the chief executive officer to the employee in a function. The trend in organizational structure has been to reduce the number of layers and waste within organizations. The result is flatter and, leaders hope, more efficient organizations with fewer staff support positions. The ratio of direct to indirect employees (people doing the work as opposed to people supporting those doing the work) is a key metric of organizational efficiency. Global organizations often value nimbleness or agility since their interconnectedness and global exposure may call for rapid organizational response.

There are two important concepts when determining the layers of hierarchy: chain of command and span of control.

Span of control refers to the number of individuals who report to a supervisor. Executives, managers, supervisors, and subordinates

are hierarchically connected. Organizations in which many subordinates report to a few supervisors are referred to as “flat.” There are many factors that drive an organization toward a wider span of control, including the desire for subordinates to communicate directly with their ultimate supervisor and decision maker. However, spans of control that are too large can slow an organization, making it difficult for supervisors to make decisions quickly. Many decisions must flow to the top, and the decision queue can become crowded. Flat organizations can be nimbler. When decisions are made, they can be communicated and implemented quickly.

Chain of command refers to the line of authority in an organization. Traditionally, a subordinate reported to only one superior. This eliminated the confusion, loss of productivity, and stress that could result from an employee trying to follow the directions of two separate managers. Today the chain of command is growing less distinct in many organizations. As organizations push decision-making authority downward or become matrixed, and as ad hoc or permanent work teams become more common, the line of authority can appear lateral or web-like.

Formalization

Formalization refers to the extent to which rules, policies, and procedures govern the behavior of employees in the organization. The more formal the organization, the greater the written documentation, rules, and regulations. Some organizations are more loosely structured than others. Formalization may serve an organization well when uniformity is an imperative—for example, when there is low tolerance for variations in parts or when it is critical that, for reasons of compliance, a process be conducted in a precise manner. It can, however, restrict employees' abilities to respond to unusual situations or customer needs as well as stifle creativity and innovation.

Over time, formalization becomes ingrained in an organization's culture and can be difficult to change. This may be a challenge when an organization merges with or acquires an entity with a dissimilar approach to formalization. Similarly, when an organization expands into a country or region where different culturally defined tastes for formalization prevail, it has to decide how to manage the differences to achieve global cohesion.

Departmentalization and Types of Structures

Departmentalization refers to the way an organization groups its jobs and aligns effort. Four commonly seen structures are discussed here (functional, product, geographic, and matrix), but you may encounter other, less common types of structures in your work. New business models may require different structural approaches.

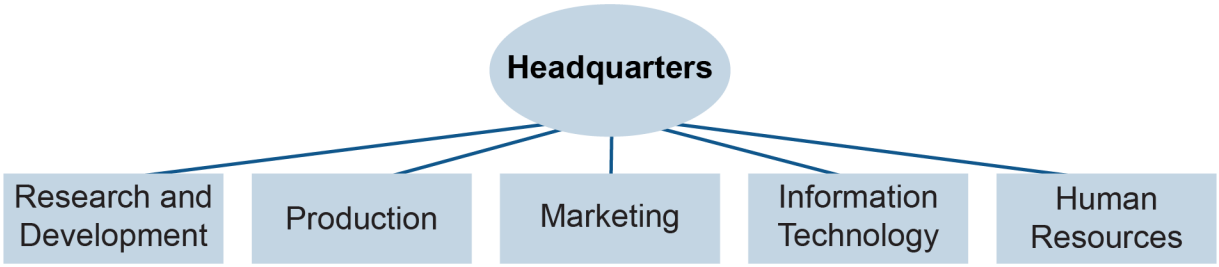
Functional Structure

In a **functional structure ,** departments are defined by the services they contribute to the organization's overall mission, such as marketing and sales, operations, and HR. Traditionally, this has been the most common organizational structure.

A related method is departmentalization by process. If the organization's work is divided according to a linear process, the organization might be divided into departments like design, supplies procurement, manufacturing, sales and marketing, distribution, and customer service.

Exhibit 10 illustrates a functional structure. In this example, all employees—no matter what products they are working on—report to a single location.

Exhibit 10: Functional Organization



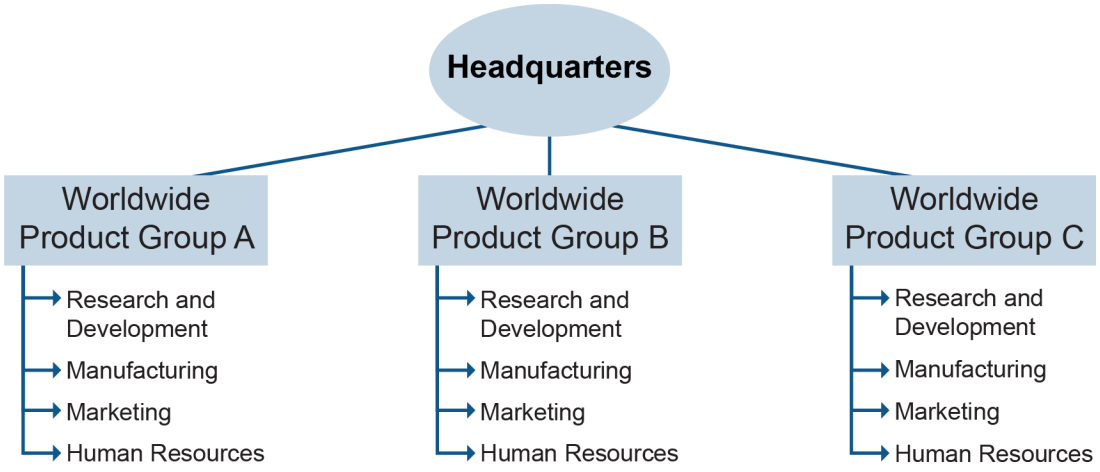
Some units are considered line units while others are considered staff units. **Line units** are work groups that conduct the major business of the organization, such as the production or marketing functions. **Staff units** assist the line units by performing specialized services for the organization, such as accounting or HR.

Product or Customer Structure

In an organization with a **product structure ,** functional departments are grouped under major product divisions. A consumer electronics company, for example, may have separate divisions for home appliances, mobile devices, and televisions. Each division will have its own marketing, sales, manufacturing, and finance functions. More employees are required to staff this type of organization, but presumably this is offset by accumulated experience and expertise.

Exhibit 11 illustrates a product structure.

Exhibit 11: Product Organization



The customer structure is similar, with each division focusing on a group of customers with distinct needs. For example, a financial service business may have commercial, residential, and institutional customer divisions.

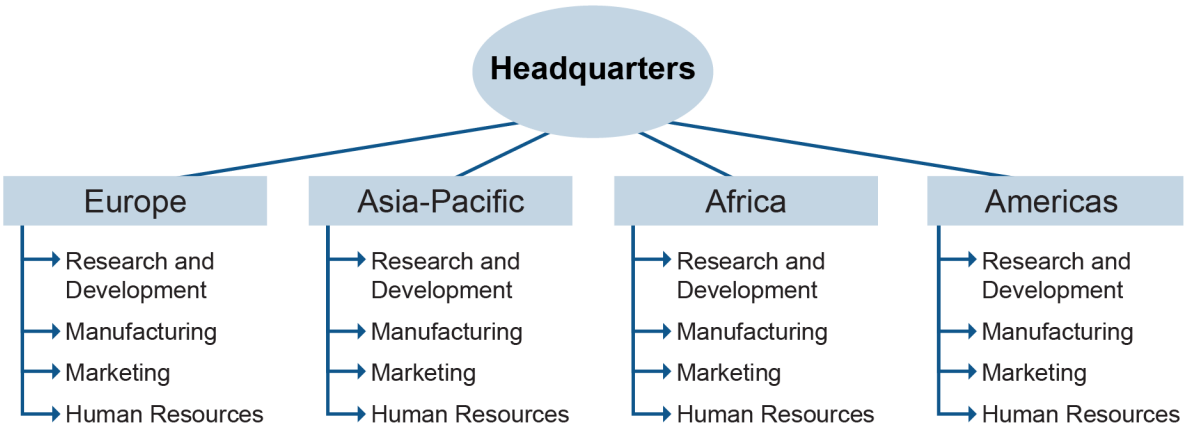
Geographic Structure

A **geographic structure** is very similar to a product structure, with the exception that geographic regions or countries—rather than products—define the organizational chart. A purely domestic organization may be structured around regions within the country. Global organizations may be organized by, for example, continents or countries. Each region or country has its own complete and self-sufficient set of functions. More employees are required to staff this type of organization than in a purely functional enterprise, but value

is achieved because each division can be more responsive to local markets.

Exhibit 12 illustrates a geographic structure. The example shows the geographic structure for a multinational enterprise. Each region or country has its own division, and decision making is decentralized. The region must be sufficiently large to support this structure.

Exhibit 12: Geographic Organization



Matrix Structures

A **matrix structure** combines departmentalization by division or program and function to gain the benefits of both. An organization may use a matrix structure when the vertical hierarchy begins to obstruct value activities—when silos get in the way of collaboration. A matrix structure includes cross-functional teams who may work together to design, develop, and market products.

Key Content

The matrix structure creates a dual rather than single chain of command. As a result, some employees report to two managers rather than one, with neither manager assuming a superior role. The project or program manager interacts with the employee about project work; the functional manager may be responsible for regular performance reviews and career development. This structure requires good communication and collaboration between the managers. Without it, employees may become overworked and stressed.

An example of a matrix structure would be an aeronautics manufacturer who maintains the usual functions but structures work around contracts that it has received or programs dedicated to developing new models or technologies. As contracts and programs end, employees return to their functions and wait for reassignment to new projects.

There are advantages and disadvantages to each type of organizational structure, as shown in Exhibit 13.

Exhibit 13: Advantages and Disadvantages of

Organizational Structures

Type of Structure	Advantages	Disadvantages
Functional	Easy to understand Specializations develop Economies of scale Easier communication within functions Clear career paths	Weaker customer or product focus Potentially weak communication among functions Weak grasp of broader organizational issues
Product	Economies of scale Product team culture Product expertise Cross-functional communication	Regional or local focus Weak customer focus
Geographic	Proximity to customer Adapted to local practices Quicker response time Cross-functional communication	Fewer economies of scale Potential issues with consistency across regions (for example, practices, values, strategic focus)
Matrix	Combination of cross-disciplinary capabilities and perspectives Availability of best global talent Flexibility and agility	Complex reporting structures Potential for conflicts between functions and projects over resources Potential cultural conflicts on teams

Aligning Roles and Responsibilities in New Organizational Structures

Lack of clarity about authority and coordination of communication can cause highly integrated structures, such as matrix structures, to fail. This is often addressed simply by better defining the roles and responsibilities of each member in the structure.

The RACI matrix is commonly used for this purpose. A sample matrix is shown in Exhibit 14.

Exhibit 14: RACI Chart

Activity	John	Mary	Team leaders	George
Documenting changes	Responsible	Accountable	Consulting	Informed

Key Content

RACI stands for responsible (R), accountable (A), consult (C), and inform (I). For any given activity, individuals will be assigned a certain role.

For example, one of the activities in a software development function may be to track and record changes to software programs. In this instance:

- A responsible member will perform the activity. In our example, John is responsible for updating documentation of every change made to the software issued by the function. For a large and/or complex activity, multiple people may be assigned responsibility for a single activity and must coordinate performance with each other.

- The accountable member is in charge of the activity and answers to management for the activity's performance. This individual approves and allocates resources. In our example, the accountable person would probably be the head of the software development function, Mary. To avoid confusion, there should be only one accountable role. An accountable member, however, may also be involved in performing the activity or providing guidance and expertise.

- A consulted member provides advice or information necessary to perform the task. For example, the leaders of the different software application teams or the coders/designers themselves may be tasked with providing this information to John.

- Members to be informed receive communication about activities but do not perform or consult. For example, George needs to know when changes are being made because his responsibility

is to contact all the users in the organization about changes that may affect them.

A RACI chart helps an organization establish clarity around its critical activities by assigning responsibility and describing communication needs. These charts can be a helpful exercise when an organization is restructuring or introducing new activities or processes.

Performance Gap Analysis

Interventions may require focusing on performance requirements at an organizational level: knowledge and skills, technology, processes, and organizational culture.

Gaps in Required Knowledge and Skills

A gap analysis must be performed between the skill set needed now or in the near future and the skill set as defined in current job descriptions. These problems may be addressed through different types of training, coaching, and mentoring. Job descriptions must be revised to align with current needs. For example, an OED intervention may identify a strategic need for a deeper pool of supervisory/managerial talent. High-potential employees may be identified and provided with the knowledge and skills needed to fill

this organizational need (such as mentored job experience or training in leadership, relationship management, and communication skills.)

Activities designed to develop organizational talent are shown in Exhibit 15.

Exhibit 15: Talent Development Interventions

Activity	Tasks
Identify the talent needs of the organization. What is essential to meet the overall objectives?	• Ensure that the current job descriptions accurately reflect the work to be done to achieve organizational objectives, and prepare job descriptions for any anticipated positions. • Clarify performance standards and assessment metrics. • Compare skill set inventories (formal and informal) of the incumbents to the selected future competencies. • Identify any competency deficiencies.
Develop existing staff.	• Determine if adequate staffing exists or if recruitment efforts will be required. • Coordinate selection processes. • Develop comprehensive workforce development initiatives that grow internal technical/functional capabilities as well as the management and employee behavioral practices needed to achieve results.

Activity	Tasks
Build talent pool.	• Establish a comprehensive performance management program that stresses instituting stretch goals. • Communicate performance expectations. • Measure performance objectively and regularly, and provide candid, honest feedback on a regular basis. • Develop coaching or mentoring programs and internal social networks between experienced and more-junior employees to promote knowledge sharing. • Identify the positions for which succession planning (a proactive program designed to keep talent in the pipeline) makes sense. These often include key positions, positions with direct impact on strategic practices, and those with lengthy learning curves.

Technology Requirements

Inadequate technology can prevent employees from performing efficiently. These issues may be addressed through new or expanded technology—for example, new digital tools that reduce errors or expanded knowledge management systems that put information into the hands of those who need it when they need it.

Process Requirements

Over time, work processes can become detached from customer needs, changing technology, or changed work conditions. Obstacles that cause serious delays can develop. Work can be duplicated by multiple groups. Separate groups may work with different objectives. The resulting conflicts may not be apparent until late in the process.

Processes must be routinely audited for efficiency and the need for updating and then redesigned and tested.

Organizational Culture Requirements

As a result of organizational evolution or a change in strategic focus, the organization's culture may no longer support the organization's vision of its future and its values.

An intervention aimed at cultural transformation can include the following steps:

1. **Describe the current culture.** This involves observing language (for example, the expressions and metaphors commonly used) and leadership and decision-making styles (such as autocratic, participative); mapping communication paths and choices; identifying meaningful objects, stories, people, and behaviors (for example, rituals); and gathering evidence of values in action.

   Assessment instruments, cultural audits, and focus groups can be used to describe key elements of the current culture and identify possible areas of conflict, disconnect, or dysfunction. For example, if customer service is a focus of the organization's culture, evaluate how much time employees spend visiting customer sites, how much interaction they have with customers,

what customer service training they receive, and other indicators of a customer service focus. These tangible customer service indicators can then be measured before and after the OED initiative to provide data for the initiative's success or failure.

2. **Identify the aspirational culture.** The OED team researches existing data and interviews key leaders to define the desired cultural traits.

3. **Identify gaps and conflicts.** Leadership must acknowledge these discrepancies and decide that the aspirational culture is in fact what they need and want. The OED team can help leaders understand how culture is affecting factors such as performance, employee engagement, and employer brand.

4. **Develop change initiatives.** Organizational culture can be changed in various ways:
    - Correcting managers who do not support necessary cultural traits (such as employee involvement in decision making) or model organizational values, and punishing or replacing those managers if necessary
    - Aligning reward systems with desired behaviors and values
    - Replacing old cultural artifacts, which may require creating new rituals and identifying new heroes

    - Greater emphasis on leader behavior—on communicating and modeling desired values and actions

For example, an organization that has made a public commitment to diversity may discover that its workforce is not diverse, that its management still represents only one cultural perspective, that it is not attracting and retaining diverse candidates. The OED strategy here will focus on various interventions:

- A new recruiting process will be engineered to produce the desired diverse candidate pool.
- An onboarding program will be designed to support new hires' transition into the workforce (perhaps through peer mentoring programs).
- Education on cultural differences and stereotyping is made a requirement for advancement into supervisory positions.
- An office is established to collect, investigate, and brief management on employee complaints about discrimination.

Improving Team Performance

Proficiency indicators related to this section include:

- Recommends methods to eliminate barriers to organizational effectiveness and development.
- Regularly monitors results against performance standards and goals in support of the organization’s strategy.

Key concepts related to this section include:

- Group dynamics (examples include intergroup vs. intragroup, group formation, identity, cohesion, structure, influence on behavior, conflict, forming/storming/norming).

Improving Team Performance

Improving team performance often involves improving team formation and function. Interventions may help teams reach levels of productivity more quickly or help dysfunctional teams revise roles and behaviors.

Competency Connection

An OED director for a film and television media company is asked by the executive vice president (EVP) of television advertising sales to “do some team building” with the disgruntled team of a senior vice president (SVP) who also happens to bring in more revenue than the other four SVPs collectively. The EVP says he wants to “build up the morale” in the “over-stressed department.”

After holding one-on-one interviews with all team members, it is highly evident that, as a team, they are highly functional, and, in fact, that is what seems to hold them together. However, they each report the highly abusive, inappropriate management style of their boss, the SVP. Some express a significant fear of retribution just for discussing their experiences.

Team members reveal being pressured to work 12- to 14-hour days and skip family events. The SVP called one employee at his

mother’s funeral and insisted that he come back to work that afternoon. Some have experienced belittling comments about their personal appearance made publicly, including derogatory comments against protected classes.

Calling on the Ethical Practice competency, the OED director ensures confidentiality, to the maximum extent possible, of who said what, reassures the employees of the company’s no-retaliation policy, and notes that some of these incidents need to be reported and that could lead to a separate investigation.

Before sharing feedback with the SVP, the OED director meets with the EVP and shares the very disconcerting, and potentially explosive, feedback that has been gathered. The EVP’s response is, “I understand this is a problem. But let me be perfectly clear, you will not do anything to demotivate the SVP, cause him to leave, and put that revenue stream at risk.” You share this with the head of HR and are told to “make it work and don’t rock the boat.”

The OED director feels a personal sense of responsibility to address the serial harassment doled out by the SVP. He knows, however, that this is more than just a sense of his personal and professional integrity. He also has a hunch that now that this information has been shared with a member of human resources and in turn with the EVP, he has a duty to look into this further to understand any

additional legal risk to the company for not addressing this harassment.

The OED director meets with and shares the information with internal legal counsel and solicits and gains support for building a legal and business case to take action to stop this manager's behavior immediately. The case presents a risk of potential legal consequences for the company, the SVP, and the EVP for knowing about these behaviors and not having taken action to prevent them. The business case presents the impact of a mass exit by the team reporting to the SVP. Once better aware of these risks, the EVP decides to take action.

The OED director demonstrates the ability to integrate core values, integrity, and accountability throughout all organizational and business practices by:

- Acting with personal, professional, and behavioral integrity.
- Responding immediately to all reports of unethical behavior or conflicts of interest.
- Empowering all employees to report unethical behavior or conflicts of interest without fear of reprisal.
- Showing consistency between espoused and enacted values.
- Establishing himself as a credible and trustworthy resource to whom employees may voice concerns.

- Challenging other executives and senior leaders when potential conflicts of interest arise.
- Withstanding politically motivated pressure when developing strategy.
- Setting the standard as a role model of ethical behavior by consistently conforming to the highest ethical standards and practices.
- Balancing organizational success and employee advocacy when creating strategy.

Team or Unit Interventions

OED interventions aimed at teams or units are often triggered by reports of poor performance. The causes may include high levels of unresolved conflict within the team, poor leadership, and poor communication. These issues interfere with the formation of effective teams.

Team interventions focus on processes and interactions within and between teams.

Common targets for team interventions include:

- New groups that must develop a team identity.
- Dysfunctional groups that must identify and resolve conflicts that are hurting productivity.

- Existing groups that must redefine processes and relationships to be more productive or to align with the needs of a new strategic direction.
- Virtual teams that must learn to trust each other and communicate and collaborate over distances and sometimes across different languages and cultures.

For example, a cross-functional team may be working on a particularly important project and experiencing high levels of conflict that are damaging productivity and alarming senior management. OED interventions here might focus on supporting the stages of team formation and coaching the team leader on conflict resolution skills and improving group dynamics.

Team Formation Process

A certain amount of conflict and dysfunction is inevitable as teams form. Bruce Tuckman defined four stages of group or team development (see Exhibit 16):

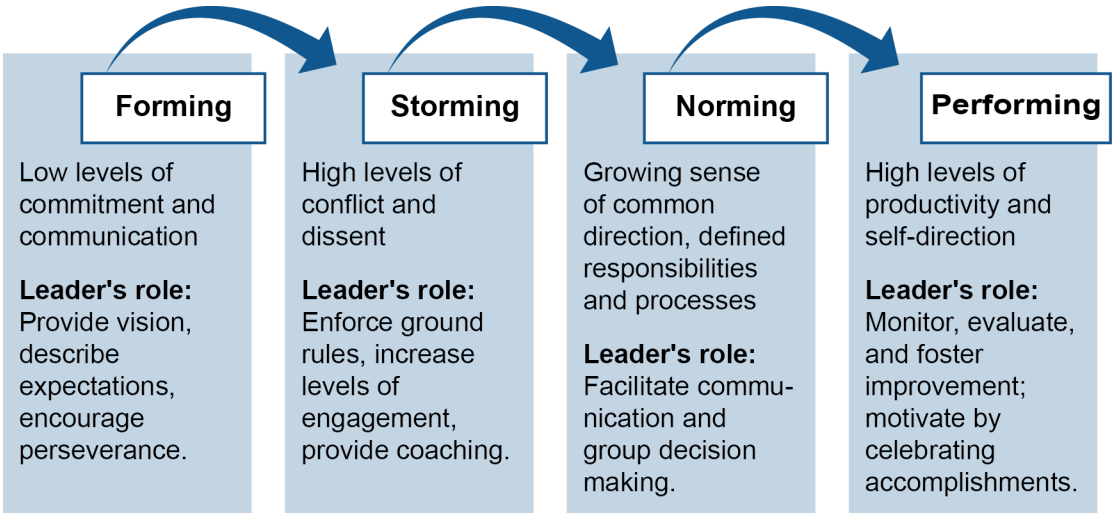
- **Forming.** Individuals come together around common activity and shared goals. Members are polite, but there is little sense of trust, shared experience, or common values.

- **Storming.** Individuals move past politeness, and there may be higher levels of discord as perspectives, styles, and agendas clash. This may be painful, but valuable communication is occurring.

- **Norming.** Over time, effective groups build trust and establish relationships. They create rules that guide behavior. They begin to establish a group identity and to identify “outsiders.” This can sometimes take a negative form; “group think” can impel members to adopt the same positions and reject outside views. This can dampen innovation and creative problem solving.

- **Performing.** The group becomes fully productive, collaborative, and mutually supportive.

Exhibit 16: Tuckman’s Ladder of Team Development



The group leader plays an important role in facilitating this evolution. During the early stages, the group leader can provide opportunities for communication and relationship building and can enforce ground rules that prevent permanent animosity between some group members.

Since the group can be affected by changes of any sort—for example, by the addition or loss of group members, by changes in work processes or environment—the leader plays an important role in helping the group move as quickly as possible through the common reactions to change and become fully productive again.

Team Structure and Group Dynamics

Teams may take various forms throughout an organization, depending on the needs of the organization and the goal of the team. Group dynamics may take place at two levels: intergroup and intragroup.

Team Structure

Teams may take various forms throughout an organization, depending on the needs of the organization and the goal of the team. Team structure can be shaped along three different criteria:

diversity of skill, dispersion of authority, and longevity or permanence.

- Skill diversity describes the amount of difference between the knowledge, skills, and abilities of the members of a team. A team of merchandisers, for example, is likely to have a low amount of skill diversity and the team members will be largely interchangeable in their duties. A cross-functional team assembled for a new product launch is likely to have a high amount of skill diversity, as members are likely to have skills including sales and marketing, product design, visual merchandising, logistics, and finance.

- Authority dispersion refers to where the power to make decisions is concentrated on the team. If there is a defined team leader, such as in a marketing department, authority dispersion tends to be low. Lower-ranking members of the team may have some decision-making authority, but ultimate authority, including the ability to override others' decisions, is vested with a single person—a senior director or vice president. Teams with high authority dispersion don't have a strong defined leader with override authority and collaborate to make decisions based on the input of the group at large. For example, an automobile design team may work to reach consensus on many design

features instead of vesting a single individual with the decision-making responsibility.

- Permanence refers to the typical longevity of a team. Major organizational structures like HR and marketing typically remain a core function of a business on a permanent or semi-permanent basis, giving them high permanence. In contrast, task forces assembled to address a specific issue may last only days or weeks, giving them low permanence.

Group Dynamics

Group dynamics may take place at two levels: intergroup and intragroup. Intragroup dynamics are between members of a group; intergroup dynamics are between two different groups. We largely discuss intragroup dynamics, but be aware that intergroup dynamics can also impact how groups interact.

In 1948 Kenneth Benne and Paul Sheats proposed that there are three basic types of roles individuals play within groups:

- **Task roles** help get the work done. Those performing this role propose solutions or collaborate in group problem solving. They share task information and perform their assigned tasks.

- **Social roles** help maintain relationships and positive group function. This role recognizes the importance of social and interpersonal ties within a group. Group members playing a social role promote harmony, conflict resolution, and involvement of all group members.
- **Dysfunctional roles** weaken the group and reduce its productivity. In a dysfunctional role, a group member may attack others, dominate discussions, resist others' ideas, or damage group focus and energy through negativity.

Key Content

Benne and Sheats found that an individual's role in a group can change under different circumstances. For example, a group leader who is very task-focused at first may gradually become more focused on social roles as the group agrees on a direction and individual responsibilities.

Managing group dynamics requires:

- Recognizing the need for both task and social roles.

- Quickly identifying and correcting dysfunctional roles, perhaps through offline discussions or coaching.
- Understanding the usefulness of certain roles at certain points in the group process and making sure that these roles are present when needed and managed when they obstruct progress. For example, team members adept at improving social connections contribute greatly at the beginning of the project, but when the group is focused on work, it may find a social focus distracting.

Team Building

Team building involves a series of activities designed to help team members examine how they function now and how they could function better. This includes both the nature of their work (what they do or create together) and how they coordinate and collaborate on their efforts (how they work together). Emphasis is on early identification and solution of problems that stand in the way of group effectiveness. The purpose of a team-building intervention is to facilitate the alignment of the management team with the team's mission and goals and to develop effective team dynamics for working together to accomplish these goals.

Team-building activities may focus on:

- **Goals and priorities.** The OED team may facilitate team meetings in which mission, vision, values, and norms are developed. Meetings could also focus on understanding the team's stakeholders better and developing better processes for engaging stakeholders.

- **Role and responsibility** of each team member. In new, merged, or existing teams, unclear roles can create conflict and loss of productivity. The OED team can facilitate role and responsibility negotiation and definition.

- **Processes** for team activities, such as assigning tasks, monitoring progress, and evaluating results; for communicating and coordinating efforts; and for making decisions. The OED team can help diagram processes in terms of inputs, requirements, and outputs. These diagrams can be used to sequence activities more efficiently, identify potential obstacles and solutions, define communication requirements and channels, identify organizational systems that can support the team, and make sure all team members have what they need to perform their assigned tasks.

- **Interpersonal relationships** within the team, such as building trust, communicating more effectively, resolving conflict, negotiating, and cultural awareness. The OED team can advise

team leaders on changes that can build trust (such as non-work team events that allow team members to learn about each other as human beings), facilitate workshops in which team members confront their disagreements, and guide them safely to effective solutions. The OED team may also deliver developmental activities on these essential skills.

Workforce Management

Workforce Management refers to HR practices and initiatives that allow the organization to meet its talent needs and close critical gaps in competencies.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Administers and supports approaches to ensure the organization's long-term leadership needs are met.
- Assesses the competencies needed to support and grow the organization, and identifies gaps and misalignment of staffing levels.
- Forecasts future workforce needs and plans strategies to develop workforce competencies that support the organization's goals and objectives.
- Implements approaches to ensure that appropriate workforce staffing levels and competencies exist to meet the organization's goals and objectives.
- Provides employees with continuous learning opportunities, including opportunities for upskilling and reskilling.
- Supports strategies for restructuring the organization's workforce.

Proficiency indicators for **advanced HR professionals** include:

- Coordinates with business leaders to create strategies that address the organization's leadership needs.
- Develops strategies for restructuring the organization's workforce.

- Develops strategies to maintain a robust workforce that has the talent to carry out the organization’s current and future strategy and goals.
- Evaluates how the organization’s strategy and goals align with future and current staffing levels and workforce competencies.

Key Concepts:

- Approaches to restructuring and downsizing (examples include mergers and acquisitions, reduction in force, layoffs, furloughs).
- Best practices and techniques for knowledge management, retention and transfer (examples include benchmarking, thought leadership).
- Non-traditional staffing methods (examples include gig workers, remote workers, seasonal workers, contract workers, interns).
- Succession planning programs and techniques (examples include mentorship, cross-training, 9-box grid).
- Techniques for organizational gap analysis (examples include examination of HR records, interviews, focus groups, surveys, exit interviews, digital skills assessments).
- Workforce planning approaches, techniques and analyses (examples include forecasting, build/buy/borrow/bridge strategies, attrition, gap and solution, supply and demand, workforce profile, upskilling and reskilling employees,

redesigning jobs, robotics, identifying high-potential employees, identifying high-performance employees).

Workforce Management

Workforce management encompasses all the activities needed to ensure that workforce size and competencies meet the organization's strategic needs. HR plays a vital role in these activities, ensuring that the right numbers of the right people are in the right jobs with the right skills at the right time. In this sense, workforce management is, in its essence, a form of risk management. HR manages human resources to maximize the organization's opportunities for success.

The workforce management process begins with the workforce management plan, which assesses workforce needs against future demands. It also includes long-term strategies to sustain workforce strength (such as talent management and knowledge management) and short-term strategies to address identified gaps (such as temporary and contingency workers, outsourcing, and workforce resizing).

Workforce Planning

Proficiency indicators related to this section include:

- Administers and supports approaches to ensure the organization’s long-term leadership needs are met.
- Assesses the competencies needed to support and grow the organization, and identifies gaps and misalignment of staffing levels.
- Forecasts future workforce needs and plans strategies to develop workforce competencies that support the organization’s goals and objectives.
- Implements approaches to ensure that appropriate workforce staffing levels and competencies exist to meet the organization’s goals and objectives.
- Develops strategies to maintain a robust workforce that has the talent to carry out the organization’s current and future strategy and goals.
- Evaluates how the organization’s strategy and goals align with future and current staffing levels and workforce competencies.

Key concepts related to this section include:

- Techniques for organizational gap analysis (examples include examination of HR records, interviews, focus groups, surveys,

exit interviews, digital skills assessments).

- Workforce planning approaches, techniques and analyses (examples include forecasting, build/buy/borrow/bridge strategies, attrition, gap and solution, supply and demand, workforce profile, upskilling and reskilling employees, redesigning jobs, robotics, identifying high-potential employees, identifying high-performance employees).

Workforce Planning

From the inception of the HR discipline, one of HR's key roles has been staffing the organization: identifying organizational human capital needs and then providing an adequate supply of qualified individuals for jobs. Through staffing, the organization's current and future needs for knowledge, skills, abilities, and other characteristics—its required competencies—must be met.

Competency Connection

In workforce management, HR professionals can call on their Business Acumen to anticipate organizational actions and prepare an action plan. In the following case, an HR practitioner demonstrates understanding of the organization's business environment and the workforce's current state and will be ready with a recommendation when the opportunity materializes.

An HR practitioner for a steel fabrication plant learns that there is a possibility to introduce a new product. Understanding that the current staff is working at capacity on the existing products, the HR practitioner takes a look at the experience and training of the existing team members and their potential to learn and lead new product activities. The HR practitioner then identifies a local temporary staffing organization that can provide quality temporary

employees to either back-fill the current work or work on the new project.

The HR practitioner also identifies the costs for the human resources needed and for any training and development activities that would be required to support the new product. Applying the Consultation competency, she approaches the plant manager with a plan that will support his expansion strategy and provides the financial and other pertinent data he needs to include in his business plan.

Workforce Planning Process

Workforce planning is the first step in the workforce management process. It involves all the activities needed to ensure that workforce size and competencies meet current and future organizational and individual needs. Workforce planning strategically aligns an organization's human capital with its business direction. This requires that the HR professional look at where the organization is now as well as where it wants to be in the future. During workforce planning, the current state of the workforce is defined, gaps in size and competency are identified, and steps required to prepare for future needs are developed.

Key Content

An organization's strategic plans should generate a list of the workforce capabilities needed to execute business strategy as well as a monetary value for each capability based on how critical it is to generating new revenues or reducing costs. Then, as with a well-managed supply chain, employers should compare the competencies they need with the "inventory" (workforce) they actually have. The gap between the ideal and the real can keep learning needs (and budgets) in line because it will sustain a focus on what people really need in order to be competent and to execute strategy.

A **workforce analysis** gathers data about the current workforce and forecasts future workforce needs. This information is analyzed to provide the data to support the organization's staffing strategy. Forecasting involves projecting future conditions based on information about the past and the present. It is used to estimate future workforce supply and demand. Forecasts are subject to error, as the conditions on which they are based may change. But with careful planning, HR professionals can generally forecast with

enough accuracy to help sustain organizational objectives and strategies. Sound forecasting requires environmental scanning—for example, the age of the current workforce or the availability of certain skills in the market.

A workforce analysis typically includes six areas: strategic focus, supply analysis, demand analysis, gap analysis, solution analysis, and evaluating workforce planning impact.

A **workforce profile** is an important part of a workforce analysis. It identifies the current make-up of the employees in terms of their demographics, skills, competencies, and performance levels. The profile also includes information such as employees' expected retirement dates, their pay grades, and other factors that help explain the workforce's composition. The profile allows HR departments to better identify their hiring needs and plan for the future. As you can see in Exhibit 17, the workforce profile provides much of the information needed to complete the supply analysis.

Exhibit 17 illustrates the workforce analysis process and the key questions addressed at each stage.

Exhibit 17: Workforce Analysis Process

1. Strategic Focus	• What industries or direction are we striving to enter over the next one to three years? • What are the strengths and weaknesses of the current workforce?

What can and can't we do? What do we need to consider?	• Are there current external forces impacting our business (new technology, environmental, global issues, etc.)?
2. Supply Analysis Where are we now? What do we have?	• Where does the current workforce support business needs today and in the future? • Where does the current workforce not meet business needs today and in the future? • How can high-potential and high-performing employees be empowered to address business strategy? • How well do we understand the skills and competencies of each employee? • What workforce profile concerns do we have? • In what areas is turnover negatively impacting our business objectives?
3. Demand Analysis Where do we want to be? What do we need?	• What workforce competencies will be required to meet anticipated external demand and conditions? • How many employees will be required to meet demand? In what time frame and in what areas of the organization? • Will we be able to acquire the right talent at the right levels and at the right cost?
4. Gap Analysis What is lacking? What knowledge, skills, or abilities currently exist and are needed in the future?	• What necessary competencies do not currently exist in the workforce? • Does the workforce size require change? By how much? • What parts of the organization are most vulnerable to gaps in competency and/or staffing level?
5. Solution Analysis What can we afford? How will we get what we need?	• How much money will be allocated to staffing future competencies? • Should we build, buy, or borrow the talent? • Will we look internally or externally to fill vacancies? • What sources should we use?

	• Can the gaps be filled by workers in the local area, or will we have to seek applicants elsewhere? • What level of applicants are we seeking to fill vacancies? Is it best to hire people at a full performance level, or should we seek entry-level candidates and train/develop them? • Are the needed competencies specialized? Do they require individuals with advanced training? • Will we need the competencies short-term or long-term? Full-time or part-time? • What are the costs versus the benefits of the recruitment strategy?
6. Evaluating Workforce Planning Impact How did we do? What needs to be done next?	• How will success be measured? • In what parts of workforce planning are we successful? • What are the challenges stopping us from meeting goals? • What workforce planning initiatives need to be revamped?

Staffing Supply Analysis

After identifying and assessing the organization's strategic focus, the workforce analysis process moves on to analyzing supply: the skill mix in the organization as it exists now and the organization's future needs based on attrition and strategic growth or adjustment.

Accurate supply forecasts account for movement into and inside the organization (new hires, promotions, and internal transfers) and out of the organization (resignations, retirements, involuntary terminations, and discharges). Forecast approaches include a variety of quantitative and qualitative analyses. Analysis tools range

from a manager’s “best guess” to rigorous mathematical applications.

A logical starting place is to consult with line managers and identify how many hours of each type of skilled work are needed to meet current needs. These current practices must be examined more closely to determine if human resources are being used effectively and efficiently. Planners and managers are encouraged to look for:

- Overstaffing that results in a poor ratio of revenue per employee.
- Opportunities to build talent to improve effectiveness, efficiency, and impact.
- Elevating employee skills and/or maximizing time.
- Revamping work processes or organizational structure.
- Building commitment to agility/flexibility in all positions to meet changing production requirements.
- Technology that is changing how each job is completed (artificial intelligence, robotics) and how talent can be identified, managed, and stored (applicant tracking systems, skill banks).

The result of this analysis is a more accurate rubric showing the resources required to produce a specified amount of revenue. If steps are taken to correct these issues, the current supply may be more productive than it appears.

Projections of internal supply might seem to be a simple calculation: Consider the number of people in each job, along with the number of people who will transfer or who will leave the organization, and the number of people who will be left provides an estimate of the internal supply.

Unfortunately, reality is rarely that simple. There are many variables involved in forecasting, such as:

- Will the jobs remain the same?
- What are the anticipated and required employee skill sets?
- Will some jobs be eliminated while others are added or combined?
- Will historical data hold true in the future?
- Will new employees perform comparably to former employees in terms of productivity, punctuality, sick days, attitudes, and leadership abilities?

As a result, HR professionals use analytical tools to improve their forecasts. Two analytical tools are described in the Analytical Aptitude competency in the *HR Competencies* module: trend analysis and ratio analysis. An additional tool specific to workforce management is turnover analysis.

Turnover Analysis

Employees may leave an organization for a variety of reasons, such as retirement, resignation, dismissal, layoff, disability, leave of absence, or death. **Turnover** is defined as the act of replacing employees leaving an organization or the attrition or loss of employees. The **turnover rate** is a metric that is normally expressed using an annualized formula that tracks the number of separations and the total number of workforce employees per month.

Exhibit 18 shows monthly separations and total workforce numbers for one year at a medical supplies wholesaler, ABC Medical.

Exhibit 18: Separations at ABC Medical

Month	A (separations)	B (total workforce)
January	15	250
February	5	245
March	5	240
April	2	238
May	3	235
June	10	225
July	5	220
August	0	220
September	4	216
October	1	215
November	15	200
December	0	200
Total	**65**	**2,704**

To calculate the annualized employee turnover percentage, the HR manager:

- Divides the total number of employees for the year (2,704) by 12 months. This yields an average monthly workforce of 225 employees.
- Divides the number of separations for the year by the average number of employees per month:

$$\frac{65}{225} = 28.9\%$$

Turnover can also be calculated for shorter time periods (such as the first three months of the year), and then the results can be annualized to project what the annual turnover would be for 12 months.

Two common methods for projecting turnover are:

- Examining previous turnover rates and adjusting them to reflect knowledge of changing conditions such as pay rates and the economy.
- Analyzing trends in turnover rates for particular geographic locations or occupational categories.

Staffing Demand Analysis

Demand analysis considers the model organization of the future and its human capital needs. Once the supply model is developed, data can be compared to the demand analysis projections and gaps can be identified, including numbers of employees and gaps in skills.

Demand analysis should not just project the most probable future. Other future scenarios should be considered, as the potential impact on gaps may be considerably different.

Two techniques used in demand analysis are judgmental forecasts and statistical forecasts. In both, the basic issue is forecasting the number of employees and the skills required to meet future organizational goals.

Judgmental Forecasts

Judgmental forecasts apply expert judgment to information from the past and present to predict future conditions and staffing needs and to understand opportunities and threats that can affect the staffing plan.

This information can be gathered using research into industry standards and benchmarks (such as productivity and revenue-

generation rules of thumb) as well as the Analytical Aptitude competency:

- Interviews with management and industry and economic experts
- Questionnaires for operational managers
- Focus groups with managers, using the nominal group technique and the Delphi technique to focus on likely outcomes and reach consensus
- Exit interviews and surveys to determine where employees are identifying issues, including those that cause turnover
- Digital skills assessments to determine the ability of the workforce to continue to be productive as technologies advance or are added

To effectively use judgmental forecasting, HR needs estimates of:

- New positions or skill sets needed.
- Positions to be changed, eliminated, or left unfilled.
- Job sharing.
- Job design needs or organizational structure changes.
- Costs of changes.
- Adjustments in overhead, contracted labor, and supervision.

As with budgeting, estimating workforce needs can flow from the top down or the bottom up. The success of this method is entirely

dependent upon the quality of information provided to managers to use in making estimates.

Statistical Forecasts

Statistical forecasts generally fall into two categories: regression analysis and simulations. These techniques have many uses but are illustrated here in the area of workforce planning.

- **Regression analysis** can be subdivided into two types:
    - **Simple linear regression** is a projection of future demand based on a past relationship between employment level and a single variable related to employment. For example, a statistical relationship between gross sales and the number of employees might be useful in forecasting the number of employees needed in the future if sales increase by 25%.
    - **Multiple linear regression** operates the same as simple linear regression, except that several variables are used to project future demand. For example, hours of operation might be added to gross sales to determine the number of employees needed.

- **Simulations** are representations of real situations in abstract form; they are often referred to as “what if” scenarios. They provide organizations with the opportunity to speculate as to what would happen if certain courses of action are pursued. For example, an organization might consider the ramifications of changing a compensation system or doing business online.

Staffing Gap Analysis

The supply analysis identifies the staffing levels and competencies that are currently available, and the demand analysis determines the staffing levels and competencies that will be needed in the future. The next step in the workforce analysis process is the gap analysis. This is the process of comparing the supply analysis to the demand analysis to identify the differences in staffing levels and competencies needed for the future. This process of reconciling the differences between supply and demand establishes the goals and objectives for the staffing plan. A gap analysis may identify deficiencies in staffing needs as well as any surplus of staffing levels in certain jobs and/or competencies. A surplus can result from a number of factors, including operation efficiencies, new technology, lower attrition rates, and changes in the organization.

Examples of staffing gaps are shown in Exhibit 19.

Exhibit 19: Examples of Staffing Gaps

Type of Staffing Gap	Description
Skill gap	New skills are needed to perform new jobs.
Abilities gap	New behaviors are needed to be successful.
Distribution gap	Talent is not properly spread throughout the enterprise.
Diversity gap	The organization is too homogeneous.
Deployment gap	Talent cannot be sent where it is needed most.
Time gap	It takes too long to achieve results.
Cost gap	Too much money is being spent on talent acquisition and development activities.
Knowledge-sharing gap	Organizational learning is not occurring.
Succession gap	It is not clear where the next generation of leaders will come from.
Retention gap	The best talent is leaving the organization.

Prioritizing Gaps

Once the gaps have been identified, they must be analyzed and prioritized to determine which ones will be addressed. Rarely can all gaps be addressed at the same time or completed in the one- to three-year time frame of a typical staffing plan. High-priority gaps are used as the basis for defining the plan's tactical objectives.

Management and other key stakeholders should be involved when gaps are prioritized. The following criteria can be used to establish priorities and make recommendations:

- **Permanence.** Does the problem identified in the gap analysis occur on an ongoing basis, or is it due to some temporary factor that may be resolved without having to take any action?

- **Impact.** How significant is the impact of this gap on the organization compared to other identified gaps?

- **Control.** Does the organization have sufficient resources to address the gap? Will an effective solution use a reasonable expenditure of resources, or is the solution likely to be more expensive than the problem itself? Will employees be willing to participate in the solution? For example, because the permanence of a recent increase in business is uncertain, leadership chooses to meet increased demand by requiring overtime. How will employees react to a prolonged period of required overtime? Will there be resignations or a decrease in activity or an increase in accidents or poor quality work?

- **Evidence.** How certain is the quality of the data? Does the evidence provide a clear indication that the gap is a serious problem, or is more evidence required?

- **Root cause.** To the extent that the gap indicates a problem that needs to be addressed, is it the root cause of the problem? Or

is there a deeper problem that must be fixed to eliminate this gap permanently?

Some gaps may appear unexpectedly. For example, a key executive without a successor may suddenly decide to retire, or a recently agreed-upon joint venture may require an executive with unique knowledge and skills. These gaps quickly become high priorities. Other gaps will not come as a surprise, especially if they have been targeted as long-term objectives in the HR strategic plan. In these cases, the priority may be to simply continue chipping away at the gap, perhaps at 10% to 20% per year. For example, a shipping company has set a goal of all senior managers working in their China office to speak Chinese. After a review, they find that only 15% of the managers in China have an appropriate level of fluency. Therefore, there is an 85% staffing gap that will need to be addressed.

High-priority gaps identified in the workforce analysis process are the basis for creating longer-term workforce planning strategies and for defining (near-future) tactical objectives.

Staffing Solution Analysis and Staffing Plan

Solution Analysis

The solution analysis is an examination of how the organization can get what it needs to meet the tactical objectives within budget constraints. Solution analysis considers whether an organization should have a continuous recruitment program or wait until vacancies appear before engaging in an intensive effort to fill openings.

During solution analysis, an organization decides whether to “build,” “buy,” “borrow,” or “bridge” the talent needed to attain the staffing levels and competencies required to meet the tactical objectives:

- “Building” the talent refers to redeploying as well as training and developing the current workforce to meet the future needs of the organization. This may include up-skilling employees, or enabling them to learn new skills to improve their performance in their current jobs.
- “Buying” the talent refers to recruiting and hiring employees.
- “Borrowing” the talent refers to outsourcing, leasing, and contracting with others to get the work done.
- “Bridging” is similar to building but with a focus on providing training in areas adjacent to employees’ current roles to enhance the value they can create. This may include re-skilling employees to help them learn the skills needed to prepare them to move into different position or jobs.

In addition to these approaches and the tools associated with them, organizations may look to other tools. Job redesign may adjust the responsibilities associated with a certain role, allowing employees to expand their skills and area of influence while also addressing gaps identified during the workforce analysis. Companies may also turn to robotics to fill in labor gaps, where the technology is sufficient and affordable enough. They can also work to identify and develop high-potential employees and better use employees who are already considered high-performance.

Labor market trends should be considered during solution analysis. For example, the U.S. Department of Labor's Bureau of Labor Statistics (BLS) conducts ongoing surveys of employers, analyzes the data, and then produces estimates on jobs, wages, the labor force, employment and unemployment, layoffs, and numerous other workforce-related statistics. Some state agencies in the U.S. also publish workforce data. The International Labour Organization (ILO) publishes *Key Indicators of the Labour Market,* which compiles data from 18 countries.

The ultimate goal of the workforce analysis process is to create a staffing plan that will be in alignment with the organization's strategic plan and support the future needs of the organization. Founding the staffing plan on data collection and analysis positions HR as a

strategic business partner by ensuring that the right people are in the right place at the right time.

Staffing Plan

The staffing plan turns workforce analysis data and tactical objectives into reality. A staffing plan describes—in some detail—how the tactical objectives are going to be achieved through the delegation of tasks and the application of resources.

Planning approaches may vary within organizations, but the important points are that the processes should be:

- Consistent with other HR planning initiatives.
- Collaborative and easily understood by all participants.
- Accepted by those responsible for implementing the plan.

Involving Key Stakeholders in Developing the Staffing Plan

Key stakeholders are the people who will be affected by the implementation of the staffing plan or whose support will be needed for its success.

Consider the following stakeholders and their potential issues when developing the staffing plan:

- **Organizational management:**

    - Are they convinced of the strategic value of the staffing plan?
    - Will they publicly endorse the staffing plan and encourage the support of others?

- **HR management:**
    - Is there agreement that the staffing plan will support HR's goals?
    - Does the staffing plan integrate with plans of other HR functions?

- **Other organizational units:**
    - Have the implications of the staffing plan been discussed with them?
    - Has the creation of the staffing plan been synchronized with their planning functions?

- **Union leadership:**
    - Have their concerns been identified in advance to avoid unexpected conflict?
    - Can the staffing plan be devised to support union goals while still meeting organizational goals?

Identifying Resources Needed to Create the Staffing Plan

Resource requirements should be addressed during staffing plan development so they do not surface as a surprise during implementation. Requirements may be financial, human, or physical. They may exist internally or may have to be obtained from external sources. Resources usually include:

- Budget—for example, fees for recruiting firms, advertising and job posting costs.
- A project schedule that meets the organization's planning needs but is also realistic.
- A staffing plan team of sufficient size and with adequate availability. Tasks span all aspects of the staffing plan—from planning through implementation to assessment. Members may perform staffing plan tasks in addition to their regular assignments.
- The knowledge required to shape the plan to specific stakeholder circumstances—for example, previous experience with restructuring initiatives, insight gained from a SWOT analysis or analysis of succession plans.
- Equipment, facilities, and materials—for example, videoconferencing equipment for interviews or access fees to premium recruitment sites/services.
- Logistical support—for example, analysis and IT services.

Communicating the Staffing Plan

Communication requires particular attention in the design of a staffing plan. Often neglected, it is essential for the plan's long-term success. Communication of the plan begins during the development of the specific tactics, continues as the plan is finalized, and is used to support the plan's implementation. Ongoing encouragement and support are required because the tactics are implemented by and require the continuous insight and commitment of the affected departments. In addition, ongoing feedback from those implementing the plan is crucial to those responsible for developing and monitoring the staffing plan.

Exhibit 20 lists the components of a communication plan.

Exhibit 20: Components of Communication Plan in Support of Staffing Plan

Communication Component	Description
Audience	Who requires information about the plan or its implementation for it to be successful by country and function?
Objectives	What specific outcomes are to be achieved through communication, and how will these ensure the success of the staffing plan?
Required information	Exactly what information must be communicated to the various audiences? Who will provide the information? How does the required information vary by country?

Communication Component	Description
Modes of communication	What type of communication will be most effective (for example, face-to-face, formal announcements, training programs, frequent e-mail updates)? What variations in the communication mode are required for specific countries and cultures?
Resources	What financial and nonfinancial resources must be committed to communications for the plan to be successful? Are these resources available in the required countries, or must headquarters provide them?
Timing	What schedule is required to achieve the objectives of the communication plan?
Responsibility and accountability	Who will actually develop and deliver the required communications? Who is accountable for the achievement of the goals of the communication plan at different levels?

Evaluating Workforce Planning Impact

The final stage in the workforce analysis process involves evaluating the impact of the process and considering how to improve it.

The final stage in the workforce analysis process involves evaluating the impact of the process and considering how to improve it.

The purpose of continuous improvement is to create a mindset of ongoing process improvement: evaluating the current state of a

program, plan, or policy based on the desired state, result, or impact; identifying opportunities for improvement as soon as possible; documenting lessons learned from the experience; and ensuring that these lessons are used to enhance ongoing and future initiatives.

The SMARTER goal acronym is used in organizations to improve the way goals are planned and evaluated. SMARTER (specific, measurable, achievable, relevant, time-based, evaluated, and revised) goals focus on both results and continuous improvement. Identifying what success looks like early on will allow project managers to understand when goals are accomplished and when action needs to be revisited because the goal is no longer appropriate, relevant, or prioritized.

With numerous variables impacting business goals and direction, HR will be most effective if it focuses on both continuous improvement activities and specific and measurable objectives that can be identified when complete. Using the “evaluated” and “revised” parts of the SMARTER concept leads to a continuously improving mindset.

Continuously Improving the Staffing Plan

As the staffing plan is implemented, those involved will observe the process and look for ways to improve it.

Exhibit 21 is a checklist for continuously improving the staffing plan.

Exhibit 21: Continuous Improvement Checklist for Staffing Plans

Continuous Improvement of Staffing Plans	
• Have criteria and standards been defined for all outcomes and processes described in the staffing plan? • Have these criteria and standards been adjusted, when necessary, to account for specific conditions? • Have the processes outlined in the plan been analyzed for efficiency and for integration with other organizational processes? • Are the related processes within other departments equally well defined and implemented, or do contingencies need to be developed?	• Have problem-identification and problem-solving processes been built into the plans? Are these consistent with specific operations? • Have arrangements been made to collect lessons learned during the implementation of the plan and shared across the organization? • Is an ongoing measurement function in place to monitor the quality of the plan implementation? • Are open-ended dialogues, such as milestone meetings, a key part of the project plan?

Workforce Management Strategies

Proficiency indicators related to this section include:

- Administers and supports approaches to ensure the organization’s long-term leadership needs are met.
- Implements approaches to ensure that appropriate workforce staffing levels and competencies exist to meet the organization’s goals and objectives.
- Provides employees with continuous learning opportunities, including opportunities for upskilling and reskilling.
- Supports strategies for restructuring the organization’s workforce.
- Coordinates with business leaders to create strategies that address the organization’s leadership needs.
- Develops strategies for restructuring the organization’s workforce.
- Develops strategies to maintain a robust workforce that has the talent to carry out the organization’s current and future strategy and goals.

Key concepts related to this section include:

- Approaches to restructuring and downsizing (examples include mergers and acquisitions, reduction in force, layoffs, furloughs).

- Non-traditional staffing methods (examples include gig workers, remote workers, seasonal workers, contract workers, interns).
- Succession planning programs and techniques (examples include mentorship, cross-training, 9-box grid).

Workforce Management Strategies

Organizations can use a variety of strategies to attain their strategic goals. Some, like flexible staffing and restructuring, apply to specific organizational needs. Others, like talent management and succession planning, are general strategies found in most future-oriented organizations.

Competency Connection

The HR business partner (HR BP) who supports the operations division of a furniture manufacturer sits through a cross-divisional design review that evaluates the designs, production capability, and potential market reach for a new line of office furnishings. In this review, significant gaps in coordination and communication are surfaced in how the organization collaborates and integrates its work efforts.

The chief operating officer asks the VP of operations to pull together a series of cross-divisional teams to identify and assess the risks associated with these gaps and put practices in place to address them. Separately, following a conversation with the VP of HR, the HR business partner learns that the CEO wants to identify development opportunities for recently identified high potentials (Hi-Pos).

Because the HR BP has developed her Business Acumen and Consultation competencies, she sees an opportunity to link what organizational leaders see as separate business needs into one effort that meets the objectives of both needs and minimizes stress on the organization from extra work. The HR BP also sees a unique chance to create excellent development opportunities for the identified Hi-Pos. It would put them in a position to study the organization's integrated product development practices inclusive of all key organizational stakeholders in the market analysis, design, and manufacturing of new product lines.

These Hi-Pos would gain increased exposure to other organizational elements and learn and better understand the interfaces and would need to identify, sell, and institute new organization practices. They would also get exposure to, and scrutiny from, the senior management team. The senior management team, in turn, would get fresh eyes on the problem, the chance to test and assess their developing talent and build the talent pool, and diminish organizational stress by addressing two business needs with one coordinated process.

The HR BP creates a proposal and business case for aligning these efforts that highlights the benefits of this approach and addresses any potential challenges to it. After soliciting and obtaining support

from the HR VP, the BP gets the backing of the CEO and COO and other organizational leaders.

Pulling together these two business needs into one effort that addresses the needs of both highlights the HR BP's understanding of where business needs (the gap analysis effort) can be met by a key HR process (developing key talent). This aligns a key operational need with an important HR strategic process.

The HR BP demonstrates the ability to understand organizational strategies and apply this knowledge to create a plan for effective growth by:

- Aligning HR strategy, goals, and objectives to organizational strategy and objectives.
- Evaluating all proposed business cases for HR projects and initiatives.
- Examining all organizational problems in terms of integrating HR solutions to maximize return on investment (ROI), profit, revenue, and strategic effectiveness.
- Ensuring that the ROI for all HR initiatives adds to organizational value.

Flexible Staffing Alternatives

No workforce planning and employment strategy is complete without consideration of flexible staffing alternatives. Also referred to as alternative staffing, flexible staffing uses alternative recruiting sources and workers who are not regular employees. Many staffing approaches are possible other than conventional full-time arrangements where the organization directly hires, supervises, and provides compensation and benefits to regular employees.

Today's labor market presents many situations where flexible staffing alternatives are appropriate. Examples include:

- Shortages of available workers for open positions.
- Seasonal peak demands for operations.
- Operational upturns and downturns that make permanent head count impractical.
- Special projects that demand specific skills.

As organizations look for cost-effective and creative ways to recruit just-in-time talent and ensure the organization's success and growth, flexible staffing offers employers several desirable alternatives.

Types of Flexible or Alternative Staff

No one-size-fits-all solution to flexible staffing exists. The influence of local laws, culture, and practices makes universal solutions impossible. Many organizations benefit from employing a variety of

flexible staff simultaneously. Exhibit 22 summarizes key characteristics for some of the more prevalent types of flexible staff, organized according to whether the employees are on an organization's payroll or administration functions are outsourced to staffing firms.

Exhibit 22: Types of Flexible Staff

Staff Option	Description
Flexible Staffing Administration by the Organization	
Temporary assignments	Employees hired to work on a specified job to supplement the regular workforce on a short-term basis or for a specific period of time.
Temporary employees	Employees hired to work directly on the organization's payroll on a short-term basis or for a specific period of time to rotate among several positions or departments as needed.
Remote workers	Employees who do not work from a main office location.
Interns	Professional learning experience that offers meaningful, practical work related to a student's field of study or career interest. An internship gives a student the opportunity for career exploration and development; they can also learn new skills. It offers the employer the opportunity to bring new ideas and energy into the workplace, develop talent, and potentially build a pipeline for future full-time employees.
On-call workers	Employees who report to work only when needed.
Part-time employees	Employees scheduled to work less than a regular workweek on an ongoing basis; benefits eligibility may depend on various factors (such as number of hours worked).
Job sharing	The practice of having two different employees performing the tasks of one full-time position. Each of the job-sharing partners works a part-time schedule, but together they are accountable for the duties of one full-time position. Communication between the two employees is a key to success.

Staff Option	Description
Seasonal workers	Part-time or “casual” workers hired to perform seasonal work in a variety of industries (for example, agriculture, construction, tourism, and recreation); may or may not be eligible for benefits (such as paid time off).
Phased retirement	Any work arrangement that falls somewhere in between full-time retirement and working full-time; these types of programs allow mature employees to work on a reduced or modified basis as they approach retirement.
Flexible Staffing Administration Outsourced	
Finite temporary help	Workers who are recruited, screened, and employed by a temporary help firm; the temporary firm assigns individuals to work at client sites for a finite duration (such as to cover an employee’s medical/maternity leave).
Temp-to-hire programs	Workers hired on a temporary basis (usually through a temporary firm) with the understanding that they may be offered regular employment if they perform competently for a specified time.
Contract workers	May include highly skilled workers (for example, engineers, data processing specialists) supplied for long-term projects under contract between the organization and a technical services firm or gig workers who contract independently and provide varying levels of skills.

Terminology for these staffing approaches varies: temporary workers, contingent workforce, free agents. The essential idea is to carry human resource capacity when it can be fully used.

Types of Flexible Staffing Arrangements

Employers can define their relationship with staffing firms through different service arrangements. The choice of a particular flexible

arrangement depends on a variety of operational, financial, and legal factors, including:

- The function to be performed.
- The level of supervision required.
- Time constraints.
- Financial constraints.
- Concerns about legal risks and liability.

Again, the influence of local laws, culture, and practices makes universal solutions impossible.

The more prevalent flexible staffing service arrangements are summarized in Exhibit 23.

Exhibit 23: Types of Flexible Staffing Arrangements

Service Arrangement	Description
Payrolling	An organization identifies specific people and refers them to a staffing firm, which employs them and assigns them to work at the organization; arrangement is usually at a lower cost than traditional (finite) temporary help.
Employee leasing or professional employer organization (PEO)	In an explicit joint venture, an organization transfers all or substantially all employees at a discrete site or facility to the payroll of an employee leasing firm; the PEO leases employees back to the organization while handling most of the HR administrative functions (for example, payroll, benefits).

Service Arrangement	Description
Temp-to-lease programs	An organization contracts with two (usually affiliated) staffing firms—generally a temporary service and a PEO; the temporary firm assigns long-term temporaries to a client organization and, after a period of time, the employees are promoted to lease status and become eligible for benefits from the PEO.
Outsourcing or managed services	An independent organization with expertise in operating a specific function contracts with an organization to assume full responsibility for the function (as opposed to just supplying personnel); functions may be peripheral to the core business (for example, security, food services) or closer to operations (such as managing all flexible staffing programs or the IT function).

The term **co-employment ,** or **joint employment ,** generally describes a situation in which an organization shares responsibility and liability for its alternative workers with the alternative staffing supplier. A co-employment agreement summarizes the legal relationship, rights, and obligations for some flexible staffing arrangements. Potential liability can vary dramatically depending upon the nature of the staffing agreement. In traditional temporary staffing models, the staffing firm and the client organization are most likely viewed as co-employers or joint employers under most employment law regulations. The less control one organization has over the terms and conditions of employment, the more difficult it becomes to prove that a co-employment relationship exists.

Independent Contractors

Employers often use **independent contractors** (also known as consultants or freelancers) rather than employees to gain greater workplace flexibility or manage uncertainty associated with entering a new market. A related concept is the “economically dependent worker,” defined as a worker who is formally self-employed but who derives most of his or her income from one employer.

Depending on the characteristics of a particular arrangement, these workers may be seen as employees under some countries’ laws. They therefore create a risk of noncompliance with a country’s employment, business, and tax laws. The penalties can be significant. Employers may have to pay benefits retroactively to individuals found to be *de facto* employees. Employers may have to officially register their organizations in a country before using contractors based there. If they do not, the employer may be heavily fined, and prospects for future operation in the country may become more uncertain.

To avoid these issues, HR and legal counsel should develop a process and guidelines/definitions for using independent contractors and should communicate that information clearly throughout the organization. To reinforce the nature of the independent relationship, the contractor should retain control (for the most part) over when,

where, and how the work is done. Contracts should avoid requirements commonly associated with actual employment, such as dictating the contractor's hours of work. Payment should be tied to deliverables rather than a schedule.

HR professionals should be wary about the protection that a contract provides in the eyes of governments. Governments are likely to use the appearance of the working relationship rather than the formal terms of a contract to determine whether a worker is a regular employee or an independent contractor—in other words, does the contractor look and act like a *de facto* employee?

When possible, employers should hire employees outright or lease them from another employer who takes responsibility for compliance with employment regulations.

Regular audits of HR practices should include inspection of the use of independent contractors.

HR's Role in Flexible Staffing

Once an organization decides on a flexible staffing arrangement, the terms of the contract must be put into writing. Certainly, the substance of any flexible staffing agreement is straightforward: to produce skilled and qualified people to perform specific tasks. But

reaching consensus on the specific mechanics of the arrangement requires much attention to detail.

It has been said that agreements do not create an understanding; they record it. Thus, the best agreement is one that accurately and precisely reflects the underlying transaction. Depending on the staffing alternative, HR may need to work with legal counsel experienced in writing staffing contracts when orchestrating the terms for flexible staffing.

The terms of a flexible agreement will naturally vary depending on the circumstances. But there are a few general guidelines that can be helpful.

- **Be cautious of preprinted or standard forms.** You must understand and agree with everything in the agreement; anything you don't understand should be explained to your satisfaction or it should be eliminated.

- **Ensure clarity.** An agreement should be simple and straightforward. Respective rights and obligations of both sides must be defined. Ambiguous provisions subject to later interpretation are dangerous.

- **Negotiate competitive pricing.** Ask for volume discounts, rebates based on use, and free value-added services.

- **Consider including an alternative dispute resolution (ADR) provision.** It's wise to be prepared should disputes arise.
- **Include a simple opt-out procedure.** Be wary of fixed-term agreements. The organization should be able to opt out of an agreement if dissatisfied for any reason.
- **Negotiate clear and precise provisions for what happens when the agreement expires or the relationship ends.** Spelling out terms of the closing can help to prevent unnecessary litigation.

Organizational Restructuring

Restructuring is the act of reorganizing legal, ownership, operational, or other organizational structures. It is a proactive adjustment to meet changing business needs.

Restructuring intersects with workforce management when an organization makes changes in the size, number, or relationship of departments. After restructuring, certain groups will report to different departments; some new departments may be created while others are disbanded.

HR plays a crucial role in restructuring, helping the organization “right-size” resources relative to market demand or take advantage of cost synergies after a merger, acquisition, or joint venture. Restructuring can also release least-productive resources and cut costs to boost profitability. Organizational effectiveness interventions may be required to help affected employees through the period of transition, equip them with new skills and processes, manage changes in organizational cultures, and establish new structures (for example, decision making, team building).

Drivers of Restructuring

Organizations restructure for a number of reasons. Dr. Gaanyesh Kulkarni, CEO and Principle Consultant of envertis, a Mumbai-based consultancy, identifies four major drivers of restructuring:

- **Strategy.** When organizations change their strategy, they may create new divisions to facilitate new products or services or to move into new markets. The new strategy may mean staff increases in some areas and decreases in others, which will then require restructuring.

- **Structure.** Organizations may rearrange their structure to follow a new business model, improve efficiency, or reduce costs.

Restructuring is then required to meet the needs of the new organization.

- **Downsizing.** Organizations commonly downsize to remain functional during a loss of revenue. They may choose to close departments, drop product lines, lay off staff, or sell facilities. Restructuring may then be required to meet the needs of the new, smaller organization.

- **Expansion.** When an organization expands, new departments may be required to accommodate new products or facilities. The structure is then rearranged to include new staff and departments.

Another driver in today's workplace environment is technology—including robotics and artificial intelligence (AI). Robotics and AI can have an impact on organizational as well as job redesign. Whole departments may be eliminated or initiated if certain technological changes are made, and often employee re-skilling and up-skilling are priorities to close the skill gap in the workforce. Both re-skilling and up-skilling may be initiated by the organization or by an individual employee. Organizations that recognize that technology, robotics, AI, and so forth are changing the ways in which organizations will do business in the future will first identify what

skills are needed to leverage the new technology and then create an appropriate up-skilling/re-skilling strategy.

Redistribution of Decision-Making Authority

As an organization grows larger, traditional decision-making processes may become so cumbersome that the organization becomes dangerously slow in responding to competitive threats or technological changes and opportunities. As a result, decision-making authority may move downward in the organization—toward line managers—and outward—from headquarters to field.

These shifts affect HR as well. The responsibilities in the operational HR role will continue to be shared with line management. A variety of activities, such as recruiting for open positions and resolving employee complaints, are daily management functions that can often be handled by or shared with the line manager.

The shift in responsibilities to line managers may require a matching decentralization of HR, a sharing with line management of some of the historical HR functions, or a relocation of many operational activities from headquarters to regional offices.

M&A and Divestiture

Organizations may also try to enhance their productivity and competitiveness by adding to the value of the firm (such as increasing assets or accessing new markets) through merger and acquisition (M&A) or by shedding assets that do not contribute to the bottom line through divestiture.

In both cases, restructuring is required to align leadership and functions.

Due Diligence in M&As

An important HR role in M&A is in the due diligence process.

Key Content

Due diligence is the process of investigating a decision thoroughly before finalizing it to identify all potential factors that could affect the positive and negative impacts of the decision.

By practicing due diligence before implementing a supplier or partner relationship, HR helps make sure that the other parties in the relationship conform to international labor standards, local laws, and

ethical expectations. This helps manage risk to the organization’s reputation and its legal liability.

In the context of M&A, HR focuses on identifying wide-ranging workforce issues that may result from the change:

- Structural issues, such as the duplication of work processes and personnel, differences in organizational culture, conflicts in HR policies and practices, the arrangement of reporting relationships, titles, the design of how the organizations interact with customers/clients, and the relationships with vendors
- Technological considerations, such as direct product/service provisions; mechanisms for communication and data tracking; the use, type, and impact of each organization’s enterprise management tools; and the ability for integration of the technology
- Financial considerations, such as the compensation structure, union contracts, obligations to a union pension fund, stock options, incentive plans, and the full range of benefits administration
- Legal issues, such as reporting requirements that differ by jurisdiction or type of business, legal constraints on the closing

of facilities or elimination of redundant personnel, and benefit and nonbenefit issues (such as severance and tax codes)

Because of the critical nature of the decision, due diligence investigation for M&A and divestiture should use multiple sources and industry and local contacts and experts.

Exhibit 24 lists typical factors HR should include in its due diligence investigation. Many of these topics are the same as those HR might use in an annual survey of its workforce status.

Exhibit 24: HR Due Diligence Topics for M&A Strategies

HR Due Diligence Topics for M&A Strategies	
Management • Talent of current managers at top and middle levels • Anticipated level of post-M&A motivation of managers • Likelihood of retaining top management • Management pay structure • Ability to recruit top managers **Management style** • Centralized vs. decentralized? • Paternalistic? Authoritarian? Collaborative? • Distance of management style from that of own organization	**Work environment** • Employee attitudes • Employee engagement • Type of worker representation and participation • Rates of absenteeism and disability • Safety records • Complaints filed with regulatory agencies **Community labor environment** • Union climate • Availability of necessary skills **Current HR function** • In-house or outsourced? • Future plan **HR policies and procedures**

HR Due Diligence Topics for M&A Strategies	
• Probability that managers will be able to adapt to new style **Culture** • Alignment of stated values with leaders' actions • How things happen every day • Decision making (for example, amount of autonomy, levels of approval required) • "Silo" internal structure • Perception of internal and external customers • Learning and development philosophy (for example, who receives training, how learning is perceived and delivered, how much money is spent on it) • Age and diversity of workers **General employee information** • Types of employees (full-time, part-time) • Local customs of employment • Retention plans, if applicable	• Written or unwritten policies and procedures • Compatibility with own policies and procedures • Other required policies (such as diversity in hiring) **Effect of future business strategy** • HR activities needed to support business strategy (examples include hiring and closing of operations) **Hidden costs of acquisition** • Special contract terms with management • Benefit plans and transferability to new employees • Pension plan status (adequacy of funding, distribution, retention of unvested percentage) • Separation and incentive pay plans • Compensation packages • Pending lawsuits and judgments

Key Content

Throughout the M&A process, the job of HR is to maintain focus on the "people" dimension while it conducts HR due diligence and plans the M&A HR

integration strategy, implements, and monitors and evaluates.

Planning the M&A Process

After due diligence research, HR can begin to map and compare the two organizations' structures and processes and decide how to manage differences. Key talent can be identified and plans laid for retaining it. The HR integration plan should include:

- Designating integration leaders.
- Securing management support and resources.
- Developing integration and communication plans, setting measurable objectives for integration, and establishing a realistic time line.

Implementing the M&A Plan

Since post-M&A integration generally means streamlining the workforce and reconciling multiple compensation systems, HR focuses on:

- Communicating honestly and quickly, before incorrect rumors spread and take hold.
- Making required changes quickly—where this is possible. Part of the due diligence process is identifying restrictions on

implementation, such as laws affecting acquired rights (existing obligations of merged or acquired entities), workforce terminations, and job reassignments.
- Supporting efforts to blend or revise work processes—perhaps by using cross-cultural task forces.

HR also ensures that stakeholders—such as vendors or supply chain partners and affected communities—are included in both planning and implementation.

After the M&A

In the period after the merger or acquisition, HR monitors for signs of problems and responds appropriately. It implements various initiatives, such as communicating mission and values, to build cohesion. It begins the process of analyzing its strategy and evaluating its success, with an eye toward identifying best practices for future M&As.

Due Diligence in Divestiture

HR must also conduct due diligence in a divestiture. HR must analyze the skills and functions of the divested unit and, if the divestiture leaves a gap, determine if the cost of filling the gap outweighs the financial benefits of the divestiture. If divestiture is considered the better option, this is still a major change initiative and

must be approached as such. The potential loss of working relationships and necessary changes in work processes require the same type of planning, implementation to plan, and monitoring as with M&As.

Reduction in Force

Reduction in force (RIF) , or **downsizing ,** refers to the termination of employment of individual employees or groups of employees for reasons other than performance—for example, economic necessity or restructuring. This may take the form of permanent or temporary layoffs in certain divisions or locations or across the entire organization.

The process for determining which employees will be affected by an RIF may depend on different factors. HR professionals should be aware of national and local labor laws and union contracts that affect an employer’s ability to reduce the size of its workforce. Employers usually consider skills, work record, and seniority. A straight seniority approach is most objective but may not meet the employer’s long-term needs. In workforce reductions that affect professional workers, less consideration is customarily given to seniority and more is given to the performance and skills the future organization will require.

Possible alternatives to downsizing include asking employees to sustain pay cuts or to take furloughs without pay, offering voluntary termination and/or retirement with additional benefits, or asking employees to accept a reduced work schedule.

HR's Role During RIF

During a RIF, HR can help the retained employees confront challenges such as:

- Diminished job security.
- Increased workload.
- Different work assignments.
- Changed organizational priorities.
- Departure of leaders/managers who once defined the organization's character.
- Departure of long-term employees who were knowledgeable about operations.
- Loss of colleagues, possibly friends ("survivor guilt").
- Fear that their own jobs may be in jeopardy, causing them to look for other employment.

HR's Role After RIF

HR can take the following measures after the RIF:

- Clearly communicate the rationale for the new goals and structures.

- Provide employees with specific examples of behaviors that are appreciated as well as what will not be tolerated.
- Ensure that the transition period is short; the longer things are dragged out, the more likely employees are to view the situation as leadership failure.
- Support leaders and managers in leading by example and helping employees see how new challenges can be met.
- Clearly define job definitions and responsibilities.
- Realign rewards as necessary to support organizational goals.

Talent Management

Talent management refers to the development and integration of HR processes that retain the knowledge, skills, and abilities of employees that will meet current and future organizational needs. The purpose of talent management is to increase workplace productivity by supporting the recruitment, development, engagement, and retention of high-value employees.

Effective talent management therefore requires:

- Understanding the implications of the organization's business strategy in terms of required competencies. Talent management is a strategic approach to managing human capital and as such must be aligned with the organization's strategy and strategic

business goals. It should be perceived as a long-term and continuous process that is most effective when it is an integrated effort and is perceived as continuous and dynamic, always evolving with the strategic direction of the organization.

- Tracking external conditions that affect the availability of talent, such as highly competitive job markets, demographic conditions (for example, bulges in the size of certain population age ranges), or changes in technology that call for new knowledge and skills.
- Reflecting the organization's values and commitment to diversity, equity, and employee development. An effective talent management strategy is shaped by an organization's:
  - Expectations regarding the differentiation of talent.
  - Overall philosophy regarding integration versus local differentiation.
  - View of the role that line leaders have in the development of people.
  - Philosophy regarding the movement of people across borders, businesses, and functions.
  - View of the role of diversity in staffing strategy.
  - Beliefs about hiring for potential versus hiring for position.
- Committing to creating a positive workplace and an engaged workforce.

Talent Pools

The creation and management of formal talent pools are critical aspects of an organization's talent management strategy. Members of a specific talent pool (for example, high-potential employees or potential global assignees) are employees who meet a set of formal identification criteria. These employees typically receive specialized development and enrichment experiences above those associated with traditional employee development.

A growing number of organizations are investing in the development of sophisticated applications, such as applicant tracking systems and talent management suites, to help them stay in touch with and develop strong relationships with both internal and external members of essential talent pools.

Talent pools:

- Represent an essential component of strategic business planning. When talent management is carefully aligned with long-term business and strategic planning, the organization can develop a well-planned approach to giving employees who have specific skill sets the developmental experiences they need to prepare them for the future.
- Allow the organization to maximize and more effectively target employee and career development efforts.

- Can be a useful tool for identifying and cataloging the developmental experiences of employees who are candidates for future international assignments.
- Represent a valuable resource during crisis management. When an organization makes the effort to identify and catalog critical skill sets and experiences, it can quickly draw on these resources to fill in or supplement workforce gaps in times of organizational crisis.

Some additional uses for talent pools include the following:

- Talent pools can be used to help organizations identify and recognize the value of solid performers—those individuals who keep the organization running on a daily basis but are not typically singled out for recognition or special development experiences because they are not part of or have not expressed interest in specialized talent pools.
- Defined talent pools may aid in clarifying or guiding compensation decisions to be sure that key talent (including high potentials and leadership candidates) is rewarded and motivated.
- Talent pools represent an additional contributor to effective knowledge management, especially in global organizations. Talent pools of functional experts and historians serve a vital

function in preserving essential knowledge and proprietary information.

Talent management resources can be directed broadly—for example, to develop high-potential employees throughout the organization. Alternatively, employers may choose to target their talent management initiatives at pivotal or key talent pools, employees who will have the most impact on the organization's success in implementing its strategy and achieving its goals.

Developing pivotal talent requires a deep understanding of the organization's strategy and what types of activities have the greatest impact on measurable success and then focusing development efforts on the employees performing those activities. For example, if an organization creates its competitive advantage primarily by regularly introducing innovative products, HR may discover that the organization's pivotal talent pool is employees involved in designing and developing those products. Alternatively, an organization that competes on the basis of premium service to its high-value customers may focus its talent management on the employees who interact with customers.

Key Content

As part of their talent management responsibilities,

> human resource professionals must be able to anticipate the future talent needs of the organization and foresee what the potential employee pool will look like when those organizational needs become a reality. Used appropriately, talent pools can be created and developed to fill the gaps between the talent that the organization will need and the talent that is likely to be available.

Measuring Talent Management Effectiveness

All talent management programs should be evaluated on a regular basis to ensure the effectiveness of each program in helping to maintain a high-performance workforce. Methods for measuring talent management effectiveness include:

- Evaluating the percentage of positions for which there are internal successors.
- Comparing the number of external hires to internal promotions.
- Evaluating the differentiation of pay between performance levels.
- Identifying high-potential employees and reviewing their corresponding retention rates.
- Tracking retention and turnover rates at all levels of the organization.

Successful practices should be identified and repeated.

Succession Planning

Succession planning is an important talent management strategy to help identify and foster the development of high-potential employees. Succession plans focus on positions that are the most critical to the future needs of the organization. The goal is to “keep talent in the pipeline” and have people in place for future roles in the organization.

It is important to recognize that succession planning, like other aspects of talent management, applies to employees at all levels of the organization. It should not be applied exclusively to senior management.

Succession planning must be closely tied to and aligned with several other human resource management functions, including:

- **Career management.** Succession plans help to ensure that individuals in specific talent pools obtain the insights, awareness, and field experience necessary to make ongoing contributions to the organization.

- **Training and learning.** Structured training experiences provide the knowledge and skills necessary for success in various positions on the career advancement ladder.
- **Performance management.** Succession planning must also be carefully aligned with the organization's performance management process to ensure that future managers and functional experts receive the ongoing developmental feedback, critical evaluation, and mentoring required to maintain their professional development.

Succession planning is a strategy that targets long-range needs and focuses on the cultivation of talent to satisfy those needs. **Replacement planning** concentrates on immediate needs and a "snapshot" assessment of the availability of qualified backup for individuals in key positions. Replacement planning is an important element in business continuity planning in the event of an emergency or business interruption.

Exhibit 25 compares succession planning and replacement planning.

Exhibit 25: Succession vs. Replacement Planning

Variable	Succession Planning	Replacement Planning
Time frame	12–36 months	0–12 months

Variable	Succession Planning	Replacement Planning
Readiness	Candidate with the best development potential	Best candidate available
Commitment level	Merely possibilities until vacancies occur	Designated preferred replacement candidate
Planning focus	Pool of talented candidates with capabilities for several assignments	Vertical lines of succession within units or functions
Planning development	Specific plans and goals set for the individual	Usually informal, status report on strengths and weaknesses
Flexibility	Flexible plans that are intended to promote development and thinking about alternatives	Limited by plan structure; however, in practice has a great deal of flexibility
Plan basis	Result of input and discussion among multiple managers	Each manager’s best judgment based on observation and experience
Evaluation	Multiple evaluations by different managers on different assignments; testing and broadening early in career	Observation of performance on the job over time; demonstrated competence; progress through the unit

An important aspect of retention is to retain high performers in the organization. Succession planning demonstrates to employees that the organization has an interest in their knowledge and skills and is committed to their career development. By identifying crucial job skills, knowledge, social relationships, and organizational practices and passing those on through succession planning, employers help to ensure the seamless movement of talent within the organization.

Succession planning also has the potential to help organizations withstand times of demographic change and talent scarcity. Succession planning enables organizations to harvest critical organizational knowledge so it can be shared with subsequent generations of workers.

Succession Planning Process

An effective succession plan process incorporates seven components, as shown in Exhibit 26.

Exhibit 26: Components of Successful Succession Plans

Components of Successful Succession Plans	
• Visible support from senior leadership and all members of top management • Clearly defined leadership criteria • Defined plan to find, retain, and motivate future leaders and high-potential employees • Simple, easy-to-follow, measurable process	• Use of succession planning to reinforce organizational culture • Process that focuses heavily but not exclusively on leadership development • Process that is a real organizational priority

Careful thought should be given to selecting candidates for succession planning so that individuals with development potential are chosen. Although succession plans typically identify current management employees, nonmanagement employees who show promise should not be overlooked.

Once candidates have been selected, well-conceived training and development are critical to preparing candidates to step in and take charge of the targeted positions. HR has an important role in determining the most efficient and cost-effective method(s) to develop employees for the future.

Development approaches may include in-house training, mentoring, cross-training, coursework from outside sources, or special projects specifically designed for the employee. Organizations may also deploy a nine-box grid, which groups employees into one of nine categories depending on whether they are considered low, medium, or high potential and low, medium, or high performance. By examining the example in Exhibit 27, you can see how a decision could be made based on a completed nine-box grid.

Exhibit 27: Example of Nine-Box Grid

	Under Performance	Effective Performance	Outstanding Performance
High Potential	**Box 5:** Seasoned professional capable of expanded role, but may be experiencing problems that require coaching and mentoring.	**Box 2:** Does extremely well at current job with potential to do more; give stretch assignments to help prepare for next level.	**Box 1:** Consistently performs well in a variety of assignments; superstar employee. Big picture thinker; problem solver; self motivated.
Medium Potential	**Box 8:** With coaching, could progress within level; focus on stretch goals for this employee.	**Box 6:** May be considered for job enlargement at the same level, but may need coaching in several areas, including people management.	**Box 3:** Current role may still provide opportunity for growth/development; focused on tactical; focus should be on helping improve strategic thinking.
Low Potential	**Box 9:** May be a candidate for reassignment, reclassification to a lower level or to exit the organization.	**Box 7:** Effective performer, but may have reached career potential; try to coach employee on becoming more innovative, focus on lateral thinking.	**Box 4:** Experienced high performer but has reached limit of career potential. Still a valuable employee and can be encouraged to develop communications and delegation skills.

Note: In this example, the lower box number indicates the most suitable employee.

From “Succession Planning: What Is a Nine-Box Grid?”, SHRM

A nine-box grid can also be used as part of talent management/pool discussions, helping to assess employees’ ability to contribute to the organization now and in the future. Note that organizations may choose to use different numbers or labels to represent each box on the grid. Using the example given in Exhibit 27, the grid functions the same for both succession planning and talent management: Any employee who fits in boxes 1, 4, or 7 is underperforming and should

be the recipient of extra training or other talent management and development attention. Employees who fall into boxes 3, 6, and 9 are high performers. An employee who falls into box 9 is the one who is most ready or suited to fulfill a role now. Depending on the long-term plan of the organization, however, it might not be essential for an employee to fit in box 9 in order to fill an upcoming opening; incorporating time and space for training and skills acquisition can be part of an HR plan. That is to say, employees who fall into certain boxes now can be groomed for future roles and promotion with the appropriate application of training and talent development.

Whichever techniques are chosen, the training should be aligned with the succession plan and the overall organizational strategy.

Common mistakes made in succession planning include:

- Basing future staffing needs on only past or current experiences.
- Developing succession plans in isolation.
- Making it a once-a-year event instead of an ongoing management activity.

Evaluating Succession Planning Effectiveness

As with all planning activities, succession planning must be evaluated to determine its effectiveness.

At the onset of succession planning, standards should be established about what success looks like and metrics identified as to how program success will be measured. Standards and metrics used to evaluate succession planning will vary but should generally attempt to assess:

- Employee satisfaction with personal development initiatives.
- Management satisfaction with employee performance and job readiness.
- The extent of goals achieved and the time to full-function attainment.

Changes in organizational management are inevitable. Positions become vacant due to retirement, resignation, death, new business opportunities, terminations due to employee performance, or other reasons. Succession planning helps to provide continuity in leadership and avoid extended and costly vacancies in key positions.

Knowledge Management

Proficiency indicators related to this section include:

- Provides employees with continuous learning opportunities, including opportunities for upskilling and reskilling.

Key concepts related to this section include:

- Best practices and techniques for knowledge management, retention and transfer (examples include benchmarking, thought leadership).

Knowledge Management

Knowledge management (KM) is the process of creating, acquiring, sharing, and managing knowledge to augment individual and organizational performance. Effective knowledge management can maintain organizational effectiveness as the workforce changes over time.

Competency Connection

An HR manager hears about friction between the operations and quality control (QC) departments in the organization. Calling on his Relationship Management competency, the HR manager realizes that a group meeting with both leaders will not be productive. So the manager interviews each separately about possible causes for the poor relationship and then objectively analyzes their responses. Behind their answers, the HR manager sees a tendency for both areas to control information tightly. Operations believes that QC's involvement always increases their work, and so they tend to withhold information about iterations of designs and trial results. QC believes that operations will select only the data they want and so presents only summaries of results from their reviews.

The HR manager works with the department managers and employees from both groups to better understand the situation and

their concerns/perspectives on sharing information outside their departments. The Communication competency supports this task.

The HR manager applies his Consultation competency to his sense of the situation and proposes a formal knowledge management system to capture vital operations and quality control information and explains the benefits of using the system to the department leaders. The system would provide QC with a more complete picture of the design process and operations with a more detailed understanding of the quality tests being applied and their results. It would also allow the departments to schedule their work more efficiently.

To develop the knowledge management system, the HR manager uses techniques to address the hesitancy of and reduce the conflict between the two departments (using the Consultation skills related to managing change). A workshop is held with respected employees from each department who have been identified as having good relationship skills. The team identifies and agrees on system objectives and criteria. Gradually the departments begin to trust each other.

Knowledge Management Systems

In today’s complex and highly competitive environment, an organization must capture, house, and share its knowledge, information, practices, and policies. It is equally important to prevent the knowledge loss that can occur through layoffs, retirements, reassignments, and voluntary resignations.

Knowledge management (KM) programs typically focus on two key elements:

- Expertise sharing and organizational learning
- Knowledge retention and the reduction of knowledge loss due to employee attrition

HR professionals play a key role in fostering KM. They instill a knowledge-sharing attitude in new employees and use training and performance management systems to encourage creativity, innovation, and knowledge transfer.

There are many types of information that can be the focus of organizational KM efforts, such as:

- Leadership characteristics and behaviors.
- Supplier management information and techniques.
- Process control in operations.
- Information management practices, techniques, and specifications.
- Problem-solving techniques.

- Innovation best practices.
- People commitment procedures, policies, and practices.
- Customer satisfaction practices, programs, skills, and techniques.
- New product, service, or technology launch and introduction practices.
- Change management practices and capabilities.

Establishing a Formal Knowledge Management System and Critical Success Factors

Knowledge management systems in organizations tend to be either informal or formal. Informal systems arise as employees and teams gain experience and develop the ability to recognize and identify critical information, best practices, and experiences. While informal systems are very influential and important to organizations, they tend to be based on personal networks and consist heavily of personal contact information. Formal systems are characterized by a structured, formal procedure for capturing information and a specific repository for the information that is gathered.

Exhibit 28 describes the steps to create a formal KM system.

Exhibit 28: Steps to Create a Formal Knowledge Management System

Step		Description
1	Inventory knowledge assets.	This step involves cataloging the organization's collection of tangible assets. Collections often include white papers, proposals, presentations, business and marketing plans, and growth and expansion plans. Some components of information systems (such as connections and lists of employees with specific skills, experiences, and assignment responsibilities) are also commonly added to the inventory.
2	Create a knowledge repository and directory.	Typically, an organization's library or knowledge repository is available over its intranet or through a dedicated application. The access tool must be quick and easy to use and have a powerful search capability. More sophisticated systems, such as human capital management systems, may offer the ability to forecast information for new projects and assign team members based on skill and experience matches.
3	Encourage system use.	This step involves implementing communication, training, and other processes designed to ensure cultural applicability and overall acceptance of the system. If the system is not perceived as essential to the successful operation of the organization, its success is uncertain.
4	Update the system.	While keeping the database up-to-date often represents a challenge for the organization, continuous updates are essential to ensure the integrity and credibility of the system.

Critical Success Factors for Knowledge Management Systems

Organizations that excel at knowledge management focus on several key factors:

- Creating an environment and structure that encourage the capture of best practices and facilitate sharing and cross-fertilization
    - Recognizing that information must travel within and be retained in the organization
    - Appreciating the role and importance of personal networks in knowledge and information transfer
    - Establishing a knowledge-friendly, data-sharing culture (Individuals across cultures and across hierarchical levels must feel encouraged to share their knowledge and ideas.)
- Seeing where knowledge exists and where it is liable to be lost or underutilized
- Helping people develop information management and data access skills
- Addressing the “What’s in it for me?” question (Those who “borrow” knowledge from the system should also “deposit” knowledge. In other words, employees should be both givers and takers of knowledge. Seeing the process as reciprocal and mutually rewarding encourages its use and vitality.)

- Developing criteria to define and measure successful KM projects
- Identifying and addressing multicultural challenges, such as multiple languages within the organization and different preferences for screen design

Social Sharing of Knowledge

Most employees recognize that much of what they need in order to perform better, improve their skills, and gain more knowledge is around them all the time: learning by observing colleagues, receiving coaching from a supervisor or mentor, and having access to proven ideas and best practices as well as simply getting on-the-job experience every day.

Knowledge transfer is especially important and is an attractive opportunity in a global organization. Knowledge moves throughout the organization in a social manner as employees transfer into new positions or locations and form new work relationships. Their experiences may increase the organization’s understanding of local laws and business practices, local market needs and competitive dynamics, and the strengths and development needs of local workers.

Many organizations use some type of human resource information system to manage assignments and track assignees. Organizations that have these systems in place may be able to expand or modify them so they can be used to capture and manage the knowledge gained.

The challenge for employers is to transform the inherently ad hoc nature of this social learning and knowledge transfer into something with more structure and rigor. Social networking and collaboration technologies can be used to create learning and knowledge management opportunities.

Social learning doesn’t necessarily require technology-based tools. Coaching and mentoring programs are social learning opportunities that require planning and time from supervisors but little capital investment. They can also support employees who don’t fit the typical knowledge worker profile.

By building social learning solutions, an organization can leverage the biggest database of all—the collective experience of people both within and outside their own organization. Social learning can turn an entire organization into a unified learning team.

An organization must have strategies in place for gathering knowledge from employees who will soon leave (due to retirement,

for example). This can be done in a number of ways, depending on how much time is available, perhaps through mentoring employees who will remain after the departure or succeed the departing employee or even interviews with a relevant department head who can then pass this knowledge on to a successor in the vacated role.

Organizations may also choose to share knowledge outwardly into their larger community. Benchmarking is recognized as a best practice for companies looking to improve their performance and ensure that their processes meet global best practices to the extent possible. But benchmarking would not be possible if high-performing organizations did not share information for others to compare against.

Thought leadership is another way that individuals and organizations may choose to share knowledge outwardly. Thought leaders, generally speaking, use their knowledge to influence their industry by transferring the knowledge to the industry and the general public. Motivations for doing so may vary from person to person and organization to organization. Individuals who act as thought leaders may increase visibility in their organization and industry, leading to promotion and job opportunities. Organizations that prioritize green initiatives may magnify their impact by influencing other organizations in the industry to change their procedures to be more

environmentally friendly. They may also increase their brand perception, which in turn may increase sales, or help drive technological innovations that end up increasing profitability over time.

Employee & Labor Relations

Employee & Labor Relations refers to any interactions between the organization and its employees regarding the terms and conditions of employment.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Advises managers on how to supervise difficult employees, handle disruptive behaviors, and respond with the appropriate level of corrective action.
- Conducts investigations into employee misconduct and suggests disciplinary action when necessary.
- Develops and implements workplace policies, handbooks, and codes of conduct.
- Manages employee grievance and discipline processes.
- Provides guidance to employees on the terms and implications of their employment agreement and the organization's policies and procedures (examples include employee handbook, code of conduct).
- Resolves workplace labor disputes internally.
- Supports interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).

Proficiency indicators for **advanced HR professionals** include:

- Coaches and counsels managers on how to operate within the parameters of organizational policy, labor agreements, and employment agreements.

- Consults on and develops an effective organized labor strategy to achieve the organization’s desired impact on itself and its workforce.
- Educates employees at all levels about changes in the organization’s policies.
- Educates employees, managers, and leaders at all levels about the organization’s labor strategy and its impact on the achievement of goals and objectives.
- Manages interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).
- Oversees employee investigations and progressive disciplinary actions.
- Serves as the primary representative of the organization’s interests in activities related to organized labor management (examples include negotiations, dispute resolution).

Key Concepts:

- Approaches to retaliation prevention (examples include open door policy, open communication, non-retaliation policy, whistleblower protection, documentation).
- Causes of (examples include unfair labor practices, economic grievances) and methods for preventing and addressing

(examples include strike response plan, hiring temporary workers, protection of non-striking employees, supply chain contingency plans) strikes, lockouts and boycotts

- Employment rights, standards and concepts (examples include labor rights, living wage and fair wage concepts, standard workday, unfair labor practices), according to the International Labour Organization (ILO).
- Progressive disciplinary procedures and approaches (examples include counseling, performance improvement plan, corrective action, verbal warning, demotion, termination).
- Techniques for grievance and complaint resolution (examples include grievance procedure, investigation, appeal).
- Techniques for workplace investigations (examples include consistency, interview plan, summary report).
- Types and development of compliance and ethics programs (examples include design, implementation, required postings, performance measures).
- Types of alternative dispute resolution (ADR) (examples include mediation, arbitration) and their advantages and disadvantages.

Employee & Labor Relations

An organization’s success in benefiting from its extensive investment in its human resources depends on its ability to manage the employment relationship. This relationship may be individual—between the employer and individual employees—or it may be collective—between one or more employers, groups of employees, and third parties. These third parties can include labor organizations (for example, labor/trade unions, works councils) and government agencies (for example, departments/ministries of labor).

The employment relationship is affected by history, culture, laws, ethical systems, economic conditions, and industry practices. Within these constraints, HR plays a critical role:

- Helping to create and communicate a positive employee relationship, including ensuring productive resolution of workplace disputes and employee discipline
- Developing and implementing the organization’s employee and labor relations strategy
- Supporting the organization’s relationship with third parties (for example, contract negotiation and administration, compliance with labor laws)

The Employment Relationship

Proficiency indicators related to this section include:

- Advises managers on how to supervise difficult employees, handle disruptive behaviors, and respond with the appropriate level of corrective action.
- Develops and implements workplace policies, handbooks, and codes of conduct.
- Provides guidance to employees on the terms and implications of their employment agreement and the organization’s policies and procedures (examples include employee handbook, code of conduct).
- Coaches and counsels managers on how to operate within the parameters of organizational policy, labor agreements, and employment agreements.
- Consults on and develops an effective organized labor strategy to achieve the organization’s desired impact on itself and its workforce.
- Educates employees at all levels about changes in the organization’s policies.
- Educates employees, managers, and leaders at all levels about the organization’s labor strategy and its impact on the

achievement of goals and objectives.

Key concepts related to this section include:

- Employment rights, standards and concepts (examples include labor rights, living wage and fair wage concepts, standard workday, unfair labor practices), according to the International Labour Organization (ILO).
- Types and development of compliance and ethics programs (examples include design, implementation, required postings, performance measures).

The Employment Relationship

The characteristics of the employment relationship are influenced by a country's economic history and conditions, culture and institutions, industrial practices, and individual employer values. HR's task is to navigate through those influences and help shape a relationship with employees that contributes to the organization's success and complies with ethical standards, local laws, and cultural norms.

Competency Connection

Managing the employment relationship calls on many HR behavioral competencies in addition to the knowledge competency HR Expertise (especially familiarity with applicable laws). As the following example shows, HR professionals must apply Leadership & Navigation, Ethical Practice, Communication, and Relationship Management competencies to many situations involving the employment relationship.

A student employee who worked in the academic services area of the athletics department reported an incident to an academic counselor. While she was working in the football area, she passed an assistant coach. The assistant coach knew her only casually but touched her hair and said, "Hey, that's for good luck." The student employee did not respond but later raised the issue as a problem

with one of the academic counselors. The counselor told her she should report it to human resources.

The male HR director met with the student but had very little knowledge of the incident. He brought in a female HR professional staff member to add perspective and to witness the interview. After listening to the student employee's description of the incident, the HR director asked her what she felt would be the best outcome and specifically asked her if she wanted to lodge a formal complaint. She responded that she did not wish to make a complaint but she felt that her person had been violated and that something should be done.

In case the action might constitute harassment, the HR director interviewed the assistant coach. The assistant coach was surprised and offered to apologize to the student. The HR director and the coach discussed why the student might have been offended by being touched by someone she didn't know. The coach agreed that he had assumed his action was acceptable based on his and the student's shared race, but he understood now how it could have been perceived and agreed that it was not appropriate.

The HR director decided that the incident did not rise to the level of sexual harassment and took no formal action against the coach. The director talked to the student again about what he had learned in his

conversation with the coach. He explained his reasoning for not reprimanding the coach for sexual harassment but did note that the incident and the interviews had been documented. He forwarded the coach's offer to apologize in person. The student was upset that HR had interviewed the coach. The HR director explained the institution's ethical and possibly legal obligation to investigate the incident once it had been brought to HR's attention. This required gathering facts and talking to everyone involved. The student remained upset, however.

The HR director documented the matter fully in a memo. A few weeks later the student employee's parents contacted the university president's office to complain about the handling of the incident. All documentation was provided to the president's office. The matter eventually was dropped, but it remained a difficult situation that the HR director would look back on often and try to learn from. Sometimes employee disputes cannot be resolved to everyone's satisfaction, but the HR director had made an honest effort to protect both sides and the institution in the conflict. Still, could he have approached the situation differently?

International Labor Standards

Fundamental to the employee relationship of the 21st century are basic employee and employer rights that have been described in a large body of international standards and agreements. The international standards reflect a consensus about the rights of the employee and the responsibilities of the employer.

The ethical principles embodied in the standards reflect and, in some cases, have influenced local employment laws and regulations. Rights and responsibilities related to employment are defined at the constitutional level, in statutes, and in regulations implementing statutes. Workforce laws and regulations address many facets of the workplace relationship, including individual and collective rights.

Since employment laws may vary significantly in detail as well as philosophy, HR professionals should be familiar with the employment-related laws in the geographical areas in which their organizations operate. These laws may regulate such issues as living wages, the length of a standard workday, overtime regulations, benefits, and working conditions (for example, antidiscrimination, health and safety) that are described in other Functional Areas in this Learning System.

Even if these standards are not reflected in a nation’s employment laws, they set a recognized bar that ethical employers strive to

reach. For example, providing workers in each country or region with an appropriate living wage is not only the just thing to do but can also pay dividends in attracting top talent and improving the organization's reputation (at home and abroad). International standards are especially significant to global organizations developing or trying to apply standards across their organizations.

International Labour Organization

The standards issued by the International Labour Organization (ILO) capture key issues related to employee rights. They are accepted as standards by other international groups such as the World Trade Organization and have provided models for national labor statutes. The ILO is a specialized agency of the United Nations headquartered in Geneva. It evolved from the Commission on International Labor Legislation, which was formed in 1919 as a result of the Treaty of Versailles following World War I. The ILO membership includes governments (currently 187 member states), employers, and worker groups. Together, these constituents shape policies and programs related to four strategic objectives:

- Promote rights at work.
- Encourage decent employment opportunities.
- Enhance social protection.
- Strengthen dialogue on work-related issues.

Labor standards are developed through a complex process involving research and analysis, reports, comment or discussion sessions, drafts, revisions, and finally adoption as conventions by at least two-thirds of member nations. Member nations are obligated to submit a convention to their own law-making bodies to enact related legislation and/or to ratify the convention. (In some cases, members may not ratify the convention but still enact legislation reflecting the standard's objectives.)

The ILO has identified eight core labor standards:

- "Freedom of Association and Protection of the Right to Organize," prohibiting interference from public authorities and the requirement of authorization by employers
- "Right to Organize and Collective Bargaining," protecting workers from retaliation and obligating employers to negotiate with unions
- "Forced Labor," prohibiting forced and compulsory labor, except for military service, prison, and emergencies (for example, war, natural disaster)
- "Abolition of Forced Labor," prohibiting forced labor as a means of political coercion or punishment, retaliation for strikes, workforce mobilization, labor discipline, and discrimination
- "Minimum Age," prohibiting the hiring of children too young to have completed compulsory schooling and limiting employment

in hazardous work to those 18 and over
- “Worst Forms of Child Labor,” prohibiting any work likely to be harmful to the health, safety, and morals of children
- “Equal Remuneration,” requiring equal pay and benefits for men and women
- “Discrimination,” prohibiting discrimination in hiring, training, and working conditions and requiring employers to promote equality of opportunity and treatment

Additional standards have been issued by the ILO in relation to wages and working time, specifically to ensure that member nations commit to enacting legislation that provides workers with living wages and that employees are not expected to work over-long hours, which might be detrimental to their health.

Employee Relationship Strategy

An organization’s employee relations (ER) strategy should include:

- Alignment with the organizational strategy, showing how the ER strategy will help the organization achieve its long-term goals.

- Alignment with employment laws and business practices. In some areas and industries, organizations cannot choose to avoid working with works councils and labor unions. Consulting

with these third-party representatives may be required by law or be a traditional feature of an industry's or nation's employee relations. Laws in some areas may also mandate that materials are posted for employees to see that describe employees' legal rights with regard to employment laws, including things such as wages and the right to organize.

- A vision describing the type of workplace culture the leaders hope to create.

- The values upon which the strategy is built—for example, respect, teamwork, mindfulness of strategically defined issues such as customer focus, quality improvement, or safety. In the same way that organizational business strategies must be in alignment with the organization's culture, the ER strategy must fit the organization's values and beliefs. If not, the organization must commit to the process of changing its culture to one that is consistent with the ER strategy.

- A compliance and ethics program that includes:
  - Participation by the board and senior management in order to establish a "tone at the top" and to empower and provide resources to those individuals who are tasked with managing relevant day-to-day tasks and responsibilities. A chief

compliance officer should also be appointed to take the lead in upholding the organization’s integrity.
    - Compliance risk assessments, including appropriate information sharing and training to ensure that compliance officers are kept up-to-date on regulations and relevant laws.
    - Procedures for meeting workplace posting requirements.
    - Monitoring and testing mechanisms to maintain the effectiveness of the program overall and implement adjustments when called for.

- Goals, for example:
    - Develop a constructive and compliant relationship with labor organizations in the workplace.
    - Implement communication plans that enable timely sharing of critical information or facilitate early resolution of ER issues.

- Details of identified and agreed-upon performance measures, complete with a robust feedback mechanism.

- Initiatives for implementation (a set of action plans to achieve the organization’s goals), for example:
    - Implementing an audit program to make management’s actions more transparent and to increase responsibility for decisions.

- Assembling a joint management-employee task force to define vehicles and events to improve communication between leadership and employees.
- Implementing a reward system for employees who deliver exceptional results based on employee goals (devised in consultation with the employees).

The organization must communicate the ER strategy to employees—through, for example, new-hire materials, employee handbooks, or annual and functional meetings. Managers and supervisors must understand the ER strategy and their role in implementing it on a daily basis.

Workplace Policies

Key to the employment relationship is the employer's clear communication of policies, often through an employee handbook or manual. Employee performance management, discipline, and termination should involve the employee's understanding of the employer's promises (for example, work terms, complaint procedures) and expectations of employee conduct (for example, ethics, compliance with policies such as antiharassment or substance use). In a workplace regulated by union contracts, the contract supersedes the employee handbook, but handbooks are still often used to clarify expectations.

A **policy** is a broad statement that reflects an organization's philosophy, objectives, or standards concerning a particular set of management or employee activities. Policies reflect the employer's employee relationship strategy. They are general in nature and are expressed through more specific procedures and work rules.

Properly conceived and implemented, policies are intended to help management and employees make intelligent decisions—decisions consistent with those policies. In that respect, policies provide a basis for HR management practices and a framework within which these practices are established.

While policies may be written down in a physical or online handbook, they may also be unwritten—communicated by word or action.

Policies, written or unwritten, are not permanent. The organization needs to periodically review policies and revise those that are obsolete. However, numerous and frequent changes in policies may indicate management problems.

HR's Role in Policies and Procedures

HR's role is not necessarily to develop workplace policies or procedures. In some instances, HR:

- Supports the development of policies by the organization's leaders. Some policies, such as discipline and discharge, are driven by the organization's culture, and the role of HR may be to help leaders apply the organization's values to employment issues and determine policy positions.
- Facilitates development of procedures by other departments. Some departments assume the responsibility for many of their own department-level policies and procedures, while others will request HR support to develop consistent and thorough policies and procedures.
- Supports communication of policies throughout the organization. HR needs to ensure that managers are clear about the intent and/or specific terms of the policies and how to communicate and enforce them. As warranted, HR should provide related training for managers.

Developing Policies and Procedures in Global Organizations

Global HRM emphasizes the need for policies that are consistent, fair, and transparent throughout the organization. However, the realities of a global organization—with its global workforce, globally mobile employees, and different locations around the world—challenge the notions of consistency and fairness. Fully standardized policies and procedures are not always possible

because of the need for legal compliance and cultural adaptation. If standardization is achieved, the policies may not be fair for all.

At the same time, lack of consistency and fairness in a global organization can be problematic. If global assignees find different expectations and treatment in their assignments, the discrepancies can lead to conflicts that harm retention of valuable employees. In a global electronic environment, stories of personal experiences can spread quickly and undermine the organization's image with its employees.

Employee Handbooks

Since employee handbooks are often used during employee onboarding and performance management activities, HR is often directly involved in creating them.

Policies should be developed with a goal of communicating effectively with employees. They should be available in the language of the employee and in a form of media universally available. For example, employers should not rely solely on an electronic document posted to the organization's website if some employees don't have electronic access. Organization of topics should be clear, and wording should be simple and direct. If employees cannot read,

other means must be used to convey the information and confirm understanding.

Employers in a union environment address the issue of handbooks differently. A policy handbook may be used to outline policies that apply to all employees without exception. They may describe, for example, access to federally mandated rights (such as family leave) and restrictions on illegal behavior (such as sexual harassment, violence, or illegal drug use). The collective bargaining agreement or labor contract serves as a description of the terms and conditions of employment for employees covered by the agreement. A separate handbook may be created if the workplace includes nonunion employees. It sets out terms and conditions of employment but makes clear that it applies only to employees not covered under a collective bargaining agreement.

Exhibit 29 summarizes key points in developing effective employee handbooks.

Exhibit 29: Tips for Creating Effective Employee Handbooks

Tips for Creating Effective Employee Handbooks

Tips for Creating Effective Employee Handbooks	
• Make sure the handbook reflects your organization. Look at templates and, if available, handbooks for other organizations as a guide, but aim for a complete and accurate reflection of your organization's policies. • Align your handbook with local laws and regulations. For example, a statement that the handbook does not create a contract is necessary in the U.S. to maintain an at-will employment relationship.	• Focus on policy and policy-related procedures. Avoid job-related procedures or rules. • Include procedures for reporting and/or resolving policy and work rule violations. • Be realistic in expectations. Policy should be consistently enforced, and consistent enforcement is difficult when policies are overly restrictive and/or culturally misaligned. • Keep it short, comprehensible to the average reader, and unambiguous.

Involving Managers and Supervisors

Managers and supervisors must understand the organizational ER strategy and how that strategy is aligned with specific management practices—for example, how creating trust requires that managers and supervisors behave in an open, fair, and consistent manner. In a workplace with organized labor groups, managers and supervisors should be able to explain the organization's labor strategy and posture. They should understand contract terms and procedures completely.

Selection and promotion criteria for supervisory and managerial positions should include competent communication skills, emotional

intelligence, and ethical behavior (for example, avoiding discriminatory and harassing behaviors).

Managers and supervisors should receive training on the organization’s policies and procedures, especially regarding the handling of conflict and discipline and development opportunities—perhaps by being mentored by experienced managers and supervisors. Most importantly, their performance evaluations should include metrics that demonstrate an ability to fulfill the ER strategy in daily work with employees.

Labor Relations

Proficiency indicators related to this section include:

- Supports interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).
- Coaches and counsels managers on how to operate within the parameters of organizational policy, labor agreements, and employment agreements.
- Manages interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).

Labor Relations

Labor relations refers to the way organizations manage their relationships with employees as a collective group rather than individually. Frequently this relationship involves third parties—employee representatives (for example, labor/trade unions, works councils, and professional associations) and institutions that interject themselves into the employer-employee relationship (for example, government ministries that monitor compliance with labor laws or international organizations that define labor standards). HR professionals must be familiar with these third parties, with their organization's chosen labor strategy, and with the role of HR in developing and implementing labor contracts.

Competency Connection

The CEO of a grocery store chain has been informed that there is a unionization effort underway at a store location. The CEO is concerned about the potential impacts to the business from a financial standpoint as well as any other areas that may be impacted. She asks HR to look into the details of the unionization effort and identify potential outcomes associated with it.

The chief human resources officer (CHRO) creates a team to examine comparable unionization efforts in other companies in the

industry. The team applies the Business Acumen, Relationship Management, and Analytical Aptitude competencies to analyze the potential outcomes associated with both success and failure of the unionization effort.

As a result, the HR team is able to show expected labor cost increases associated with a successful unionization effort along with potential ancillary effects on productivity and sales. It is also able to share potential effects associated with a failed union effort, such as those on morale and turnover of portions of the workforce. With this information, the CEO is able to direct a data-based organizational response to the unionization effort.

Labor or Trade Unions

Key Content

A **labor union** or **trade union** is a group of workers who coordinate their activities to achieve common goals (for example, better wages, hours, or working conditions; job security; training) in their relationship with an employer or group of employers. Members elect representatives to interact with management. In some countries, trade

unions may include managers and professionals as well as skilled and unskilled workers.

Unions may be a well-established feature of an organization's workplace and industry, and the task of HR is primarily to support the organization's union relations strategy and administer contracts.

In other workplaces, unions may be seeking the right to represent employees, either for the first time in the workplace or in place of another union. In these cases, HR professionals should become familiar with the local process of unionization, which can vary significantly in different countries. The process may include certification of the union by a government ministry, definition of work units and employees covered, and/or elections. Elections may be preceded by extensive campaigns with the involvement of third parties, such as national labor and employer groups and social/religious groups.

HR professionals should be familiar with the requirements unions must fulfill before they are allowed to represent employees. They should also ensure that managers and supervisors are aware of any regulations limiting management's speech and behavior during this period. Again, regulations will vary by country, but essentially they

reflect international labor standards in prohibiting employers from interfering with employees' rights to organize, from intimidating or bribing employees to deter them from joining/forming a union, and from retaliating against employees for their involvement in organizing.

At the same time, managers and supervisors should be aware of employers' rights during organizing campaigns. HR can assist in one of management's primary rights: the right to communicate to employees its reasons for preferring to remain union-free.

Understanding Individual Labor/Trade Unions

Organized labor environments and individual unions can vary significantly. Briscoe, Schuler, and Claus (in the 2008 edition of *International Human Resource Management*) identify six characteristics that HR professionals should try to identify in labor groups with whom their organizations interact:

- **Level at which bargaining occurs.** Is the employer bargaining individually or as part of an industry association? Is the union representing an enterprise or an entire industry?
- **Focus of bargaining topics.** What is considered a fair topic for labor negotiations? In some countries bargaining will be restricted to wages and benefits, while bargaining in other

countries will focus on broader social issues. Some unions in developing economies have focused on social topics, such as antidiscrimination, environmental actions, and HIV/AIDS treatment and prevention.

- **Union penetration or density.** These terms refer to the percentage of workers that belong to a union. The rates differ widely among countries, especially in countries where union members retain membership after retiring. One must be careful here when considering union density. There is not always a direct relationship between the number of members a union has and its ability to shape agreements, since employees who are not members of a union may still be covered by a collective bargaining agreement.

- **Membership.** Is membership in a union compulsory? Do employees join a union as individual members, as in a trade union for skilled workers? Or is membership aligned with employment by a specific organization? (In other words, if you work for organization A, do you have to join union Y?) Are managers allowed to be members? In terms of membership, unions can represent low-skilled workers and highly skilled professionals. This can affect negotiating topics and style.

- **Relationship with management.** Is the relationship historically stormy or more cooperative?

- **Role government will play.** How likely is the government to become involved in the labor relationship? What may trigger its intervention? What concerns will it bring to the table?

In addition to understanding the individual labor relationship, HR professionals should also understand and monitor the external forces that can influence that relationship—such as economic performance and trends, politics, laws, and technology.

Governments and Other Third-Party Labor Groups

Complicating the employment relationship further is the potential presence of groups beyond the employer and the employees' elected representatives. For example, there may be:

- **Employer or industry associations.** In some countries, contracts may be negotiated at a multi-employer level. The contracts may be at an industry level (examples include steel manufacturers) or at a national level. For example, in the trucking and hospitality industries in the U.S., employers and unions may engage in industry-wide or regional negotiations on

a single contract. In the construction industry, a general contractor may negotiate a **project labor agreement (PLA)** with multiple trade groups. A PLA requires specific contractors to accept certain conditions in project contracts, such as paying a fair wage and contributing to health insurance, pension, and training funds.

- **National governments and agencies.** To a certain extent, national governments are always a part of the labor relationship in that they legislate and regulate aspects of the employee relationship and the employers' relationship with unions and works councils. Tripartism—a collaboration of governments, employers, and unions—is the norm in many countries. During wars, governments have stepped in to prevent disruption of critical production (for example, to prevent coal mining strikes in the U.S. during World War II). During economic crises, governments may intervene to protect employees' social welfare, taking steps to increase hiring, encourage employers to provide some levels of employment during retrenchments, or invest in skills development.

- **International groups.** In response to the global recession starting in 2008 to 2009, the ILO—with governments, employers, and employee groups—created a Global Jobs Pact,

which issued recommendations for steps that all parties could take to meet the economic crisis. Governments could invest in jobs and provide social protections, while employers could recommit to ILO labor standards and apply flexible work arrangements, such as rotating workers into jobs.

- **Local governments, nongovernmental organizations, religious institutions, and community groups.** These groups are usually more active at a local level, applying pressure on social justice issues and helping to support social programs during economic crises. In the Philippines, the national government includes such groups as social partners in its efforts to address employment levels. These organizations may also provide representatives to national-level task forces and arbitration groups on employee relations issues.

Organized Labor Actions and Unfair Labor Practices

Proficiency indicators related to this section include:

- Resolves workplace labor disputes internally.
- Supports interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).
- Coaches and counsels managers on how to operate within the parameters of organizational policy, labor agreements, and employment agreements.
- Consults on and develops an effective organized labor strategy to achieve the organization’s desired impact on itself and its workforce.
- Educates employees, managers, and leaders at all levels about the organization’s labor strategy and its impact on the achievement of goals and objectives.
- Manages interactions and negotiations with employee representatives (examples include organized labor, governmental, legal).
- Serves as the primary representative of the organization’s interests in activities related to organized labor management

(examples include negotiations, dispute resolution).

Key concepts related to this section include:

- Causes of (examples include unfair labor practices, economic grievances) and methods for preventing and addressing (examples include strike response plan, hiring temporary workers, protection of non-striking employees, supply chain contingency plans) strikes, lockouts and boycotts
- Techniques for grievance and complaint resolution (examples include grievance procedure, investigation, appeal).

Organized Labor Actions and Unfair Labor Practices

The labor relationship is subject to adverse events. Unions may undertake actions to influence contracts or protest conditions. Both employers and unions must comply with labor laws that prohibit certain actions that are called unfair labor practices.

Competency Connection

The Leadership & Navigation competency means that an HR professional must be ready to steer the HR function toward the strategic goals that senior management has set. But the “leadership” part of this competency obligates HR professionals to speak up to make sure that the organization has chosen the best strategic goals and has avoided the risks that come with management-union conflict. Consider this example.

A satellite communications firm is approaching renegotiation of the labor contract with workers who perform highly technical assembly and testing work.

Senior management is primarily composed of engineers who have risen through the managerial ranks. They tend to see the union workers as less-skilled and less-critical participants in producing the

firm’s value. Management appears willing to implement a harsh labor strategy that the CHRO knows may lead to work stoppages.

The CHRO is attending a strategy session and listens carefully to the positions of those in the room. Asked what HR will do to implement the strategy, the CHRO says that HR will, of course, do what it can to support whatever strategy is decided. However, the CHRO points out that management’s perception of the value of the union workers is not accurate. Although they are not engineers, it would not be easy to replace them. The union will not be as ready to concede as management assumes. The CHRO recommends developing and analyzing potential contracts in preparation for contract negotiations and adopting a more win-win approach.

The CHRO has demonstrated the Leadership & Navigation competency by showing the courage to challenge management when intended actions may harm the organization.

Organized Labor Actions

The term **industrial actions ,** from British usage, includes various forms of collective employee actions (or “concerted activities,” in U.S. parlance) taken to protest work conditions or employer actions. The term also includes employer actions taken in response to employee actions.

Collective employee actions intend to interfere with an employer's ability to fulfill its commercial interests. Actions can be undertaken by unions (or labor groups in the absence of a recognized union) for a number of reasons:

- To call for increased wages and benefits. Tough economic conditions that increase employee indebtedness, unrealistic expectations, or anger over discrepancies between compensation for high-level managers and employees can intensify union demands in this area.
- To call attention to violations of contract terms, unfair treatment, unfair labor practices, or poor working conditions.
- To protest proposed changes in work rules, such as how promotions or grievances are handled or work schedules are made.
- To protest the way in which workers are identified for retention or termination during a downsizing.
- To pressure an employer to negotiate a contract.
- To resist a proposed contract perceived as unfair (perhaps because it contains "clawback" provisions that will result in economic loss to employees).
- To compete with other unions for the right to represent workers.

Various forms of employee collective industrial actions are listed in Exhibit 30.

Exhibit 30: Examples of Employee Collective Industrial Actions

Action	Description
General strike	Work stoppage.
Sit-down strike	Refusal by workers to work; also refusal by workers to leave their workstations, making it impossible for the employer to use replacement workers.
Sympathy strike	Action taken in support of another union that is striking the employer. Contracts may include provisions prohibiting sympathy strikes.
Wildcat strike	Work stoppages at union contract operations that have not been sanctioned by the union.
Secondary action or boycott	Attempt by a union to influence an employer by putting pressure on another employer—for example, a supplier.
Work-to-rule	Situation in which workers slow processes by performing tasks exactly to specifications or according to job or task descriptions.
Overtime ban	Similar to work-to-rule. Employees refuse to work any overtime, adhering to the hours stipulated in the contract.
Picketing	Positioning of employees at the place of work targeted for the action for the purpose of protest. Picketing can be used for similar purposes as strikes, but there is no work stoppage. In some cases, picketers may illegally interfere with commerce at the employer's site.

The primary form of industrial action taken by employers is the **lockout ,** during which the employer shuts down operations to prevent employees from working.

The legality of these actions can vary globally, and the conditions under which an action may be taken may be precisely regulated. In some countries strikes may not be allowed as long as a contract is in force. Certain types of actions may not be allowed at all. Employers may or may not be able to hire replacement workers.

Preventing or Mitigating the Effects of Work Actions

HR plays a key role in attempting to avert work actions.

Ideally, HR can help avert work actions through its counsel to management, communicating the perspective of employees and the importance of compliance with contracts, and improving the quality of supervision. Because the tenor of the management-employee relationship contributes to industrial actions, HR trains managers and supervisors to avoid bullying and retaliation, to communicate, and to engage in constructive conflict resolution.

Strikes may arise for many reasons, including economic grievances and unfair labor practices.

Economic Grievances

Economic grievances arise from employees' desire for increased wages and better benefits and working conditions. These often stem from impasses during negotiations between organized labor and employers over new contracts and extensions.

Unfair Labor Practices

An **unfair labor practice (ULP)** is a violation of employee rights as defined in a country's labor statutes. In general, these rights relate to the core principles of the ILO on the right to organize and bargain collectively. However, local labor laws can define procedures for recognizing a union, conducting a union election, and the behavior of both management and labor during organizing campaigns and work actions.

ULPs can be committed by employers and unions, and they can occur without the presence of a union. For example, interfering with an employee's speech about organizing is an employer ULP that occurs without the presence of a union.

Charges of unfair labor practices are commonly heard by labor boards, commissions, or tribunals. Employers can be fined or ordered to negotiate, to refrain from the practices in question, or to make public admission of wrongful actions. Unions may be ordered to desist from committing the action.

Exhibit 31 provides examples of commonly recognized types of ULPs by employers and employees/unions.

Exhibit 31: Employer and Employee/Union ULPs

Employer ULPs	Employee/Union ULPs
• Interfering with an employee's right to join a union. This could include bribing employees not to vote for or join a union or eliminating or threatening to eliminate jobs in some manner. • Discriminating among workers based on union membership, either to discourage or require membership or based on employee complaints. • Refusing to bargain with a recognized union or provide information material to negotiations. • Refusing to enforce contract provisions. • Controlling or intervening in union operations.	• Conspiring with employers to discriminate against employees on the basis of union membership. • Interfering with freedom of speech or coercing or fining employees. • Failing to respond to member complaints. • Refusing to bargain in good faith. • Requiring unreasonable or discriminatory membership fees. • Directing prohibited work actions.

HR should make sure that all managers and supervisors understand guaranteed employee and employer rights, the terms of union contracts, and the concept of an unfair labor practice. Training can be provided to illustrate specific speech and behaviors that are allowed or prohibited by local laws—for example, asking questions that could be interpreted as spying on union activities or treating

employees in a way that could suggest preferential treatment for employees who are not members of the union.

Responding to Work Actions

Organizations must be prepared for work actions. HR works with management and other functions to prepare strategies to mitigate the effects of a strike. Preparations can involve:

- Developing a strike response plan.
- Creating a supply chain contingency plan to prevent and react to supply and transportation issues caused by labor actions upstream or downstream, such as strikes occurring at major ports.
- Training managers to identify and report signs of union strike campaigns and employee/union unfair labor practices.
- Organizing and training managers to take the place of workers.
- Setting policies to protect workers who do not take part in a strike or labor action.
- Identifying and arranging for contingent workers if using replacement workers is legal.
- Educating managers and supervisors about what they can and cannot do, thus helping avoid unfair labor practices.

When a strike occurs, HR must implement contingency plans, deliver training, and arrange payment to replacement workers. If and

when employees return to work, HR monitors the atmosphere in the workplace and intervenes to help resolve lingering conflicts associated with the strike.

Dispute Resolution and Employee Discipline

Proficiency indicators related to this section include:

- Advises managers on how to supervise difficult employees, handle disruptive behaviors, and respond with the appropriate level of corrective action.
- Conducts investigations into employee misconduct and suggests disciplinary action when necessary.
- Manages employee grievance and discipline processes.
- Provides guidance to employees on the terms and implications of their employment agreement and the organization’s policies and procedures (examples include employee handbook, code of conduct).
- Resolves workplace labor disputes internally.
- Oversees employee investigations and progressive disciplinary actions.
- Serves as the primary representative of the organization’s interests in activities related to organized labor management (examples include negotiations, dispute resolution).

Key concepts related to this section include:

- Approaches to retaliation prevention (examples include open door policy, open communication, non-retaliation policy, whistleblower protection, documentation).
- Causes of (examples include unfair labor practices, economic grievances) and methods for preventing and addressing (examples include strike response plan, hiring temporary workers, protection of non-striking employees, supply chain contingency plans) strikes, lockouts and boycotts
- Progressive disciplinary procedures and approaches (examples include counseling, performance improvement plan, corrective action, verbal warning, demotion, termination).
- Techniques for grievance and complaint resolution (examples include grievance procedure, investigation, appeal).
- Techniques for workplace investigations (examples include consistency, interview plan, summary report).
- Types of alternative dispute resolution (ADR) (examples include mediation, arbitration) and their advantages and disadvantages.

Dispute Resolution and Employee Discipline

Complaints arise frequently in the workplace. When they cannot be resolved by employees and supervisors or managers, complaints may be formally lodged, and HR professionals are often called upon to assist with dispute resolution. This requires skills in communication and conflict resolution and knowledge of investigation practices and disciplinary systems. If complaints are filed outside the organization, it may also require interacting with third parties, such as lawyers or government agencies.

Competency Connection

Because an organization's HR department is small and often overburdened, the HR director has supported decentralization of several tasks. One such task is investigations. If the issue seems minor, the investigation is handled by a program manager. If the investigation carries significant possible liability for the organization, however, the HR director leads it.

In a recent incident, due to workload, the HR director allowed program management to investigate a claim of racial hostility/discrimination. The issue seemed clear-cut enough; the

actions either happened or did not. However, what the HR director did not know is that the program manager had ulterior motives and the subsequent report to the HR director was not true.

As a result of the program manager's investigation report, the HR director supported the termination of what seemed to be an inappropriate, perhaps racist, employee. However, because the terminated employee's unemployment insurance claim was denied, the employee contacted the HR director. The employee was able to provide proof that the program manager's report was false and that the termination was unfair.

The HR director then launched an investigation and concluded that the story, as presented by the program manager, was indeed not true. The terminated employee was offered an opportunity to reinstate. The program manager who lied was terminated. And HR is reviewing its investigation policies with the likely outcome of moving investigations back into the HR office.

Termination is obviously a serious issue for an organization. HR professionals must demonstrate Ethical Practice and Analytical Aptitude to be fair and objective to all parties.

Workplace Conflict

Workplace conflicts can arise in a variety of forms and for a variety of reasons. HR may be an indirect participant, acting on behalf of the organization, or a direct participant, working to resolve disputes within the function itself.

Employees may bring disputes with other employees to supervisors or managers for resolution—disputes that may be driven by different opinions about the work itself or personal differences or offensive behaviors. Some of these disputes may be successfully resolved by the supervisor or manager. Some, however, may be escalated to HR for investigation and action.

Employees may make complaints about employers. Employees may charge that they are not being treated fairly or that work conditions are unacceptable. Employers may complain that employees are not fulfilling the terms of employment or have become disruptive and potentially harmful to other employees. In a unionized environment, these disputes are handled according to grievance procedures in the collective bargaining agreement. In nonunionized environments, HR is often involved in early responses to the dispute. Unresolved disputes may become complaints to third parties as employees seek resolution through litigation or complaints to government agencies.

HR professionals attempt to investigate and resolve these conflicts by using their Communication and Relationship Management

competencies, their emotional intelligence, and their understanding of dispute resolution techniques.

Disciplining Employees

Disciplinary action may target violations of the organization's values (examples include sexual harassment, discrimination, or threatening behavior) as well as violations of local norms and practices that threaten the harmony of the workplace. The word "discipline" comes from the Latin word "disciplina," which originally meant "instruction" or "knowledge" rather than "punishment." The emphasis in discipline may be seen then as corrective rather than punitive—focused on changing behavior rather than simply punishing it. However, employees must be clear about how they have failed to conform to the rules, why the rules are meaningful, what behavior will be expected in the future, and what consequences will occur if they repeat the behavior.

Disciplinary systems in global organizations must produce prompt, focused, and consistent discipline that is delivered in a manner that is legally compliant and culturally sensitive. Few employers enjoy potentially confrontational situations, and, in certain cultures, managers may prefer to avoid these conflicts entirely. However, managers and supervisors must remember that:

- Infractions such as tardiness and absenteeism or disrespectful behavior to superiors and coworkers damage the work environment for all employees and harm the employer brand and workplace productivity.
- Failure to apply rules consistently to all employees may be grounds for a legal finding of unjust dismissal and trigger financial penalties. It will also undermine perceptions of the employer's fairness and employees' trust.
- Lack of consistency in discipline will become quickly apparent in a multinational organization with its global teams and assignees.

Whether or not employees have defined legal rights guaranteed by a union contract, organizations should treat all their employees equitably and fairly. Disciplinary procedures should ensure that employees have the opportunity to explain and defend their actions against charges of violation or misconduct. It is a good business practice for an employer to do the following:

- Produce persuasive evidence of the employee's culpability or negligence.
- Give the employee a fair opportunity to present his or her side of the story.
- Determine a penalty appropriate for the given offense.

- Impose discipline that is consistent with the treatment that others have received for similar infractions.
- Incorporate HR review of all material/serious disciplinary actions to make sure that discipline is consistent with similar historical cases and that it does not violate union contracts, employment or other laws, or cultural norms.

Preventing Disciplinary Situations

The goal in disciplining employees is to avoid having to discipline employees in the first place. It makes more sense to shape behavior in the desired manner from the beginning and thus minimize the need for disciplinary action. The organization can take preventive measures such as the following:

- **Review codes of conduct before implementing them.** HR may be able to identify obstacles to compliance and adjust the work environment or the code/expectations in a proactive manner. This is especially important when applying a headquarters code to global operations.

- **Set clear expectations.** Employees and managers need to have the same expectations. Job descriptions need to contain enough detail so that the employee knows what he or she is

supposed to do and the level at which he or she needs to perform.

- **Behave consistently.** Actions and decisions should be based on policies, procedures, and work rules. These may be written or expressed in other ways—for example, through management example or training. Managers and supervisors can review records of similar situations in the past.

- **Establish a climate of communication.** Establishing and supporting an ongoing climate of two-way communication between employee and supervisor is critical. Sometimes communication can lead to solutions. For example, a manager may learn that a repeatedly tardy employee has unusually heavy family obligations.

- **Maintain an open-door policy.** Bottom-to-top communication can be further enhanced through an open-door policy.

Again, managers should be aware that cultural differences will affect the degree to which employees seek communication with superiors.

In addition, employment law may influence practices. In the U.S., for example, because of the employment at-will principle (which states that employers can hire, fire, demote, or promote employees for any reason and that employees can quit a job at any time), managers

and supervisors may be encouraged to use discretion (and consistent treatment) rather than rely on a highly specific and written policy. Policies dictating that all infractions will be dealt with in an identical manner could create the appearance of an implied contract and constitute an exception to employment at-will. In other countries, past practices may affect future agreements.

Providing Due Process

A disciplinary action is intended to protect the organization's resources from risks posed by an employee's actions—which can be lost productivity, low quality of products or services, higher equipment costs, and negative impacts on other employees—but to do so in a way that provides due process to the employee being disciplined.

Providing due process is an issue of justice and consistency (and is therefore affected by the organization's culture), but it may also be a legal issue. Failure to provide due process in any termination that does not involve a summary offense can be used in legal complaints by employees who charge that they have been unjustly terminated. (A summary offense is not preceded by any of the usual warning steps in the discipline process. If the employee is found, after investigation and hearing, to have committed the offense, the employee is subject to immediate termination or sanction.)

Exhibit 32 lists seven basic tests often used in judicial hearings to determine if an employee has been wrongfully disciplined or terminated.

Exhibit 32: Providing Due Process in Employee Discipline

Tests of Due Process in Disciplining Employees	
• An employee is informed of the employer's expectations and the process and consequences attached to failure to meet those expectations. • The disciplinary actions are consistent and predictable. • The employer's decision is based on factual evidence.	• The employee has a right to question the evidence and defend himself or herself. • The employee has a right to appeal the disciplinary decision. • A constructive discipline process is used. • The employee is considered as an individual.

Constructive Discipline

The type and severity of disciplinary action depend on the type and frequency of the offense. Some actions merit immediate dismissal. For example, if an employee were to threaten a supervisor physically or intimidate the supervisor with a weapon, the employee would most likely be immediately suspended and possibly terminated, pending investigation. Other actions call for constructive discipline.

Constructive discipline (also called progressive discipline) is a form of corrective action that implements increasingly severe

penalties. It may involve punishment, but the punishment is intended to shape behavior rather than to inflict economic, psychological, or social pain. Constructive discipline applies B. F. Skinner's reinforcement theory of human behavior. An employer can provide:

- Positive punishment or an added requirement—for example, an employee may be required to complete a performance improvement plan or attend counseling for anger management.
- Negative punishment or the removal of a valued stimulus—for example, withholding a promotion or training opportunity, imposing a suspension without pay.

The choice of punishment must be based on the incident and its impact on the organization and other employees.

There is another Skinnerian technique called extinction—eliminating a behavior by never rewarding it. In a workplace, ignoring a behavior is not a recommended solution to changing problematic conduct. It exposes an organization to significant ethical and legal risks.

In some countries, employers may be legally obligated to use constructive discipline, and employees who can show that their treatment did not conform to the employer's policy, union agreements, and/or legal requirements for termination may be entitled to some form of redress (for example, compensation, reversal of punishments imposed by the employer).

However, constructive discipline offers benefits beyond legal compliance. It can help defend the employer against costly civil suits charging unfair and capricious behavior. It can also give employees who offer value to the organization a second chance to align their behavior with the organization’s expectations. In this case, both the employer and the employee win.

Constructive Discipline Process

The constructive disciplinary action generally begins with the least severe response and moves to a more severe response. Systems may vary, however, in the number of steps or chances the employee receives, the use of written or verbal warnings (written documentation is valued in litigious cultures), and the time frame used to calculate the number of repeated infractions. For example, some organizations will set a time limit for a repeated infraction. If the employee does not commit an infraction again within this time period, the process is considered ended. Some systems count only a repetition of the same infraction, while others may add any infraction against work rules to the disciplinary situation. Systems may also include some mechanism for employee appeal—for example, through a panel of peers.

In an environment that does not legally stipulate a set procedure for discipline, the typical sequence of constructive disciplinary actions is

as follows:

1. **Verbal counseling, problem-solving, and open dialogue.** The mildest type of disciplinary action can increase understanding among everyone involved, reduce workplace tension, and open up communication. It is advisable to have the discussion as soon as possible after becoming aware of the problem. The goal is to resolve the problem before it worsens.

2. **First formal warning.** An official, formal warning should first be made—orally or in writing, according to local business practices and legal requirements. Managers should set clear expectations for the employee's behavior. Discussions should be held in private. A public reprimand, especially in certain cultures, embarrasses the employee and his or her coworkers. The manager often loses the trust and respect of all who observe the public reprimand. Managers need to be specific about the performance issue and what needs to be done to correct it.

3. **Second warning.** If the employee fails to correct the problematic behavior or commits another infraction, another warning may be issued. This is optional; some systems do not include a second warning. If the first warning was oral, the second warning may be in writing to document the disciplinary process. Both the problem and the needed correction should be

described in specific, objective terms. The tone should be professional. If warranted, an employee may be put on probation. A copy of this written warning with the employee's signature should be kept in the personnel files.

4. **Final warning.** The final written warning should include a deadline for improvement and time off, if warranted. Disciplinary time off or suspension may be with or without pay. (Note that local law and collective bargaining agreements may restrict employers' disciplinary options.) This final written warning should clearly state that continuation of the documented issue(s) will lead to termination. The employee should sign a form acknowledging that she or he has read and understands the terms of the written warning (even if she or he does not agree with them).

5. **Discharge, demotion, or termination.** Discharge is the last resort, used for repeated occurrences or severe violations.

If the discipline process has been effective and the employee has changed the problematic behavior, managers should review the situation several months later and check that the improvement has continued and that there has been no retaliation of management against the employee or of the employee against other employees.

The matter should be checked again after another few months. Only at that point can the matter be considered truly resolved.

Terminating Employment for Disciplinary Reasons

Termination has serious consequences for the employee but also for the organization. It can disrupt workplace harmony and damage engagement and productivity. It can also—even when handled well—lead to costly litigation. However, avoiding termination can introduce the same risks. This is a situation then that requires careful thought and judgment.

Using the advice in Exhibit 33 can help HR professionals implement termination decisions more effectively.

Exhibit 33: Terminating Employment for Discipline Reasons

Terminating Employment for Discipline Reasons

Terminating Employment for Discipline Reasons	
• Never summarily discharge. It is prudent for an employer to never terminate on the spot even if the employee has seemingly made a dischargeable offense. First complete a thorough and objective investigation. Depending upon the seriousness of the investigation, the employee may be "suspended subject to discharge pending further investigation." • Make sure your investigation is thorough, complete, and well documented. The employee's supervisor and department manager and/or human resources staff are normally involved. Collect evidence on both sides. • Conduct employee interviews. During interviews with the employee, the approach should be investigative, not adversarial or accusatory. • Do not delay. Investigations should begin as soon as possible, be conducted deliberately but with dispatch, and the results communicated to the employee as soon as possible.	• Always conduct a "final filter" review. Review the investigator's findings and recommendations to determine if they are complete, accurate, etc., before making a final decision. Make sure that recommendations are consistent with previous similar situations. • Pinpoint the basis of the discharge. The discharge reason(s) must be carefully identified and articulated. Most employers orally communicate this information and then document it in writing. • Whenever possible, inform the employee in person of the decision to terminate and the reason. An organization should have a clear policy on who makes the decision to terminate and how an employee is informed of the decision. Supervisors should consult with HR about any potential termination. It is advisable that the supervisor's manager approve the termination. • Be alert to possible reactions. Plan for possible employee reactions, such as violence, vandalism, or theft.

HR's Role in the Disciplinary Process

HR must ensure that policies on discipline are legally compliant, defensible, and culturally sensitive. In addition, HR professionals can take steps to ensure that employees understand work rules and expectations and that managers and supervisors are properly trained to deliver discipline in a manner that is organizationally and individually effective.

To fulfill this responsibility, HR can:

- Ensure that the organization's code of conduct reflects the organization's values and complies with applicable laws and that the code is publicized adequately throughout the organization.
- Involve local HR in identifying local issues to be addressed in the code because of local laws or customs.
- Ensure training of all managers and supervisors—the key players in ensuring effective, appropriate, fair, and consistent discipline.
- Monitor compliance with policy and local practices.

Dispute Resolution

Conflict resolution is a high-risk activity, and the following information is not intended to make HR professionals expert in this skill. Practitioners are advised to seek opportunities to deepen their

understanding of conflict management techniques and to practice them in low-risk settings.

The first stage of dispute resolution is usually an informal meeting of the employee or employees with their immediate manager. It is important that the manager listen carefully and ask questions so that the manager fully understands the issue. This is necessary to resolve the dispute, but it also signals to the employee that the complaint is being taken seriously. If a resolution can be reached, the manager clarifies key points and gains the employee's agreement. If the matter cannot be resolved immediately, the manager explains the next steps—for example, plans to investigate the complaint further—and commits to meeting again.

If the dispute cannot be resolved at this first level, it is escalated to a more formal meeting, perhaps with a higher level of management or an internal dispute resolution body such as a panel of peers. The meeting should be private and confidential. It focuses on presenting and confirming facts (perhaps through witnesses). The meeting may conclude with a resolution or with a commitment to further investigation or additional dispute resolution processes.

All those involved commit to:

- Listening.
- Managing their own emotions.

- Agreeing on goals.
- Focusing on issues and facts rather than personalities.
- Considering all perspectives.
- Engaging in problem solving and exploring alternative solutions together.
- Reaching agreement on next steps.

The final step in this process is to communicate to the employee the results of any investigation and management's decision. If the employee is not satisfied with the outcome, the dispute may be escalated to the next level of management or to dispute resolution by a neutral third party.

Workplace Retaliation

Retaliation in the workplace occurs when an employer, employment agency, or labor organization takes an adverse action against an employee—often as a result of a conflict or complaint. In some cases, retaliation may be a form of unlawful discrimination. Good follow-through in managing conflicts and complaints involves taking steps to prevent or reduce the likelihood of a retaliation charge or lawsuit.

To prevent retaliation, employers should take the following steps:

- **Adopt and disseminate a strong antiretaliation policy.** While this policy can be referenced in the organization's antidiscrimination and antiharassment policies, a separate antiretaliation policy may be more effective. It should make clear that the organization will not tolerate retaliatory conduct, including such conduct based on an employee's opposition to job discrimination or harassment or participation in discrimination complaint proceedings.

- **Inform employees about the process for reporting alleged retaliation.** The organization's antiretaliation policy should state to whom employees report retaliation. For example, employees could be instructed to go to anyone in their chain of command or the organization's HR office.

- **Train managers on retaliation.** Individuals accused of discrimination or other unlawful behavior may lash out at the accuser or witnesses. Managers should be trained on acceptable and unacceptable responses to protected activity under the antidiscrimination laws.

- **Remind supervisors of the organization's policy.** Make sure that supervisors understand the organization's policy prohibiting retaliation against complainants or witnesses. Inform supervisors that they will be subject to disciplinary action if they

retaliate against individuals who make a complaint against them or who provide information related to a complaint.

- **Monitor the treatment of employees.** Monitor the treatment of employees who have made complaints or who have provided information related to complaints to ensure that they are not subjected to retaliation. Carefully scrutinize any proposed adverse action against a complainant or witness to ensure that it is based on a legitimate and not retaliatory reason.

- **Investigate allegations and take corrective action if necessary.** Investigate allegations of retaliation and take prompt corrective action when retaliation occurs. Retaliation should be stopped even if it is not significant enough to violate federal or local law to prevent it from escalating to those levels.

HR must be aware of certain workplace behaviors that are protected from disciplinary action by local law and make sure that managers and supervisors are aware of these exceptions. For example, many occupational health and safety laws specify that employees may not be disciplined for refusing to work under unsafe conditions or for reporting these conditions—referred to as **whistleblowing .** Whistleblowing may be seen as disloyalty meriting discharge in some cultures, but in some countries whistleblowers are protected

against dismissal that is directly related to the whistleblowing activity. This should be recognized in any antiretaliation policy.

Conducting Investigations

HR may be responsible for conducting investigations of employee complaints that may result in discipline or discharge, or HR may be responsible for making sure that investigations are consistent, fair, thorough, and culturally appropriate. To conduct effective investigations, HR professionals should consider the steps described in Exhibit 34.

Exhibit 34: Conducting an Investigation

Step	Action
1	**Ensure confidentiality.** The employer should explain to those involved in the complaint that all information will be kept confidential to the extent possible in an investigation.
2	**Provide protection.** Provide interim protection against continued harassment or retaliation. This may require voluntary changes of schedule, leaves, or transfers.
3	**Select the investigator.** This individual should be able to work objectively and should have experience in investigation and knowledge of the law in this area. The investigator should communicate well, be observant and discreet, and pay attention to details. Investigators may be internal or external to the organization. A team with diverse skills and background may be used if their activities are well coordinated.
4	**Create a plan.** Develop a plan for gathering evidence and conducting interviews.
5	**Develop interview questions.** Questions should be designed to encourage communication and focus on critical points.

Step	Action
6	**Conduct interviews.** The investigator should never offer opinions and should maintain objectivity. Observations should be recorded. Follow-up questions will be important in gathering evidence.
7	**Make a decision.** After a thorough gathering of evidence, the investigator recommends action based on the evidence and the organization's policies and processes.
8	**Close the investigation.** Communicate the decision to the complainant and the accused. Make sure that the complainant feels comfortable about returning to work. Take necessary steps, which may include correcting the behavior and making sure that it does not recur, providing damages to the complainant if appropriate, and changing policies and training as needed to prevent recurrence.
9	**Develop written summary of investigation results.** The report should document both what investigatory actions were taken and what information was collected. Relevant policies should be cited. Conclusions should be described as well as employer actions taken as a result of the investigation.

The consistency and effectiveness of investigations may help protect the organization from costly employee litigation or actions by local governments but also contributes to a more positive workplace and a stronger employee brand.

Third-Party or Alternative Dispute Resolution

Third-party resolution, also referred to as **alternative dispute resolution (ADR)** in some countries, uses an intermediary to create solutions and dispel conflict. This method can have varying degrees of neutrality and formality as well as complexity. In some Asian cultures, an intermediary may be chosen who knows both parties

well, can hear both sides, and can gain agreement on a solution, while in other cultures the intermediary is not familiar with either party.

The simplest forms of ADR could include an open-door policy (in which a superior helps resolve a conflict without potential repercussions for the employee), a panel of trusted and respected superiors, or a panel of peers. An ombudsperson system can help start the process: A designated person gathers evidence and brings the complaint to management for action. More complex processes are formal mediation, which uses an outside expert in negotiation to help sides find common ground, and arbitration, in which both sides agree to abide by the decision of an arbitrator.

Exhibit 35 lists the range of ADR options that are available to organizations.

Exhibit 35: Forms of ADR

ADR Option	Description
Open-door policy	Encourages employees to meet with an immediate supervisor or manager to discuss workplace problems; in some environments, it allows employees to approach anyone in the chain of command. An open-door policy might be seen as preemptive or preventive ADR.

ADR Option	Description
Ombudsperson	Designates a neutral third party (from either inside or outside the organization) to investigate employee complaints confidentially and help mediate disputes. The ombudsperson may draw an opinion and may bring the dispute before management but is usually not empowered to settle grievances. The ombudsperson may advance unresolved disputes to other forms of ADR.
Single designated officer	Identifies a specific individual chosen by senior management to conduct investigations and dispute resolution. The credibility of this individual may depend on the credibility of management.
Chosen officer	Permits an employee to select an arbitrator from a group of individuals. This allows employees to feel some control over their futures.
Peer review	Establishes a panel of employees (or employees and managers) trained to work together to hear and resolve employee complaints. The panel may be led by an HR professional. It may not change organization policy but sometimes may recommend changes to policy. Peer review is sometimes limited to suspensions and discharges.
Mediation*	Uses a neutral third person trained in mediation techniques to help both sides assess the strengths and weaknesses of their positions. The goal is to negotiate a mutually acceptable, voluntary settlement. The mediator acts more as a facilitator of agreement than as a judge making a decision. A settlement cannot be imposed on either side.
Arbitration*	Submits disputes to one or more impartial persons who listen to both sides and make a final determination. Arbitration may be binding (parties agree to be bound by the arbitrator’s decision) or nonbinding (parties may seek other means of resolution, including litigation).
*Some employers require that employees agree in writing to using mediation or arbitration as a condition of employment, before the need for ADR arises.	

Not all of the ADR options listed are legal or culturally acceptable in every country. It may be helpful in some instances to work with legal counsel and local experts to develop dispute resolution policies.

Key Content

HR practitioners should remember that methods of dispute resolution (such as formal grievance procedures) may be defined in collective bargaining agreements. In these cases, HR, managers, and supervisors must apply the grievance process as it is defined in the labor contract.

Handling Grievances

A contract almost always includes a formal **grievance procedure .** This process provides an orderly way to resolve the inevitable differences of opinion in regard to the union contract that develop during the life of the agreement.

Keep in mind that many union grievances arise when contracts have not addressed issues specifically or when one or both sides have misunderstood or miscommunicated policies. To avoid grievances of this sort, both management and union representatives should

evaluate the workplace for potential problems and address these issues before they become problems, know the labor agreement in its entirety, including past practices and local memoranda of understanding, and know the employees and their problems.

Some grievances address possible violations of the terms of the contract, but many result from perceived unfair treatment of an employee by management with regard to disciplinary actions, privileges associated with seniority, or unfair and discriminatory treatment (for example, bullying by a supervisor).

The Grievance Process

The employee grievance process involves several steps. Although the process may vary somewhat from contract to contract and from country to country, the following represents the general steps.

- **Immediate supervisor.** Employees who feel mistreated or think that their contract rights have been violated file a grievance with the immediate supervisor. At this point, the filing of the grievance may be written or oral; most grievances are written. The supervisor must attempt to accurately determine the reason for the grievance and try to solve the problem. Supervisors and union representatives or stewards can work together to solve the problem. If the union representative agrees that no valid grievance has occurred, the process ends.

- **Next level.** If the employee, supervisor, and union representative cannot solve the problem together, the formal written grievance proceeds to the next level in the hierarchy—the intermediate supervisor, department head, or unit manager and a higher-level union official. To promote free discussion, the employee with the grievance is usually not present and is represented by the union. It is, therefore, important for both sides to fully document their facts and their positions.

- **Higher-level management.** If the grievance is not resolved within the time period set under the union contract, it usually goes to the next level, where, on the union side, a member of the grievance committee or a representative from the union structure is involved. In some organizations, the complaint can go only as high as the local manager; in others, it can go all the way to top organizational officials. If the grievance is not resolved within the time period set under the union contract, it usually moves to the final stage.

- **Third-party determination.** If the grievance is still not settled, a neutral outside arbitrator may be called in to settle the issue. At this stage, the highest levels of each side are usually represented. For the employer, this may include the vice president for HR (or equivalent) and/or legal counsel. For the

union, this may include the local union president, a national union representative, or legal counsel.

Exhibit 36 provides some helpful guidelines for employers in handling grievances.

Exhibit 36: Guidelines on Handling Grievances

Handling Grievances Do's	Handling Grievances Don'ts
• **Do** investigate and handle each case as though it may eventually result in an arbitration hearing. • **Do** require the union to identify specific contract provisions allegedly violated. • **Do** comply with the contractual time limits for handling the grievance. • **Do** visit the work area related to the grievance. • **Do** determine whether there were any witnesses. • **Do** examine the employee's personnel record. • **Do** fully examine prior grievance records. • **Do** comply with regulations regarding the presence and involvement of union representatives in meetings with employees. • **Do** treat the union representative as your equal.	• **Don't** make arrangements with individual employees that are inconsistent with the labor agreement or that exclude the participation of a union representative. • **Don't** hold back the remedy if the employer is wrong. • **Don't** admit to the binding effect of a past practice. • **Don't** relinquish to the union your rights as a manager. • **Don't** settle grievances on the basis of what is "fair." (Use the labor agreement as your only standard.) • **Don't** bargain over items not covered by the contract. • **Don't** give long, written grievance answers. • **Don't** trade a grievance settlement for a grievance withdrawal (or try to make up for a bad decision in one grievance by

Handling Grievances Do's	Handling Grievances Don'ts
• **Do** hold your grievance discussions privately. • **Do** fully inform your own supervisor of grievance matters. • **Do** have at least two management representatives present. • **Do** document all grievance meetings; take copious notes.	bending over backward in another). • **Don't** deny grievances on the premise that your "hands have been tied by management." • **Don't** agree to informal amendments in the contract. • **Don't** establish a pattern of practices that have the effect of creating a right not specifically included in the contract.

Technology Management

Technology Management involves the use of existing, new and emerging technologies to support the HR function, and the development and implementation of policies and procedures governing the use of technologies in the workplace.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Coordinates and manages vendors implementing HR technology solutions.
- Develops and implements organizational standards and policies for maintaining confidentiality of candidate and employee data, and limiting access as appropriate.
- Implements and uses technology solutions that support or facilitate delivery of effective HR services and storage of critical candidate and employee data.
- Implements technology that integrates with and complements other enterprise information systems, software and technology.
- Provides guidance to stakeholders on effective standards and policies for the use of technologies in the workplace.
- Uses technologies in a manner that protects workforce data.
- Uses technologies to collect, access, and analyze data and information, in order to understand business challenges and recommend evidence-based solutions.

Proficiency indicators for **advanced HR professionals** include:

- Assesses and implements automation technologies that augment human talent.

- Collaborates with business leaders to define the role of digitalization in the overall business, new products or services, new markets, and growth strategy.
- Designs and implements technology systems that optimize and integrate HR functional areas.
- Develops and implements technology-driven self-service approaches that enable managers and employees to perform self-service and people management functions.
- Evaluates and selects vendors to provide HR technology solutions.
- Evaluates, advocates for, implements and retires technology solutions to achieve HR's strategic direction, vision and goals.

Key Concepts:

- Approaches to electronic self-service for HR and people management functions (examples include scheduling, timekeeping, contact information updates, benefit enrollment).
- Social media management (examples include internal social media platforms, social media policy, branding).
- Data and information management (examples include data integrity, confidentiality, security, disclosure, backups, cloud-based software, cybersecurity, data retention).

- HR software and technology (examples include applicant tracking system [ATS], human resource information system [HRIS], learning management system [LMS], performance management system, big data analytics software, collaboration software, blockchain, artificial intelligence [AI], machine learning).
- Standards and policies for technology use (examples include bring-your-own-device policy, offsite network access policy, websites, computers for personal activity, internet messaging, corporate and personal e-mail).

Technology Management

Technology makes it easier for HR professionals to work productively and rationally—to gather, organize, and share information and to use that data to detect patterns and causes and make more informed, evidence-based decisions.

Managing HR technology is a good application for the goals of risk management—to maximize opportunities for positive outcomes and to minimize the chances for negative outcomes. The technology purchasing process can improve HR productivity and services, but only if it is planned and managed well. Deployed technology, such as employee and manager self-service and mobile computing, can increase the organization's productivity and enable HR recommendations to management that demonstrate HR's value to the organization. However, technology also creates vulnerabilities as it gathers, stores, and transmits data. Employee data privacy can be compromised, and the organization's information and processes can be exposed to unauthorized access, tampering, and theft.

HR professionals are not expected to become IT experts, but they must know enough to work with IT to integrate and support HR information systems (HRIS), to take advantage of labor-saving workplace technology (for example, automated messaging, project

management or presentation software), and to develop policies that protect data belonging to the employee and to the organization.

HR and Technology

Proficiency indicators related to this section include:

- Uses technologies to collect, access, and analyze data and information, in order to understand business challenges and recommend evidence-based solutions.
- Assesses and implements automation technologies that augment human talent.
- Collaborates with business leaders to define the role of digitalization in the overall business, new products or services, new markets, and growth strategy.
- Develops and implements technology-driven self-service approaches that enable managers and employees to perform self-service and people management functions.

Key concepts related to this section include:

- Approaches to electronic self-service for HR and people management functions (examples include scheduling, timekeeping, contact information updates, benefit enrollment).
- Data and information management (examples include data integrity, confidentiality, security, disclosure, backups, cloud-based software, cybersecurity, data retention).

- HR software and technology (examples include applicant tracking system [ATS], human resource information system [HRIS], learning management system [LMS], performance management system, big data analytics software, collaboration software, blockchain, artificial intelligence [AI], machine learning).

HR and Technology

HR professionals can benefit from technologies such as human resource information systems (HRIS) in many areas of their work. Understanding a few basic concepts about information systems can help HR professionals see opportunities and anticipate technological issues.

Competency Connection

The role of HR is to find ways to translate the organization's strategic vision into action targeted at achieving goals. The HR practitioner in this example combines business and competitor knowledge (Business Acumen), technological expertise, and leadership skills (Leadership & Navigation) to shift perceptions about the opportunities provided by social media.

Due to a retirement, an organization has its first new chief executive officer in 37 years. The new female CEO was promoted from within and wants to jump-start her tenure and legacy with an aggressive social media strategy. In particular, she wants the organization to connect with an employee and customer demographic that has been elusive: Millennials. As part of this plan, the CEO hires a new tech-savvy practitioner to be the senior vice president (SVP) of HR and

sets an aggressive KPI to recruit no less than 75% of all new job applicants using only social media.

To date, the organization has had no direct social media presence. The organization's legal and IT departments had convinced the leadership team that there were too many risks associated with using social media. As a result, the organization's policy has been to prohibit all employees from using or accessing social media while at work. The new HR SVP quickly realizes that until the organization's leadership team understands the current online candidate experience benchmarked against that of industry peers, they will not be able to appreciate the lost business opportunity.

The HR SVP creates a workshop for the executive committee that goes through, as a group, step-by-step, the actual online candidate experience of four benchmarked organizations, plus their own. The executives are also shown a public website that compiles data and ranks organizations (including theirs) as employers of choice based upon information submitted by current and former employees. Lastly, the HR SVP presents a summary of information sourced from the other organizations' annual reports, which includes estimates of their employee and customer demographics and direct references to their successes or challenges associated with using social media.

By tangibly demonstrating a real-life candidate experience using the social media interface of competitors, the new SVP of HR is able to show the executive team what a successful social media experience is, the risks associated with blocking employees' social media access, and the risks associated with not proactively utilizing social media.

Big Data and HR

The term "big data" came into use at the end of the 20th century to describe the explosion of data that could be captured and stored as the result of computing and communication advances. The era of big data has impelled HR professionals to become more knowledgeable about and better users of technology.

Three features of big data have changed technology requirements for organizations.

- **Volume.** Datasets have grown so large that new tools are required to store, access, and analyze them. Storage using **cloud computing** services—in which data is saved to remote servers that are connected through the Internet—has become a popular way to manage increasing amounts of data.
- **Velocity.** Data can flow into a system so quickly that its currency becomes an issue. Data analysis now requires real-

time or almost real-time information. Data must be updated frequently or continuously throughout all points in the system.

- **Variety.** Data is not only numbers now. It may be still images, videos, or audio recordings. It may be imported from social media, mobile phones, or sensors (for example, wearable technology such as badges). Systems must be capable of taking in these diverse forms and integrating them for storage and access.

Big data makes it more possible to see patterns and trends, to create models that isolate possible causes and predict outcomes. Reliable, current, and analyzable data helps HR professionals to make decisions based on facts or evidence and to objectively measure the effectiveness of their actions.

To capitalize on the promise of big data, HR professionals must work with IT and gather the right data at the right intervals. Systems must be capable of taking in and refreshing diverse forms of information, and they must be scalable—capable of growing in capacity with greater efficiency. Systems must offer various analytical tools, because the value of data lies not in the size of the database but in the quality of its analysis. For example, employee profiles can be analyzed to correlate performance level and tenure with different variables, such as level and type of education, location, or

personality assessments. The findings can be used to detect problems (such as a sudden increase in turnover in one location), to predict surpluses and deficits in workforce needs (both numbers and competencies), or to improve candidate selection criteria.

Key Content

According to Alec Levenson in “The Promise of Big Data for HR,” HR professionals need to expand and improve what they know about their organizations and business environments, and he identifies three ways big data can help:

- **Collecting new data.** New data collection about when, where, and how employees do their jobs to provide business process insights, reduce errors, and increase efficiencies.
- **Using existing data more effectively.** To better understand employee engagement and motivation and why employees do what they do.
- **Better strategic analysis.** Mapping how information flows in organizations and the relationships that people rely on to do their work.

Key Issues in Acquiring Technology

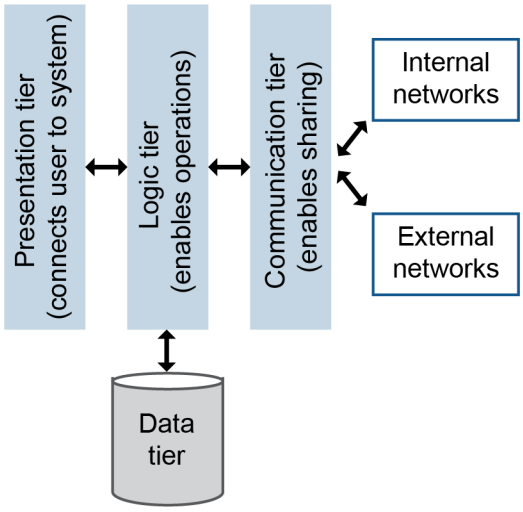
HR should work with IT professionals to select technology that meets the needs of not only HR but also the organization. This will allow HR professionals to ensure that the technology that is chosen will support areas such as analysis, confidentiality, security, collaboration, increases in productivity, artificial intelligence, and accessibility. HR professionals should be aware of basic information system terminology and key issues that affect the choice of technology and the ability to use it successfully.

Information System Components

An **information system (IS)** can be defined simply as a way to collect, organize, store, analyze, and share data. Understanding the components of information systems can make HR departments better purchasers of technology. It can also help HR professionals communicate their needs to the IT function.

Exhibit 37 shows the basic components of information systems.

Exhibit 37: Basic Components of Information Systems



- The **presentation tier** is the user interface with the system, the point at which the user can enter requests and receive responses. The interface may be a traditional computer monitor or a mobile device. It should incorporate a level of security to control access. It should be adaptable to users with different physical abilities (for example, sight, hearing, physical movement).

- The **logic tier** (or business tier) is composed of system software and application software that enable operations. System software includes the operating system, which runs the interface with the presentation tier (or user), moves data back and forth between the data tier and software, manages communication with hardware components (for example, video cards, displays, printers), and controls system resources.

Application software offers specific functionality (for example, project management software that includes budgeting and scheduling tools); it must be customized to communicate with the system software. Application software may be located on the computer's hard drive or on-premises server. It may also be located on a public network—the Internet—and accessed via the cloud. The most effective software uses easy-to-interpret graphic displays and interface techniques such as drag-and-drop and click-and-paste. HR professionals should aim to become adept at using the many applications that can make their jobs easier—from standard word processing, spreadsheet, graphics and presentations, e-mail, and task management programs to voice and graphic recognition.

- The **data tier** stores the information that will be used by the applications to respond to user queries. Data can be stored on local drives, removable devices, and servers. The servers may be on-premises or remote, accessed over special private lines or over the Internet/cloud. One of the challenges in designing information systems is minimizing the time applications must spend waiting for responses to data requests. Another challenge is the currency of the information in the system. This depends on how frequently data is updated—whether it is done in batches (usually at low-traffic or low-use times) or

continuously. A continuously updated system is desirable but can run the risk of being frustratingly slow for users.

- The **communications tier** enables sharing of data and applications by networking a computer (or mobile device) with other computers or servers. Networks can be private—such as local area networks, privately operated clouds, or virtual private networks (VPNs). VPNs can be used to extend secure and private local networks to remote users by means of public networks. This allows an employee to work remotely on a supported digital device. Public networks are created via the Internet/cloud.

Integration

Integration refers to the extent to which the users in a system can share the same data. **Enterprise resource planning (ERP)** systems are designed to allow the different parts of an organization to access the same data and perform more efficiently. For example, operations can see sales forecasts and orders and schedule work, logistics departments can visualize the progress of orders, and customer relationship management teams can access customer histories, profiles, and current order information. The ERP vendor guarantees integration among its products. In other words, the payroll application can communicate with the centralized database.

Over time ERP products or suites have incorporated more organizational functions, including HR. An entire organization may select an ERP that includes an **HR information system (HRIS)**—a type of technology that supports HR functions and enables HR to gather, store, maintain, retrieve, revise, analyze, and report HR data.

Some HR users may find ERP solutions to be too limited, however. The applications are designed for a generalized user and may not serve unique situations or satisfy user preferences. For these users, there are a host of HR technology products, called “best of breed” (BOB) systems. However, these products will be able to communicate with the organization’s database with only varying degrees of success. (And claims of compatibility should not be accepted without demonstration of the compatibility of the product you are purchasing with the organization’s current system.) This could mean having to manually add relevant organizational data to the system’s database, which consumes resources and can introduce errors. The vendor or the organization’s own IT function could also create a unique software bridge to the database, but this is also resource-intensive (time and money).

In addition, individual HR departments or professionals may find general productivity applications (not specifically designed for HR) that they would like to integrate with their work environments. Again,

these products' compatibility with common ERP or BOB applications varies, and IT should be called upon to help determine which is the best product for HR's needs in addition to helping with the implementation and support of the product.

In the end, an organization may have an ERP, the HR function may have a BOB system, and individual departments may have purchased specific applications for their own use. Achieving security, consistency, control, and integration becomes even more challenging. This is one of the reasons HR must develop a collaborative relationship with the organization's IT function. It is in the interests of both functions to assess the benefits and risks of technology purchases.

Scalability

Big data and increased automation and self-service capabilities have created an issue of scalability—how to increase the amount of data stored without increasing processing time and how to manage capacity. Minimizing processing time is a technical design challenge; increasing capacity is an economic challenge. It is difficult to build capacity for future needs without creating waste in current practices.

This has been the appeal of cloud computing. The service subscriber pays only for the amount of data storage, processing

time, or bandwidth that it uses. The service manages and maintains the hardware and guarantees its security.

The cloud offers flexibility and cost savings. It is the simplest way for mobile users to access the organization’s data, and it saves the organization the considerable cost of purchasing servers and creating data centers or server rooms. The economic advantages of cloud computing must be weighed, however, against its risks. Is a cloud storage service provider equipped to prevent the loss of data (through contingent backup systems, for example) and to block unauthorized access to stored data?

Security

Maintaining the security of the organization’s data and work processes is a constant concern. It affects the design of systems, the choice of equipment and software, operating and maintenance processes, and policies aimed at supporting secure practices. When acquiring technology, users may be concerned about:

- Security vulnerabilities created through integration. For example, organizations must be confident that vendors accessing the organization’s systems can access only certain areas and that only vendors can access information—that is, a back door does not exist in the application to allow unauthorized access by unknown parties.

- Managing users’ security levels. For example, users may be assigned graduated levels of security that provide them access only to specified areas in the information system.
- Governance. Technology should be able to document all transactions and in this way reveal who has accessed the system, when they accessed it, and what they did.

HR Technology Applications

HR can apply current technology products to most of its core and talent management functions. The breadth of these applications is shown in Exhibit 38.

Exhibit 38: General HR Technology Applications

Core Applications	Talent Management Applications

Core Applications	Talent Management Applications
• Employee records • Collaboration software • Payroll • Artificial intelligence • Blockchain • Time and attendance • Shift management (managing scheduled time off and assigning sufficient workers with the required skills to each work period) • Benefits administration • Communications (could include employee surveys) • Data analysis • Project management • Report generation (including graphical representation of analysis results)	• Talent acquisition ◦ Applicant tracking systems ◦ Recruiting (posting jobs to different recruitment channels) ◦ Pre-hire assessment and screening ◦ Onboarding (tracking completion of required actions) • Performance management • Succession planning • Compensation management (internal review for consistency, external comparisons) • Learning management system (tracking employee completion of required training) • Strategic workforce planning • Machine learning

These software products can:

- **Automate complex processes** and allow HR professionals to focus on more strategic and tactical work. Applicant tracking systems (ATS) receive and store applications, review applications and résumés using key words, send responses, and arrange interviews and additional screening. They can include recruiting applications, posting openings on various job sites and social media. Applicant progress through the process

can be visualized. Some products can integrate with other applications, such as career management programs, reaching appropriate internal candidates directly, or workforce plans, identifying some candidates who may meet future needs.

- **Produce data that can be used for other applications.** For example, skill profiles in employee data records can be used to identify employees who possess the types of skills and knowledge the organization will require. HR's talent management programs may focus on these individuals to ensure that they are engaged and retained and perhaps to develop them for leadership positions.

  Wearable technology can automate the capture of employee data. It usually takes the form of clothing or accessories (for example, glasses, a watch) that have sensors, computing capacity, and the ability to link to a remote network. The names of current devices tend to be prefaced with "smart" (for example, smartglasses, smartclothing, smartwatches). From an HR perspective, wearable technology can be used to encourage healthy behaviors (for example, fitness trackers), to increase productivity by freeing employees' hands (for example, smartglasses), and to monitor employees' health and safety in stressful physical conditions (for example, wearable location

and vital signs monitoring). When information is gathered and stored, issues can arise about employee data privacy and security. HR should check with local and national laws to determine what data can and cannot be gathered and stored.

- **Support data analysis** to assess the effectiveness and efficiency of HR activities. For example, ATS dashboards and analytics can show key performance metrics, such as time-to-hire.

- **Support compliance-related activities.** ATS can measure compliance with internal hiring goals and legal requirements and issue reports on diversity in recruiting and hiring.

Software as a Service

HR technology can be purchased outright (as a stand-alone application or part of an HRIS), or it can be purchased through a subscription. **Software as a service (SaaS)** is software that is owned, delivered, and managed remotely by one or more providers. The software is delivered over the Internet, rather than installed on a computer, to contracted customers at any time, on a pay-for-use basis or as a subscription based on use metrics. SaaS applications typically run over the cloud, which means that users need only

Internet access and a compatible browser in order to access the software.

An SaaS application is delivered to multiple customers simultaneously and securely. A customer can order additional capacity, add-on components, or features. Regular software updates can be applied relatively seamlessly by the SaaS provider, helping to ensure that customers have the most recent version with the most current maintenance and the latest enhancements. These needs are fulfilled without the technical or licensing barriers common to installed software.

SaaS can save organizations—especially small and medium-size organizations—time, money, and resources.

Artificial Intelligence and HR

The use of **artificial intelligence (AI)**—the ability of a computer to imitate human thought and behavior—will continue to evolve and will deliver new capabilities to HR technologies:

- Self-learning machines may change their behavior based on the responses they receive. Rather than merely following programmed instructions (such as one would see in a defined branching tree of questions and answers in a voice answering system), they will begin to develop models and apply them to

individual situations. This can improve the experience of customer help lines.

- These machines may be equipped with optical and speech recognition, which will enhance their learning but also make them more accessible to users with physical restrictions.
- Virtualization may allow the creation of aural or visual “representatives” who can communicate easily with users.

It should be noted that there is a difference between artificial intelligence and machine learning, which is a distinct subset of AI. Where AI is a technology that enables a machine to simulate human behavior, machine learning is a technology that enables a machine to simulate human learning, gradually improving the accuracy of a specific set of work or an algorithm. Machine learning is, effectively, a part of AI that is focused on improving accuracy and identifying patterns.

Though common discussion often focuses on the ability of AI to replace the need for humans to complete certain tasks, it has tremendous potential to augment the abilities of humans in existing roles as well.

Self-Service Technologies

Self-service technologies can reduce the transactional work of HR.

Employee Self-Service Technologies

Employee self-service (ESS) technologies provide employees with access to their personal HR data and the ability to handle many questions and job-related transactions that otherwise would fall to management or administrative staff. An ESS can guide a new hire through the onboarding process, delivering required communications, facilitating security processes, and allowing him or her to enroll in benefits. Existing employees can log time and schedule vacations, file expense reports, update personal information, manage their performance reviews and career development plans, and access organizational information (such as learning and career opportunities). For employees, this means improved visibility of important information and increased convenience; for organizations, this translates to significant cost savings and efficiencies. HR head count is often reduced.

Employees access self-service through web pages on the organization's intranet—"portals" that may be customized to users or user groups and that may be connected with vendor sites, such as firms managing retirement plans. The portals may be managed by vendors, reducing the burden on HR and IT. Their 24/7 availability—accessible at all hours, every day of the week—appeals to today's workers, who may engage with the ESS in their spare time from remote locations. It also serves the needs of organizations with a

workforce spread over time zones and limited access to local HR services.

Manager Self-Service Technologies

Manager self-service (MSS) websites provide managers with access to current data on their employees and budgets and allow them to perform for themselves transactions that previously required HR's implementation. This eliminates rounds of e-mails and allows the manager to make a change and move on.

Through an MSS portal, managers may:

- View information and create reports on the employees working for them. For example, managers might use MSS to prepare for and complete performance appraisal documentation for subordinates, to authorize leaves, or to create a report summarizing information about their staff.
- Complete transactions such as authorizing pay raises, promoting employees, approving leave requests, or changing an employee's classification. Portals may be customized to allow managers to perform only certain actions. Actions can trigger automatic notices to relevant departments, such as payroll.
- Manage functions such as performance management, succession planning, and onboarding.

As with ESS, when managers handle transactions, there are cost savings for HR and improved efficiencies for the manager and the organization. In addition, employee data is more secure since it remains inside the secure system and not in unsecured e-mails or paper spreadsheets. HR organizations that have implemented MSS technologies also report improved relations with internal clients. Managers see HR less as a transactional tool and more as a strategic resource.

IT Purchasing Process

Proficiency indicators related to this section include:

- Coordinates and manages vendors implementing HR technology solutions.
- Implements and uses technology solutions that support or facilitate delivery of effective HR services and storage of critical candidate and employee data.
- Implements technology that integrates with and complements other enterprise information systems, software and technology.
- Assesses and implements automation technologies that augment human talent.
- Collaborates with business leaders to define the role of digitalization in the overall business, new products or services, new markets, and growth strategy.
- Designs and implements technology systems that optimize and integrate HR functional areas.
- Develops and implements technology-driven self-service approaches that enable managers and employees to perform self-service and people management functions.
- Evaluates and selects vendors to provide HR technology solutions.

- Evaluates, advocates for, implements and retires technology solutions to achieve HR’s strategic direction, vision and goals.

IT Purchasing Process

Technology can be an asset or a loss, depending on how thoughtfully HR professionals carry out the process for acquiring it. The process begins with identifying the needs that can be solved through the technology and then proceeds through developing requirements, identifying and assessing offerings, developing a business case, and implementing the new technology.

Competency Connection

The HR function in an energy company was performing many talent-related activities (for example, performance management, training assignments and tracking, succession planning) manually—as paperwork. Managers and staff found the process time-consuming, inefficient, prone to errors, and not transparent. The lack of transparency led to fears of bias and weak employee engagement. In addition, the process did not provide accurate and timely reporting for follow-up or strategic decision making.

Calling on the Leadership & Navigation competency, the HR professional assigned to address the issue set out to find a sponsor in the organization who would promote the investment to senior management. With a sponsor in place, the HR professional researched the HRIS products on the market, comparing them to

what comparable HR organizations were using—an example of the Analytical Aptitude competency.

Having selected likely vendors, the HR professional worked with them to demonstrate the products to decision makers. The HR professional emphasized in the business case for the investment the savings from the efficiency the HRIS would provide but also the effect that improved transparency and ethical conduct would have on the organization's culture (Ethical Practice and Global Mindset).

When the purchase was approved and made, the HR professional worked with the vendor to "brand" self-service portals in a way that would help employees accept the technology more readily. The HR professional revised HR's policies and procedures to reflect the changed processes and prepared a communication campaign to support a successful launch and widespread employee acceptance of the change (the Communication and Consultation competencies).

Developing a Process for Purchasing Technology

The process for acquiring and implementing HR technology depends on the scope of the technology. Is the product an HRIS that will be integrated with internal databases and external vendors, or is

it a simple application that requires no integration and has only one user? The steps taken will also depend on the organization's culture and processes. The acquisition of HR technology will follow a process similar to that for other types of purchasing. HR should be familiar with any organizational procurement process that defines steps to be taken and conveys authority to make purchases. HR should also work with the IT department to discern any specific requirements it may have for technology purchases. HR should gauge the readiness of potential technology users to accept change.

The process must therefore be customized to the situation. Still, the acquisition of technology—no matter its size or complexity—will benefit from a systematic approach that minimizes mistakes and waste. This means identifying needs and requirements, evaluating offerings, developing a business case, implementing the change, and evaluating the new technology's contributions against original criteria.

IT as a Partner

The IT function or provider is an integral partner in the acquisition process. First, the function is a key source of information about the organization's current technology and the requirements and capabilities of many technology products. They know how to research technology. Second, IT has its own needs that may be

affected by HR’s technology. IT leaders want to know how a purchased technology will affect the organization’s information system. Will it create conflicts or security vulnerabilities? Will it overburden servers? Third, IT will be instrumental in providing the necessary technical support for implementing and maintaining the technology.

HR should secure IT’s involvement early on. This can make the process itself more smooth and more efficient and can improve the quality and effectiveness of the selected technology.

Conduct a Technology Needs Assessment

The first step in selecting technology is to define what HR wants the technology to do. How will the technology improve service and/or productivity? Available technology should not define needs. The fact that there is technology that can perform a certain task does not mean that it is needed or that it is the right solution. So the process must start with an internal assessment.

To assess needs, HR should identify all stakeholders, since their involvement throughout the process will support a good decision. Stakeholders include those signing off on procurement, HR staff and

employees who will be using the technology, IT who will be involved in implementing the technology, and possibly compliance experts. If practical, HR may want to assemble an acquisition team that represents these different stakeholders' perspectives.

Exhibit 39 lists some questions that must be answered during the assessment.

Exhibit 39: Assessing Technology Needs

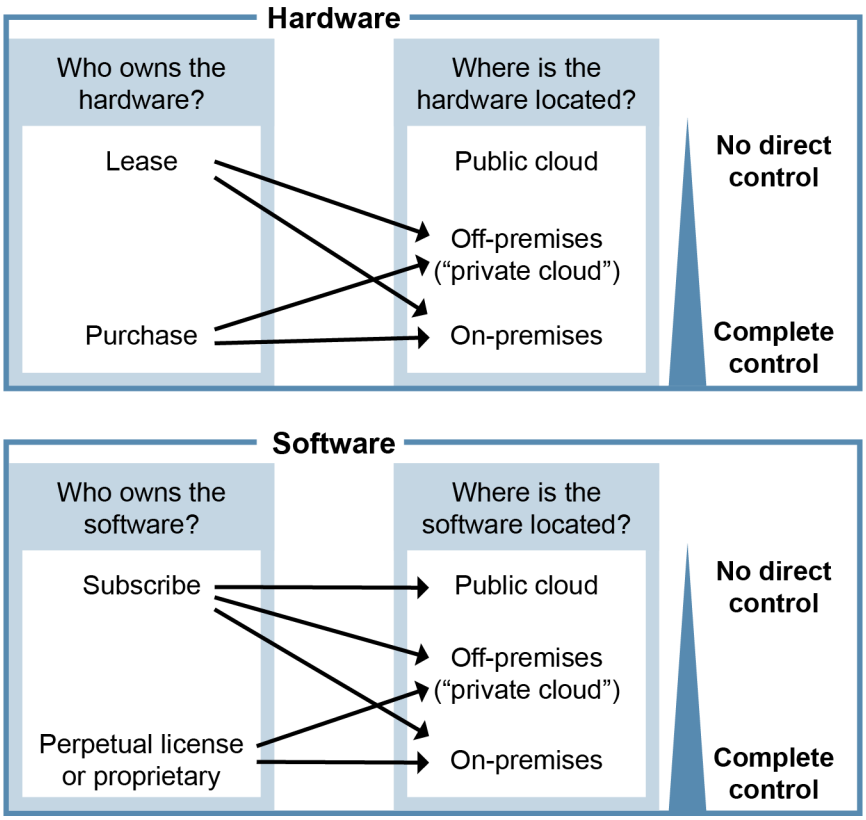
Assessing Technology Needs	
HR's needs	• What HR objectives is the technology aligned with? • What problems does it solve, or what opportunities does it allow HR to capture? • What does the technology have to do or produce? • What are the budget and technical constraints? • What compliance issues may exist?
Users' needs	• How will the user interact with the technology? What does the user need to understand, see, and do? • What will restrict use of the technology (for example, literacy, color perception, hearing, high-speed access, fear of technology)? • Are there different types of users who need to see or do different things or who may have different levels of access to data? • What data does the user need to access? Where is it located?

Assessing Technology Needs	
Organization's needs	• How does this technology align with the organization's current strategy? • How does it align with the organization's current and future needs? • What is the organization's risk appetite? How much control does the organization prefer to exert over its activities?

Prioritize Technology Requirements

The needs assessment should generate a list of requirements, which can be used to review available technology solutions and narrow options. Exhibit 40 shows how the organization's priorities for flexibility and control can affect technology options.

Exhibit 40: Acquisition Options in Technology Purchases



The choices frequently present tradeoffs. Direct ownership of hardware or software increases control, which can be an issue for organizations that must minimize risks to operations and security. However, it decreases flexibility and agility—the ability to change technology quickly and with lower costs. For example, HR may decide to investigate SaaS solutions because the organization is undergoing rapid growth and change. A solution for today may not meet tomorrow's needs. However, the SaaS solution must include a customizable interface so that it can align with the organization's culture (or multiple subcultures). The technology may also need to

be compatible with existing internal or vendor technologies or with social media platforms. Will the SaaS solution fulfill those needs?

HR should explore with an IT consultant whether to use an integrated solution (such as an ERP HRIS that performs multiple functions and can serve multiple HR departments in different locations) or to use multiple smaller best-of-breed (BOB) systems, each supporting a different HR department or performing a single task.

Exhibit 41 compares the advantages and disadvantages of each option.

Exhibit 41: Advantages and Disadvantages of Integrated vs. Best-of-Breed Solutions

Advantages	Disadvantages
Integrated Solutions	

Advantages	Disadvantages
• Feature a common interface “look and feel” across applications, making learning and transitions for users easier. • Use integrated data and technological infrastructure, reducing the need to manage multiple architectures. • Provide greater ease of integrating data from multiple HR functions. • Reduce the complexity of vendor management, because there is only one vendor. • Can be less expensive per application to implement than best-of-breed solutions.	• Offer minimal customization options; because of their large scale and integrated nature, it can be prohibitively expensive to customize or to maintain customizations as new versions of the underlying package are released. • Do not necessarily offer the best solutions in each functional area. • Are challenging to upgrade, because a change to one function may have dramatic impacts on others. • Slow down the introduction of new features and upgrades due to complexity.
Best-of-Breed Solutions	
• Can develop a “best fit” solution for each functional area. • Provide quicker implementation, because the system is simpler and affects fewer employees. • Do not lock user into a single vendor for all needs. • Allow vendors to be more responsive to user needs. • Make it possible to purchase only the functionality needed.	• Pose difficulties in integrating data across applications. • Present increased learning curves for each application because of the lack of consistent interface. • Require careful management of relationships with multiple vendors, which can be challenging. • Demand interoperability among different applications, which may not be easy.

The issue of the compatibility of the organization’s ERP platform with best-of-breed applications should be discussed thoroughly with the IT function or provider. What integration is required to perform the desired work processes? The issue may become even more

complicated and costly if a purchased BOB product needs to be customized to perform certain functions or to integrate with the organization's platform. This will require IT collaboration with the vendor and considerable IT support when the BOB product vendor issues an upgrade.

When choosing between an integrated and best-of-breed solution, it is also important to decide how to deliver the technology. Three approaches are:

- **On-premises.** With the on-premises approach, the organization purchases and installs hardware and software on internal machines, supported by internal IT staff or an IT vendor. It is critical to discuss with IT its ability and willingness to accommodate and support the technology.

- **Hosted.** In the hosted approach, applications are purchased and installed for the organization, but they are located at the vendor's site and supported by external IT staff.

- **Software as a service.** With SaaS, the firm does not purchase or install any software. Instead, the organization subscribes to software that has been developed for multiple users and that runs on the vendor's hardware. It is accessed through the cloud.

Define Performance Objectives

The acquisition will be evaluated against the performance objectives. For example:

- What is the targeted budget?
- What is the targeted date for launching the technology?
- What level of traffic must the technology support?
- What capabilities will the technology provide (for example, types of transactions, navigation parameters [the number of clicks required to navigate to the desired information, etc.], integration with other technologies, reports, speed of transactions)?
- What are the responsibilities of HR, the organization, and the vendor?

These objectives may be revised before a vendor is selected, based on what is learned during the next phase of the selection process.

Identify, Select, and Implement

Identify Technology Providers and Assess Offerings

There are a number of ways to research possible providers before contacting vendors:

- Do an Internet search and review general articles and vendor websites.

- Review analyst reports. Your organization may subscribe to reports from Gartner or similar analysts who publish thorough background information on product areas and reviews of specific products.
- Ask for recommendations from HR colleagues in other organizations.
- Contact existing vendors with good records of service to see if they offer a product with the needed features.
- Attend HR professional meetings and technology trade shows. There may be presentations about the needed technology and/or vendor booths.

Once several good options have been identified, HR should have an open and honest discussion about requirements and restrictions with the vendors. A good vendor wants to understand the customer's situation clearly. Recommending a product that will not serve the customer's needs serves neither the customer nor the vendor.

At this point, the performance criteria for an effective product may have changed. This is fine as long as the changes still align with the organization's needs and requirements. Features should not be added without good reason.

Select a Technology Provider and Create a Business Case

A request for proposal describing HR's requirements is distributed to several providers. In responding, providers should conduct demonstrations of the product, with specific references as to how HR will use it.

Providers are selected using the same process used in outsourcing other HR services. Criteria are selected and weighted by importance, and each provider is scored. The criteria should include more than cost and product features. The provider's willingness to provide support, especially during the implementation phase, is critical.

If the cost of the technology is significant, HR will in all likelihood need to secure approval from management. This will require developing a business case to win management agreement for the investment of the organization's resources. The organization's leaders will be primarily interested in how the purchase aligns strategically with the organization's and HR's objectives, what capabilities it is adding, how it affects the organization's level of risk, and what type of return the organization will receive for its investment.

Implement and Assess New Technology

Depending on the complexity of the technology, it may be implemented through a test in one part of the organization and then introduced broadly throughout the organization. Testing offers opportunities to correct the product and to strengthen the training (since common user problems and challenges can be detected during the test). The test may also create an opportunity to build acceptance of the new technology by a core group of influencers.

The task of introducing new technology involves HR professionals' change management skills. Initial resistance can be modified by showing the technology's benefits and providing sufficient training, support, and time for the HR staff or the users of the new technology to become confident of their abilities. HR should gather feedback continuously after implementation and communicate with stakeholders as to how their feedback will be incorporated.

After an appropriate time, the project should be assessed against the original criteria. This may involve collecting more accurate and complete data about the costs of the technology during this early period and recalculating savings. Stakeholder attitudes should also be surveyed. If the purchase involved a continuing relationship with a vendor, that relationship should be assessed as well. For example, HR professionals might consider the vendor's fulfillment of commitments and response to reported problems.

The assessment process should also consider the cost of operation and the projected life span of systems following their implementation and on an ongoing basis. Retiring systems along appropriate time lines can generate cost savings and ensure that technical capabilities continue to match organizational needs as those needs grow and change.

Managing Technology Opportunities and Risks

Proficiency indicators related to this section include:

- Develops and implements organizational standards and policies for maintaining confidentiality of candidate and employee data, and limiting access as appropriate.
- Implements and uses technology solutions that support or facilitate delivery of effective HR services and storage of critical candidate and employee data.
- Provides guidance to stakeholders on effective standards and policies for the use of technologies in the workplace.
- Uses technologies in a manner that protects workforce data.

Key concepts related to this section include:

- Social media management (examples include internal social media platforms, social media policy, branding).
- Data and information management (examples include data integrity, confidentiality, security, disclosure, backups, cloud-based software, cybersecurity, data retention).
- HR software and technology (examples include applicant tracking system [ATS], human resource information system [HRIS], learning management system [LMS], performance

management system, big data analytics software, collaboration software, blockchain, artificial intelligence [AI], machine learning).

- Standards and policies for technology use (examples include bring-your-own-device policy, offsite network access policy, websites, computers for personal activity, internet messaging, corporate and personal e-mail).

Managing Technology Opportunities and Risks

Technology can make work easier and can help HR professionals be more productive and effective, but it also introduces risks that must be anticipated and controlled. Among these risks is that of noncompliance with new data privacy regulations. HR professionals can manage the opportunities and risks that technology presents by assisting in developing and implementing policies and procedures about its use and communicating possible threats and good “digital hygiene” to all employees.

Competency Connection

The corporate office for a wholesale distributor began receiving calls from news agencies and animal rights activists concerning information on social media about one of the distributor’s employees. It seemed the agencies and animal rights groups had been made aware of content on social media indicating that the employee had committed an act of animal cruelty. The animal rights activists were demanding that the employee be immediately terminated.

The issue was a Facebook post that showed an image of a dog being abused. The person posting the image had tagged the employee in the photo—mistakenly, as it turned out. The image then appeared on the employee's time line, and visitors to the employee's page accused the employee of being involved in unethical breeding practices. Soon, the accusers turned on the employee's employer (identified in his profile), charging that the company was condoning this type of behavior because the employee had not been immediately fired, without further investigation.

A senior HR manager decided to put the employee on paid leave pending further investigation. The investigation soon uncovered the mistakes and confirmed that the employee had no connection with the disturbing incident...or in fact any knowledge of it or the people involved. This was confirmed during an investigation by the local police.

The challenge now was to repair the damage to the organization's and the employee's reputation. The HR manager met with social media consultants to develop a campaign to present the truth.

The HR manager was tempted to listen to public demands and fire the employee immediately. But, as a leader and a model for ethical behavior, it was important to stay calm, not get drawn into the emotion of the situation, and avoid making a snap decision. And

being knowledgeable about the importance of strategic communication, the manager was able to take steps to protect both the employee's and the company's reputation.

Risks Posed by Technology in the Workplace

The opportunities and risks associated with technology are many and varied, but they can be grouped into three general categories:

- **Data and system security.** Data collection fuels workplace transactions and improves productivity, service, and decision making. Because of this, data is among an organization's most important assets. And, as such, it must be protected from unauthorized access and use.
- **Data privacy.** Data collection, storage, and use must be transparent and compliant with government guidelines.
- **Social and ethical implications.** The collection of data leads to the question of how the data will be used. The incorporation of data technology into the workplace introduces the issue of equity.

Data and System Security

Security ranks as a top priority for any HRIS. Data is vulnerable to theft, corruption, and misuse. Systems can be damaged or manipulated. For example, employee data can be stolen and used to commit fraud (such as file false credit applications). Payroll records can be erased or altered, disrupting work and defrauding the organization. Security access records can be altered, allowing breaches of the organization's physical facilities or its information systems. Proprietary information can be stolen.

The sources of these security threats may be internal or external to the organization. The risk may occur as the result of deliberate intention, or it may occur unintentionally—the result of carelessness or ignorance.

The organization's security measures must address:

- Exposure of electronically stored sensitive data (such as personal or benefits information).
- Loss of sensitive personnel data.
- Unauthorized updates of key data.

While data security is a complex task that is perpetual and unending, general security protections involve:

- Limiting logical and physical access to databases and systems.
- Encrypting data that is being transmitted over the Internet or is stored on system servers.

- Protecting against hacking and social engineering.

Limiting Logical and Physical Access to Data and Systems

Access to databases and systems can be restricted, for example, with firewalls, which are software and/or hardware intended to filter incoming and outgoing communication according to preset rules. Access to databases containing employee data or to the payroll system may be restricted to only certain job classifications or individuals. The system can create an auditable digital trail of transactions. Computers with access to data and systems can be secured with passwords or biometric controls (such as thumb prints), and employees can be trained to increase their awareness of the vulnerability created by unlocked computers. Passwords can be strengthened and changed more often.

Encryption

Encryption is the conversion of data into a format that protects or hides its natural presentation or intended meaning. Encryption software can be used with stored or transmitted data. Software can also alert users when there has been an effort to decrypt data.

You are probably already familiar with a form of Internet encryption. When a website URL has an “https” prefix (for Hypertext Transfer Protocol-Secure), it offers a higher level of security by encrypting

transmitted data. An icon showing a padlock indicates that a site is secure.

Managers of HR technology should discuss encryption protection with their IT consultants. Users, especially mobile computing users, need to be aware of the value of encryption and alert to unsecured sites.

Hacking

Hacking refers to the act of attempting to access data without permission. Once the system has been breached, data can be stolen, deleted, altered, or corrupted. The entire system can be held for ransom during a ransomware attack. It can be disabled by flooding an access point with demands for service (a denial-of-service attack). Malware can be inserted that changes software processes or destroys data.

Access can be obtained by exploiting weaknesses in the system, such as a firewall that has not been updated, or through the use of surveillance software, which can capture passwords. Social engineering attacks can also capture data that can be used to access systems. **Social engineering ,** in a computer context, refers to tricking a user into sharing information—such as passwords, e-mail addresses, or identification numbers—that can then be used to access systems.

Some of the most common social engineering tactics include:

- **Phishing .** E-mails, phone calls, texts, or instant messages that ask for information or ask the user to click an embedded link. “Spear phishing” attacks use known data about the user to create the air of legitimacy. For example, a bogus e-mail may be sent from the address of an executive in one’s own organization. The address may have been netted by scanning the Internet for publicly available information.

- **Fake e-cards or job opening information.** E-mails pretending that an attachment is an electronic greeting card or information about a job opening from a friend or some other trustworthy source when the attachment actually contains a harmful program that could infect your computer.

- **Phony security alerts.** E-mails or pop-up windows claiming to be from a trusted source and warning that your computer is at risk of being infected or hacked. A link or attachment that is supposed to fix the problem will infect your computer.

- **“Click this link” scams.** E-mails or social networking sites enticing you to click a link in order to take advantage of a great offer, see a picture or video, claim an award or reward, and so forth. While the links often look legitimate, they take you to a

harmful website and steal your information or infect your computer.

User education is key to protecting against these threats. Some cybersecurity services provide user training, including simulated phishing e-mails. If users respond to the fake e-mail, they receive corrective feedback immediately. If they correctly report the e-mail as a phishing attack, they receive positive feedback.

User training should emphasize the following practices:

- Never disclose a password to anyone, even if the source seems legitimate.
- Do not give private information to anyone you do not know or who does not have a legitimate need for it (in person, over the phone, via e-mail or the Internet).
- Click links only from trusted sources. Never click a link from a source you are unfamiliar with unless you have a way to independently verify that it is safe.
- Delete unsolicited e-mails; do not open, forward, reply to, or click links or attachments in them.
- Assess the request and investigate if it seems unusual. For example, a request from your CEO for employee data may seem plausible, but if it has never happened before, a phone call should be made to the CEO’s office.

Data Privacy

As the importance of data has grown, so has public uneasiness about the amount of data that is being collected about individuals and transactions and how it might be used. Reflecting this concern, governments have enacted laws and regulations regarding the collection, storage, sharing, and use of data.

The European Union (EU) has taken the lead in regulating data privacy. The General Data Protection Regulation (GDPR), passed in 2016 and implemented in 2018, has become a benchmark against which organizations design and assess their data practices. This is in part because of its breadth—the GDPR can affect any HR organization that processes employee data in an EU country even if it is not headquartered in the EU—and because of its significant penalties for noncompliance—up to 4% of annual turnover (or revenue) or 20 million euros, whichever is higher. The GDPR is also comprehensive in its treatment of the issue.

Exhibit 42 lists some effects of the GDPR on HR practices. One of the most important practices HR can implement is a compliance audit of all the processes using employee/applicant data. The audit should also include the preparedness of HR staff to comply with data privacy regulations.

Exhibit 42: GDPR and HR Practices

GDPR Theme	HR Responses
Transparency (how data will be used)	• Update privacy notices to employees and applicants that seek explicit permission to use data.
Individual rights of access to and control over data	• Define who owns data (the employee/applicant, the organization, the vendor) and who has a business right to use it. • Ensure that HR can reply promptly to employee requests to access or correct data.
Legality of processing	• Remove use of and references to “employee consent to data use” in handbook and agreements. (These agreements are not sufficient. Data use must be based in the law.) • Document valid legal grounds for all data processing activities.
Data quality and minimization	• Formalize internal and vendor data retention limits. • Develop and implement policies on data collection and retention.
Data sharing	• Implement data sharing agreements with internal functions and outside vendors.
Data transfers	• Map internal flow of data to identify data that falls within GDPR rules.
Data breaches (intentional or accidental, through external hacking or internal actions, such as accidental e-mailing of employee data)	• Implement data security measures. • Develop and implement data breach policies to ensure reporting of breaches within 72 hours. • Review post-employment agreements regarding use of organizational data.
Accountability	• Maintain comprehensive records for authorities. • Conduct an assessment of current practices (such as employee monitoring and background checks). • Implement training and governance systems (internal data protection officer, audits, disciplinary guidelines).

Social and Ethical Dimensions of Workplace Technology

Equal access to data has been an issue since technology was first introduced in the workplace. Internet access over mobile devices has expanded digital access, but it can still be an issue for job applicants and remote workers. Recruiting strategies that rely exclusively on the Internet may be unfair to applicants with housing challenges and without continuous access to the Internet and e-mail. Self-service employee portals may disadvantage remote workers with slower Internet connections. Some digital content may not be accessible to employees or applicants with sight or hearing difficulties.

Searches of social media gives prospective employers the ability to uncover more information about job applicants, but is using this information fair? Is the information complete and accurate? Is it being interpreted without bias? Should the applicant be given the opportunity to explain evidence used to discredit an application?

Employee records contain extensive historical data. Can the organization ensure that stored data about an employee will not be used to discriminate against him or her? Will information about health problems or family status interfere with opportunities for promotion?

A more challenging issue now is the use of artificial intelligence in HR applications. AI may recommend options to employees or

applicants derived from an algorithm or mathematical formula based on predictive analytics. On its face, an algorithm appears completely objective, but algorithms can be based on inaccurate and limited data, intentional bias, or unintentional or blind bias. For example, employees may see different internal job opportunities depending on their location or age or background.

Policies on Employees' Use of Technology

In *Smart Policies for Workplace Technologies,* Lisa Guerin notes that many organizations do not recognize the need for workplace technology policies or erroneously think that existing policies address new technologies. She advises that procrastinating on drafting or updating technology policies puts an organization at risk, exposing organizational assets and creating the potential for legal issues.

Content in this section examines effective technology workplace policies and approaches in the areas of collaboration, employees working on their own devices, and social networks.

Managing Collaboration Risks

Many organizations have introduced practices designed to maintain structure while, as much as reasonably possible, allowing for the natural aspects of human interaction in collaboration to come out. Some of these effective practices include:

- Setting meetings at times that can accommodate the most participants.
- Creating meeting agendas with estimates of time allocated to each topic.
- Providing the host of a meeting with full control over the technological tools being used.
- Using overlapping technologies (groupware, VoIP, a web browser, smartphones, etc.) concurrently to help ensure multiple means of participant access.
- Recording discussions/meetings to allow stakeholders unable to participate in real time to access and review the outcomes.
- Using passcodes to ensure that only invitees are able to gain access and participate.
- Creating policies around remote access of company networks, including VPNs (virtual private networks), to promote security.
- Including hierarchies of authority access (read/write) to source documents to protect the source's integrity while tracking any changes made or proposed.
- Including legal disclaimers in all documents/projects that outline the rights and responsibilities of the participants.

- Balancing the need for security and rights protection with user-friendly accessibility.

“Bring Your Own Device”

Digital devices have proliferated, and the concepts of the workplace and work hours have become looser in many nations. It was probably inevitable that employees would want to use their own devices to work and communicate when they are not in the office. The “bring your own device” (BYOD) practice has become an issue of convenience for employees as well as employers and, many would argue, an opportunity for increased productivity. In exchange for employees’ using their own devices, organizations may commit their IT functions to support these myriad devices.

Many organizations have resisted allowing BYOD because of the drain on expensive IT time and because of security threats that insufficiently protected devices can pose. In addition, there may be legal considerations for the employer regarding compensating employees for hours worked outside of the workplace and for retrieving and/or protecting proprietary information retained on employees’ personal devices.

It would be naive, however, to assume that employees are obeying prohibitions against BYOD completely. Many IT experts believe that

organizations will benefit from developing realistic BYOD policies that allow employees to use their personal digital devices to access the organization’s network but define certain restrictions on the use of personal devices.

A BYOD policy might:

- Restrict the use of personal devices while the employee is working in the workplace during the employee’s work hours. This is aimed at limiting loss of productivity (from checking personal e-mail, internet messaging, and social sites), limiting the employer’s liability (for example, if the employee uses the device for illegal or unethical purposes such as texting while driving or viewing pornography), and protecting the employer’s assets and the privacy of other employees (for example, from unrestricted use of the device’s web cam). The policy should illustrate permitted and non-permitted uses.

- State which devices will be supported by IT and the requirements for using the device (including IT approval, configuring of all applications that access the network, and review and confirmation of adequate security tools).

- Clarify financial arrangements (such as reimbursement for using a personal mobile device) and legal rights (including the right to

wipe or erase a device without liability for the employee's personal data).

- Define security measures—for example, requiring adequate password protection, prohibiting downloading applications without IT approval, prohibiting accessing the virtual private network with a personal device.

HR must add to its organizational exit checklist the need to remove access ability from the exiting employee's devices. HR should also work with the organization's legal counsel to ensure that the policy and practices do not violate any applicable laws, such as those related to password privacy.

Workplace Use of Social Networks

Social networks generally refer to the online clustering of individuals in groups with common or shared interests. Social networking services or social networking sites connect individuals with similar interests regardless of their geographic locations. The sites allow users to create profiles and interact with others in a variety of ways (such as the exchange of private or public messages). A variety of tools may be embedded in social network sites, including e-mail, blogs, instant messages, text, podcasts, photographs, and videos.

There are a number of business and other more practical, value-added uses of social media. For example, organizations review comments on social networks by customers and employees to understand the perspectives of these important stakeholders. HR professionals may make use of social networks to advertise their organization's job opportunities and to create employer brands. They may use professional networks to remain current with HR trends and ideas and to exchange best practices with other HR professionals. They may use social networks located on the organization's own information system to create project teams or groups of learners. Internal networks may assist with fostering a desired workplace culture and increase visibility of employees across the organization. Networks improve communication and collaboration.

While social networks create opportunities, they also create risks for the organization and for individual employees. The organization risks damage to its reputation when employees post damaging remarks about the organization or its customers or when they disclose proprietary information. There is also the issue of the organization's responsibility to protect its employees from the actions and speech of other employees—for example, from an employee disparaging or intimidating another employee or from an employee disclosing another employee's private information.

In order to protect both the organization and its employees, organizations should develop a thorough and well-understood social network policy that applies to both the employer and the employees.

Developing Social Network Policies

Policies and practices related to the use of social networks can help to provide a balance between a congenial workplace where talent is prized and one that protects the organization's proprietary information, security, and legal interests and the privacy and well-being of employees.

Employment law expert Lisa Guerin advises HR professionals who want to develop policies on social networks to:

- Identify key risks. For example, patient privacy may be a key risk for a health-care provider.
- Review the organization's employee handbook for related policies and practices and to determine if they are working and whether employees have to sign an acknowledgment.
- Discuss risks and concerns with the organization's IT function or consultant.
- Consult with the organization's legal counsel on key compliance issues.

- Align the proposed policy with the organization’s culture and its stated values. An overly restrictive policy can damage the organization’s relationship with its employees.

- Develop written policies and secure thorough review and commitment from leaders. Policies could include:
    - Prohibitions about the use of the organization’s resources (technology and time) and the organization’s right to monitor. For example, the organization may reserve the right to monitor all technology use and communications made, accessed, sent, or received on the organization’s equipment, from office-based hardware to employer-provided devices (such as cell phones and mobile computing devices).
    - Prohibitions from posting or disclosing any confidential, proprietary, or intellectual property information.
    - Situations requiring employer approval for postings regarding the employer’s facilities, products, or services.
    - Rules about personal endorsement of the organization’s products or services.
    - Rules for personal posts about colleagues (including zero tolerance of sexual harassment, cyberbullying, or threats).
    - Statement that employees will be held accountable for any violation of laws and policies (including anonymous

postings).

- Communicate the policies and require acknowledgment signatures for them.
- Enforce the policies consistently, for both employees and management.
- Keep the policies up-to-date and revise as necessary.

Key Content

Situations can and do arise that require an organization to read or monitor employee e-mails, Internet browsing histories, blogs, and so forth. The best strategy here is to tell employees ahead of time that their communications may be read or tracked. Notifying employees about potential monitoring may serve as a deterrent for inappropriate communications. Employees' legal right to communication privacy is partially determined by how much privacy they expect to have. If an organization tells employees that their communications are not private, it may be problematic for them to contest confidentiality.

Enforcing the social network use policy will be made easier if the organization has assigned monitoring duties to a specific individual, a social media content reviewer. This individual can scan the site continuously and remove offensive or proprietary content promptly and can also direct interesting comments or ideas to the appropriate people in the organization.

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Glossary

Alternative dispute resolution (ADR)

Umbrella term for the various approaches and techniques, other than litigation, that can be used to resolve a dispute.

Arbitration

Method of dispute resolution by which disputing parties agree to be bound by the decision of one or more impartial persons to whom they submit their dispute for final determination.

Center of excellence (COE)

An organizational structure that leverages staff expertise in certain areas to improve the entire organization’s strategic performance.

Artificial intelligence (AI)

Ability of a computer to imitate human thought and behavior.

Chain of command

Line of authority within an organization.

Cloud computing

Style of computing in which scalable IT-enabled capabilities are delivered as a service using Internet technologies.

Co-employment

Situation in which an organization shares responsibility and liability for its alternative workers with an alternative staffing supplier; also known as joint employment.

Constructive discipline

Form of corrective discipline that implements increasingly severe penalties for employees.

Cosourcing

Arrangement in which an enterprise and a vendor share different tasks within a larger complex, often strategic responsibility.

Dedicated HR

HR structural alternative that allows organizations with different strategies in multiple units to apply HR expertise to each unit’s specific strategic needs.

Departmentalization

Way an organization groups jobs to coordinate work.

Downsizing

Termination of employment of individual employees or groups of employees for reasons other than performance, for example, economic necessity or restructuring; also known as reduction in force (RIF).

Due diligence

Process of investigating a decision thoroughly before finalizing it to identify all potential factors that could affect the positive and negative impacts of the decision.

Encryption

Conversion of data into a format that protects or hides its natural presentation or intended meaning.

Enterprise resource planning (ERP)

Business management software, usually a suite of integrated applications, that a company can use to collect, store, manage and interpret data from many business activities.

Formalization

Refers to the extent to which rules, policies, and procedures govern the behavior of employees in an organization.

Functional HR

HR structural alternative in which headquarters HR specialists craft policies and HR generalists located within divisions or other locales implement the policies, adapt them as needed, and interact with employees.

Functional structure

Organizational structure in which departments are defined by the services they contribute to the organization’s overall mission, such as marketing and sales, operations, and HR.

Geographic structure

Organizational structure in which geographic regions define the organizational chart.

Grievance procedure

Orderly way to resolve differences of opinion.

Hacking

Act of deliberately accessing computer data without permission.

HR audit

Systematic and comprehensive evaluation of an organization’s HR policies, practices, procedures, and strategies.

Human resource information system (HRIS)

Information technology framework and tools for gathering, storing, maintaining, retrieving, revising, and reporting HR data.

Independent contractors

Self-employed individuals hired on a contract basis for specialized services.

Industrial actions

Various forms of collective employee actions taken to protest work conditions or employer actions.

Information system (IS)

Way to collect, organize, store, analyze, and share data.

Joint employment

Situation in which an organization shares responsibility and liability for its alternative workers with an alternative staffing supplier; also known as co-employment.

Judgmental forecasts

Use of information from past and present to predict future conditions.

Knowledge management (KM)

Process of creating, acquiring, sharing, and managing knowledge to augment individual and organizational performance.

Labor union

Group of workers who coordinate their activities to achieve common goals in their relationship with an employer or group of employers; also called trade union.

Line units

Work groups that conduct the major business of an organization.

Lockout

Action of an employer to shut down operations to prevent employees from working.

Matrix structure

Organizational structure that combines departmentalization by division and function to gain the benefits of both; results in some employees reporting to two managers rather than one, with neither manager assuming a superior role.

Mediation

Method of nonbinding dispute resolution by which a neutral third party tries to help disputing parties reach a mutually agreeable decision; also called conciliation.

Organizational development

Process of enhancing the effectiveness and efficiency of an organization and the well-being of its members through planned interventions.

Outsourcing

Process by which an organization contracts with third-party vendors to provide selected services/activities instead of hiring new employees.

Picketing

Positioning of employees at a place of work targeted for the action for the purpose of protest.

Policy

Broad statement that reflects an organization’s philosophy, objectives, or standards concerning a particular set of management or employee activities.

Product structure

Organizational structure in which functional departments are grouped under major product divisions.

Project labor agreement (PLA)

Agreement that requires specific contractors to accept certain conditions in project contracts, such as paying a fair wage and contributing to health insurance, pension, and training funds.

Reduction in force (RIF)

Termination of employment of individual employees or groups of employees for reasons other than performance, for example,

economic necessity or restructuring; also known as downsizing.

Regression analysis

Statistical method used to predict a variable from one or more predictor variables.

Replacement planning

“Snapshot” assessment of the availability of qualified backup for key positions.

Restructuring

Act of reorganizing the legal, ownership, operational, or other structures of an organization.

Secondary action

Attempt by a union to influence an employer by putting pressure on another employer, for example, a supplier.

Shared services HR model

HR structural alternative in which centers with specific areas of expertise develop HR policies in those areas; each unit can then select what it needs from a menu of these services.

Simulations

Representations of real situations; give organizations the opportunity to speculate as to what would happen if certain courses of action were pursued.

Sit-down strike

Refusal by workers to work; also refusal by workers to leave their workstations, making it impossible for the employer to use replacement workers.

Social engineering

In a computer context, tricking a user into sharing information that can then be used to access systems.

Social networks

Online clustering of individuals in groups with common or shared interests.

Software as a service (SaaS)

Software that is owned, delivered, and managed remotely and delivered over the Internet to contracted customers on a pay-for-use basis or as a subscription based on use metrics.

Span of control

Refers to the number of individuals who report to a supervisor.

Staff units

Work groups that assist line units by providing specialized services, such as HR.

Succession planning

Process of implementing a talent management strategy for identifying and fostering the development of high-potential employees or other job candidates who, over time, may move into leadership positions of increased responsibility.

Sympathy strike

Action taken in support of another union that is striking the employer.

Talent management

Development and integration of HR processes that retain the knowledge, skills, and abilities of employees that will meet current and future organizational needs.

Trade union

Group of workers who coordinate their activities to achieve common goals in their relationship with an employer or group of employers; also called labor union.

Turnover

Act of replacing employees leaving an organization; attrition or loss of employees.

Turnover rate

Annualized formula that tracks number of separations and total number of workforce employees per month.

Unfair labor practice (ULP)

Violation of employee rights; act prohibited under labor relations statutes.

Whistleblowing

Reporting of an organization’s violations of policies and processes by employees.

Wildcat strike

Work stoppages at union contract operations that have not been sanctioned by the union.

Workforce analysis

Systematic approach to anticipate human capital needs and data HR professionals can use to ensure that appropriate knowledge, skills, or abilities will be available when needed to accomplish organizational goals and objectives.

Workforce management

All activities needed to ensure that workforce size and competencies meet the organization’s strategic needs.

Workforce planning

Activities needed to ensure that workforce size and competencies meet current and future organizational and individual needs.

Workforce profile

Part of workforce analysis that identifies the current make-up of employees in terms of their demographics, skills, competencies, performance levels, expected retirement dates, pay grades, and other factors that help explain the workforce’s composition.

Work-to-rule

Situation in which workers slow processes by performing tasks exactly to specifications or according to job or task descriptions.

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